

**BEFORE THE  
FEDERAL MARITIME COMMISSION**

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**DOCKET NO. 16-01**

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CARGO AGENTS, INC., INTERNATIONAL TRANSPORT MANAGEMENT CORP.,  
AND RCL AGENCIES, INC., ON BEHALF OF THEMSELVES AND ALL OTHERS  
SIMILARLY SITUATED,

v.

NIPPON YUSEN KABUSHIKI KAISHA, NYK LINE (NORTH AMERICA) INC., MITSUI  
O.S.K. LINES, LTD., MITSUI O.S.K. BULK SHIPPING (USA) INC., WORLD LOGISTICS  
SERVICE (U.S.A.) INC., KAWASAKI KISEN KAISHA, LTD., "K" LINE AMERICA, INC.,  
EUKOR CAR CARRIERS INC., WALLENUS WILHELMSEN LOGISTICS AS, WALLENUS  
WILHELMSEN LOGISTICS AMERICAS LLC, COMPAÑIA SUD AMERICANA DE  
VAPORES S.A., CSAV AGENCY NORTH AMERICA, LLC, HÖEGH AUTOLINERS  
HOLDINGS AS, HÖEGH AUTOLINERS AS, HÖEGH AUTOLINERS, INC., AUTOTRANS  
AS, ALLIANCE NAVIGATION LLC, AND NISSAN MOTOR CAR CARRIER CO., LTD.

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**RESPONSE BY COMPLAINANTS IN OPPOSITION TO RESPONDENTS'  
CONSOLIDATED MOTION TO STAY PROCEEDINGS**

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Complainants Cargo Agents, Inc., International Transport Management Corp., and RCL Agencies, Inc. (collectively “Complainants”) submit this response in opposition to the motion by all Respondents<sup>1</sup> for a stay of all proceedings before the Commission in this matter. Complainants also respond to the Presiding Judge’s inquiry concerning when to determine if the Commission has authority to conduct these proceedings as a class action.

### **Introduction**

1. Complainants have alleged that Respondents have violated numerous provisions of the Shipping Act of 1984, 46 U.S.C. § 40101 *et seq.* (the “Shipping Act”) by entering into secret, unfiled, and unlawful agreements to allocate customers and markets, rig bids, restrict supply, and to otherwise raise, fix, stabilize, or maintain prices for Vehicle Carrier Services for shipments to and from the United States. Vehicle Carrier Services involve transporting cars, trucks, and other forms of wheeled freight on specialized vessels equipped with ramps so that wheeled freight can be rolled on or rolled off of the vessels (sometimes referred to as “RoRo Vessels”). Complainants have filed this proceeding on behalf of themselves and a class of all other direct purchasers of Vehicle Carrier Services.

2. Complainants previously filed a civil action in federal court alleging violations of the Sherman Act arising from this same misconduct. Respondents, which are the largest providers of Vehicle Carrier Services in the world, were also defendants in that matter and successfully argued that those Sherman Act claims were precluded by the Shipping Act, specifically 46 U.S.C. § 40307,

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<sup>1</sup> Respondents are Nippon Yusen Kabushiki Kaisha and NYK Line (North America) Inc. (collectively, “NYK”); EUKOR Car Carriers Inc. (“EUKOR”); Wallenius Wilhelmsen Logistics AS and Wallenius Wilhelmsen Logistics Americas LLC, (collectively, WWL”); Compañía Sud Americana de Vapores S.A. and CSAV Agency North America, LLC (collectively, “CSAV”); Höegh Autoliners Holdings AS, Höegh Autoliners, Inc., Autotrans AS and Alliance Navigation LLC (collectively, “Höegh”); Mitsui O.S.K. Lines, Ltd., Mitsui O.S.K. Bulk Shipping (USA) Inc., World Logistics Service (U.S.A.) Inc. and Nissan Motor Car Carrier Co., Ltd. (collectively “MOL”); and Kawasaki Kisen Kaisha, Ltd., and “K” Line America, Inc. (collectively, “K’ Line”).

and that only the Commission had authority to resolve private actions regarding their conduct. Yet now that Complainants have done exactly that and filed Shipping Act claims before the Commission, Respondents argue that resolution of *those* claims should be delayed indefinitely. Not only is Respondents' position at odds with their arguments in the civil case, it wholly ignores that the Shipping Act claims asserted here are distinct from the Sherman Act claims asserted in the federal litigation. A stay will prejudice Complainants and unreasonably delay the resolution of these Shipping Act claims by the only tribunal, Respondents argue, authorized to hear them. Respectfully, the Commission should reject Respondents' attempt at delay, and permit the matter to proceed immediately.

#### **Prior Criminal and Administrative Proceedings**

3. There have been a number of criminal and administrative proceedings against certain Respondents (and certain employees of Respondents). The criminal cases have resulted to date in six guilty pleas to felony charges of violations of the Sherman Act, including three of the corporate Respondents, namely CSAV, "K" Line, and NYK, which have represented to the Federal District Court in those proceedings that restitution to the victims of their criminal conduct was unnecessary due to the pendency of the private civil actions.<sup>2</sup> The Commission also brought enforcement proceedings against CSAV, "K" Line, NYK, and MOL.

4. The government charged CSAV, "K" Line, and NYK in separate one count felony criminal Informations with engaging in "a continuing agreement, understanding, and concert of action among the [Respondent] and its co-conspirators, the substantial terms of which were to

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<sup>2</sup> In addition, three individuals, Takashi Yamaguchi, Toru Otda and Susuma Tanaka of "K" Line pled guilty to felony violations involving a conspiracy to restrain trade in the Vehicle Carrier Services industry, and were each sentenced to prison terms of 14 to 18 months, plus monetary fines. Ex. 1. A grand jury has also returned an indictment of three others, Yoshiyuki Aoki of "K" Line, and Masahiro Kato and Shunichi Kusunose of NYK, charging felony violations of the Sherman Act involving Vehicle Carrier Services. Ex. 2. Those proceedings are continuing.

allocate customers, rig bids, and to fix, stabilize, and maintain prices for international ocean shipping services for roll-on, roll-off cargo, such as cars and trucks, to and from the United States and elsewhere,” in violation of Section 1 of the Sherman Act [Criminal Informations ¶ 6]. Ex. 3.

5. CSAV entered a plea of guilty on May 1, 2014 before Hon. George L. Russell, III of the U.S. District Court for the District of Maryland and was fined \$8.9 million. Ex. 4. “K” Line pled guilty before Judge Russell on November 5, 2014 and was fined \$67.7 million. Ex. 5. And NYK pled guilty before Judge Russell on March 11, 2015 and was fined \$59.4 million. Ex. 6.

6. CSAV, “K” Line, and NYK each entered into a plea agreement with the U.S. government with the following provision concerning restitution:

In light of the civil cases filed against the Defendant, which potentially provide for a recovery of a multiple of actual damages, the recommended sentence does not include a restitution order for the offense charge in the Information.

Plea Agreements ¶ 9(b). Ex. 4, Ex. 5, Ex. 6.

7. During the sentencing hearings, Judge Russell emphasized the serious nature of the offense and its effect on competition:

Certainly the nature and circumstances of the offense, namely, the suppression or the attempt to eliminate competition for the sale of international ocean shipping services for roll-on, roll-off cargo is a serious offense, and it undermines the fair and open and honest competition that international businesses and, quite frankly, national businesses need to engage in.

CSAV hearing transcript at p. 28-29. Ex. 7.

The nature and circumstances of the offense were quite serious. Those intentional and willful suppressing and attempt to suppress competition for the sale of international ocean shipping services for roll-on and roll-off cargo. It’s an extremely serious offense and was appropriately prosecuted by the government.

“K” Line hearing transcript at p. 24. Ex. 8.

Certainly the nature and circumstances of the offense, the suppression and elimination of competition regarding shipping services for roll-on/roll-off cargo through price-fixing and bid-rigging is quite serious. It hurts competitors, it hurts U.S. manufacturers, it hurts our

economy and is very costly. The damage that was done and the losses that were suffered were significant.

NYK hearing transcript at p. 26-27. Ex. 9.

8. Although the Court sentenced each of these entities to substantial criminal fines, totaling \$136 million, it declined to order restitution to the victims of the criminal conduct, citing the existence of the civil cases. For example, at the CSAV hearing, Judge Russell stated:

Further, although restitution is not being ordered directly, based upon the representations of the parties, there are numerous civil cases related to the same conduct, and that the disposition of those civil cases is being handled appropriately, without the necessity for a specific order of restitution.

CSAV hearing transcript (Ex. 7) at p. 30. See also “K” Line hearing transcript (Ex. 8) at p. 25; NYK hearing transcript (Ex. 9) at p. 28.

9. Thus, these Respondents escaped any order of restitution to those harmed by their admitted criminal conspiracy because each represented to the Court and the government that their victims’ claims would be dealt with through the then-pending civil actions.

10. Respondent MOL made an application under the DOJ’s Corporate Leniency Policy, and was conditionally accepted into the leniency program. The DOJ has “a policy of according leniency to corporations reporting their illegal antitrust activity at an early stage, if they meet certain conditions.” To obtain leniency, MOL had to admit its unlawful conduct, fully cooperate in the DOJ’s investigation of anticompetitive conduct in the Vehicle Carrier Services industry, and must make restitution to injured parties. See Ex. 10.<sup>3</sup>

11. Nevertheless, all Respondents, including CSAV, “K” Line, NYK and MOL, moved to dismiss the Sherman Act civil class cases as precluded by 46 U.S.C. § 40307. Indeed, in the briefs

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<sup>3</sup> The DOJ has stated: “There is a strong presumption in favor of requiring restitution in leniency situations. Restitution is excused only where, as a practical matter, it is not possible. . . .” Frequently Asked Questions Regarding the Antitrust Division’s Leniency Program and Model Leniency Letters (Nov. 19, 2008) at p. 18. Ex. 11.

and during the oral argument, Respondents repeatedly asserted that jurisdiction over Complainants' claims lay not before the District Court, but before the Commission under the Shipping Act. For example, Respondents argued:

Because the conduct the [Complainants] allege is prohibited by the Shipping Act, that act provides the exclusive set of remedies for the alleged wrongdoing, and commits jurisdiction over remedies to the FMC... Specifically, the FMC has the authority to hear private complaints and redress "actual injury" through reparations and injunctive relief. 46 U.S.C. §§ 41305, 41306, 41309.

Consolidated Brief in Support of Respondents' Motion to Dismiss at 10-11. (Ex. 12).

12. Several Respondents have entered into Compromise Agreements with the Commission for alleged violations of sections of the Shipping Act, including 46 U.S.C. §§ 41102(b), 41104, 41103(a), and 41105 in connection with the same conduct alleged in the Complaint. *See* File No. 17098 (with "K" Line Japan, imposing a \$1.1 million penalty, approved and accepted August 13, 2013) (Ex. 13); File No. 17098(1) (with NYK Japan, imposing a \$1,225,000 civil penalty, approved and accepted September 26, 2013) (Ex. 14); File No. 17098(2) (with MOL Japan and NMCC, imposing a \$1,275,000 civil penalty, approved and accepted January 15, 2014) (Ex. 15); File No. 17098(3) (with CSAV, imposing a civil penalty of \$625,000, received and accepted February 14, 2014) (Ex. 16). None of the Compromise Agreements included reparations or other remedies for parties harmed by the underlying conduct.

### **Argument**

#### **A. Motion for Stay**

13. While the power to grant a stay is within the sound discretion of the Commission, the party seeking the stay has the burden to demonstrate the need for the stay. In *Landis v. North American, Co.*, 299 U.S. 248, 254-55 (1936), the Supreme Court stated that before a court can even consider whether to grant a motion for stay of discovery, the movant must first "make out a

clear case of hardship or inequity in being required to go forward, if there is even a fair possibility that the stay for which he prays will work damage to someone else.” Respondents have not shown that they will suffer any hardship or inequity if the stay is denied (except by facing those harmed by their conduct). Rather, Complainants will be harmed if the stay were granted.

14. As noted above, Respondents asserted to the District Court that Complainants’ claims belonged before the Commission. Now that Complainants have done exactly as Respondents argued and filed with the Commission a complaint alleging violations of the Shipping Act (not of the Sherman Act) based upon admitted criminal conduct, Respondents seek to stop all proceedings before the Commission indefinitely. Yet the Commission is the only forum in which these Shipping Act claims could be brought, and it is obliged by the statute to resolve the issues raised by Complainants. *See, Cargo One, Inc. v. Cosco Container Lines Co., Ltd.*, Docket No. 99-24, 2000 WL 1648961, at \*15, 28 SRR 1635, 1645 (FMC Oct. 31, 2000) (“[T]he courts . . . are not authorized to address Shipping Act matters exclusively within the Commission’s jurisdiction.”); *Crowley Liner Servs., Inc. v. Puerto Rico Ports Auth.*, Docket No. 00-02, 2001 WL 1632555, 29 SRR 395 (FMC Sept. 20, 2001); *Anchor Shipping Co. v. Aliana Navegao E Logistica LTDA*, Docket No. 02-04, 2006 WL 2007808, 30 SRR 991 (FMC May 10, 2006); *Bimsha Int’l v. Chief Cargo Servs., Inc.*, Docket No. 10-08, 2011 WL 7144011, at \*5, 32 SRR 353 (FMC Dec. 14, 2011); *Yakov Kobel v. Hapag-Lloyd, A.G.*, Docket No. 10-06, 2013 WL 9808671, 32 SRR 1720 (FMC July 12, 2013).

15. Respondents cite to the Commission’s order staying proceedings in *General Motors LLC v. Nippon Yusen Kabushiki Kaisha*, Docket No. 15-08 \_\_ SRR \_\_\_, 2016 WL 232546 (FMC Jan. 5, 2016). That order has no binding, or even persuasive, effect on these proceedings. First, GM’s civil antitrust action in the federal district court is still pending, unlike Complainants’ Sherman

Act claims, which have been dismissed. Second, the stay in the GM matter was granted pursuant to a joint motion – that is, GM and Respondents agreed that, under the circumstances of that proceeding, there should be a stay. Thus, whether a stay would harm any party was not litigated, and the granting of that motion to stay has no effect in the present proceedings.

16. While Complainants have appealed from the dismissal of their Sherman Act claims, that appeal has been stayed indefinitely pending other proceedings in the District Court that involve different plaintiffs that are not part of this proceeding.

17. In any event, the causes of action and the relief sought by Complainants in the present proceedings before the Commission are under the Shipping Act and are distinct from the causes of action and relief sought in the Sherman Act claims in the District Court. *See, e.g., Bimsha Int'l, supra*, 2011 WL 7144011, at \*5, (“[Respondent] does not cite any authority supporting its contention that an act by a common carrier that may have violated the Webb-Pomerene Act cannot also violate section 10(d)(1) of the Shipping Act and be sanctioned by the Commission.”). Thus, even if Complainants eventually prevail on appeal in the civil case, they would still be entitled to pursue these Shipping Act claims before the Commission.

18. Delay of all proceedings before the Commission will harm Complainants. As noted above, certain Respondents represented in the criminal proceedings that there was no need for restitution to the victims of their criminal conduct because of the pendency of the civil actions. Notwithstanding those representations, which the Court relied upon in imposing sentences without requiring restitution, Respondents moved to dismiss the Sherman Act claims and asserted that the claims should be brought before the Commission under the Shipping Act. If this proceeding were to be stayed pending further action in the District Court and the Court of Appeals, Complainants’ claims under the Shipping Act, which are their only claims currently pending in any forum, will



be delayed indefinitely, and for no valid reason. Memories will fade, witnesses will become unavailable, and evidence may be forever lost, while strictly procedural matters are at issue on the appeal. Respondents should be required to assert any and all defenses now, either through a motion to dismiss this proceeding or in their answers to the Complaint, and to proceed with discovery so that Complainants' rights will be protected.

19. The various elements cited by Respondents to be considered do not support a stay here.

20. The first-filed court/status of the District Court litigation: There are no further proceedings on Complainants' Sherman Act claims in the District Court, which were entirely dismissed as precluded by the Shipping Act. And, the appeal to the Third Circuit, which has been indefinitely stayed pending other proceedings not involving Complainants, does not address the Shipping Act claims brought here.

21. Convenience of the forum: The Commission is as convenient to the parties and counsel as the District Court for the District of New Jersey. Moreover, given the nature of their business, Respondents undoubtedly have frequent contact with the Commission.

22. Desirability of avoiding piecemeal litigation: Given that Complainants' Sherman Act claims have been dismissed, and that their appeal has been stayed indefinitely, there will be no duplicative litigation over the distinct Shipping Act claims raised here.

23. The law providing the rule of decision: Respondents have asserted that the law governing the claims asserted by Complainants is the Shipping Act. By filing a complaint with the Commission premised on violations of the Shipping Act (rather than the Sherman Act), Complainants have brought such claims before the only body empowered to decide them. There is no dispute as to the applicability of the Shipping Act to those claims.

24. The adequacy of the forum to protect the parties' rights: The Commission is the only tribunal empowered to hear and decide the claims under the Shipping Act, and is the appropriate forum to protect all parties' rights on the merits of those claims.

25. Whether one of the actions is vexatious or reactive: Neither the Sherman Act claims nor the Shipping Act claims are vexatious. Complainants disagree with Respondents' assertion that the proceeding before the Commission is merely "protective." Rather, it is the assertion of Complainants' rights under the Shipping Act (which are distinct from those under the Sherman Act), as Respondents urged in the civil action is the only appropriate course to be pursued.

26. The Commission's interest in resolving controversies efficiently: The Commission's interest in resolving disputes in an efficient matter is demonstrated by its order targeting a final decision on the merits of this matter by July 1, 2017. Complainants agree that these claims should be adjudicated and resolved efficiently and as promptly as possible.

27. The stage of the litigation: Complainants' Sherman Act claims in the District Court have been entirely dismissed on a motion to dismiss, and they have nothing further pending in that Court. There has been minimal discovery<sup>4</sup> and no proceedings on the merits of those claims. Complainants have filed claims under the Shipping Act with the Commission, as is their right, and are prepared to proceed.

28. Whether the non-moving party will be unduly prejudiced or tactically disadvantaged by a stay: Complainants will be extremely disadvantaged by a stay. If a stay were granted, resolution of Complainants' rights under the Shipping Act would be delayed for an extended period for no valid purpose. Over time, evidence may be lost and testimony may be no longer available, thus

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<sup>4</sup> MOL alone has produced some documents to Complainants' counsel.

prejudicing Complainants' ability to adduce proof of their claims and obtain relief as provided by the Shipping Act.

29. Whether a stay will simplify issues: A stay will not simplify issues here. Further proceedings in connection with the appeal from the District Court will only resolve procedural matters (*i.e.*, did the District Court err in dismissing the Sherman Act claims as barred by the Shipping Act), and not substantive merits-related matters (*i.e.*, did Respondents enter into unfiled and unlawful agreements, which caused the price of Vehicle Carrier Services to be fixed, raised or maintained). The appeal will not resolve Shipping Act claims and there is no question that the Commission is the appropriate forum to determine those claims.

#### **B. Class Certification**

30. In its Order of February 3, 2016, the Judge asked for the parties' position on when to address whether the Commission may entertain this proceeding as a class action. Class certification matters are generally deferred until a later stage of the case, after any motions to dismiss have been decided, and some discovery has taken place. At that time, all issues relating to class certification, including whether Rule 23 may apply to these proceedings, may be decided on an appropriate record. At the outset, Respondents should produce all materials they produced to the government in connection with its investigation of the Vehicle Carrier Services industry.

#### **Conclusion**

31. Complainants respectfully request that the Commission (a) deny Respondents' motion for a stay, and (b) set a schedule for responses to the complaint and the commencement of discovery and for all other proceedings, including briefing on a class motion, so that this matter can proceed on an appropriate schedule for resolution on the merits.

Dated: February 16, 2016



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# **Exhibit 1**

FILED  
U.S. DISTRICT COURT  
United States District Court  
District of Maryland  
2015 FEB 11 AM 10

UNITED STATES OF AMERICA  
AT BALTIMORE

JUDGMENT IN A CRIMINAL CASE  
(For Offenses Committed on or After November 1, 1987)

v. BY \_\_\_\_\_ DEPUTY

TAKASHI YAMAGUCHI

Case Number: GLR-1-14-CR-00613-001

USM Number: N/A

Defendant's Attorney: James M. Becker, Esq. (Ret.)

Assistant U.S. Attorney: Carsten M. Reichel & Emma M. Burnham

**THE DEFENDANT:**

- ☒ pleaded guilty to count 1 of the Criminal Information  
☐ pleaded nolo contendere to count(s) \_\_\_\_\_, which was accepted by the court.  
☐ was found guilty on count(s) \_\_\_\_\_ after a plea of not guilty.

Title & Section  
15:1

Nature of Offense  
Conspiracy to Restrain Trade

Date  
Offense Concluded  
7/2006 - 4/2010

Count  
Number  
1

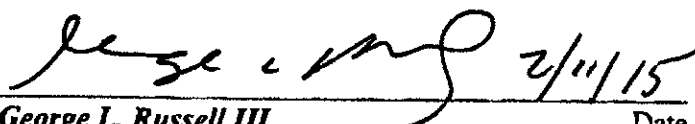
The defendant is adjudged guilty of the offenses listed above and sentenced as provided in pages 2 through 4 of this judgment. The sentence is imposed pursuant to the Sentencing Reform Act of 1984 as modified by U.S. v. Booker, 125 S. Ct. 738 (2005).

- ☐ The defendant has been found not guilty on count(s) \_\_\_\_\_  
☐ Count(s) \_\_\_\_\_ (is)(are) dismissed on the motion of the United States.

**IT IS FURTHER ORDERED** that the defendant shall notify the United States Attorney for this district within 30 days of any change of name, residence, or mailing address until all fines, restitution, costs, and special assessments imposed by this judgment are fully paid.

February 6, 2015

Date of Imposition of Judgment

  
George L. Russell III  
United States District Judge

Date

Name of Court Reporter: Jackie Sovich

DEFENDANT: TAKASHI YAMAGUCHI

CASE NUMBER: GLR-1-14-CR-00613-001

**IMPRISONMENT**

The defendant is hereby committed to the custody of the United States Bureau of Prisons to be imprisoned for a total term of 14 months.

☒ The court makes the following recommendations to the Bureau of Prisons: that the defendant be designated to the FPC at Lompoc for service of his sentence.

☐ The defendant is remanded to the custody of the United States Marshal.

☐ The defendant shall surrender to the United States Marshal for this district:

☐ at \_\_\_\_\_ a.m./p.m. on \_\_\_\_\_.

☐ as notified by the United States Marshal.

☒ The defendant shall surrender, at his own expense, to the institution designated by the Bureau of Prisons at the date and time specified in a written notice to be sent to the defendant by the United States Marshal. If the defendant does not receive such a written notice, defendant shall surrender to the United States Marshal:

☒ before 2 p.m. on Tuesday, March 17, 2015.

A defendant who fails to report either to the designated institution or to the United States Marshal as directed shall be subject to the penalties of Title 18 U.S.C. §3146. If convicted of an offense while on release, the defendant shall be subject to the penalties set forth in 18 U.S.C. §3147. For violation of a condition of release, the defendant shall be subject to the sanctions set forth in Title 18 U.S.C. §3148. Any bond or property posted may be forfeited and judgment entered against the defendant and the surety in the full amount of the bond.

**RETURN**

I have executed this judgment as follows:

Defendant delivered on \_\_\_\_\_ to \_\_\_\_\_ at \_\_\_\_\_, with a certified copy of this judgment.

\_\_\_\_\_  
UNITED STATES MARSHAL

By: \_\_\_\_\_  
DEPUTY U.S. MARSHAL

DEFENDANT: TAKASHI YAMAGUCHI

CASE NUMBER: GLR-1-14-CR-00613-001

**CRIMINAL MONETARY PENALTIES**

The defendant must pay the total criminal monetary penalties under the schedule of payments on Sheet 6.

|                                                     | <u>Assessment</u> | <u>Fine</u>  | <u>Restitution</u> |
|-----------------------------------------------------|-------------------|--------------|--------------------|
| <b>TOTALS</b>                                       | \$ 100.00         | \$ 20,000.00 | \$ N/A             |
| <input type="checkbox"/> CVB Processing Fee \$25.00 |                   |              |                    |

☐ The determination of restitution is deferred until Click here to enter a date.. *An Amended Judgment in a Criminal Case (AO 245C)* will be entered after such determination.

☐ The defendant must make restitution (including community restitution) to the following payees in the amount listed below.

If the defendant makes a partial payment, each payee shall receive an approximately proportioned payment, unless specified otherwise in the priority order or percentage payment column below. However, pursuant to 18 U.S.C. § 3664(i), all nonfederal victims must be paid before the United States is paid.

| <u>Name of Payee</u> | <u>Total Loss*</u> | <u>Restitution Ordered</u> | <u>Priority or Percentage</u> |
|----------------------|--------------------|----------------------------|-------------------------------|
|                      | 0                  | 0                          |                               |

|               |    |   |    |   |
|---------------|----|---|----|---|
| <b>TOTALS</b> | \$ | 0 | \$ | 0 |
|---------------|----|---|----|---|

☐ Restitution amount ordered pursuant to plea agreement \_\_\_\_\_

☐ The defendant must pay interest on restitution and a fine of more than \$2,500, unless the restitution or fine is paid in full before the fifteenth day after the date of the judgment, pursuant to 18 U.S.C. § 3612(f). All of the payment options on Sheet 6 may be subject to penalties for delinquency and default, pursuant to 18 U.S.C. § 3612(g).

☐ The court determined that the defendant does not have the ability to pay interest and it is ordered that:

☐ the interest requirement is waived for the ☐ fine ☐ restitution

☐ the interest requirement for the ☐ fine ☐ restitution is modified as follows:

\* Findings for the total amount of losses are required under Chapters 109A, 110, 110A, and 113A of Title 18 for offenses committed on or after September 13, 1994, but before April 23, 1996.



Sheet 6 - Judgment in a Criminal Case with Supervised Release (Rev. 11/2011)

CASE NUMBER: GLR-1-14-CR-00613-001

DEFENDANT: TAKASHI YAMAGUCHI

**SCHEDULE OF PAYMENTS**

Payments shall be applied in the following order: (1) assessment, (2) restitution principal, (3) restitution interest, (4) fine principal, (5) fine interest, (6) community restitution, (7) penalties, and (8) costs, including cost of prosecution and court costs.

Payment of the total fine and other criminal monetary penalties shall be due as follows:

- A ☒ Special Assessment to be paid in full immediately;
- B ☐ \$\_\_\_\_\_ immediately, balance due (in accordance with C, D, or E); or
- C ☒ Fine in the amount of \$20,000.00 shall be paid before the 15<sup>th</sup> day after the date of this judgment.
- D ☐ Installments to commence \_\_\_\_\_ day(s) after the date of this judgment.
- E ☐ In \_\_\_\_\_ (e.g. equal weekly, monthly, quarterly) installments of \$\_\_\_\_\_ over a period of \_\_\_\_\_ year(s) to commence when the defendant is placed on supervised release.

The defendant will receive credit for all payments previously made toward any criminal monetary penalties imposed.

Unless the court expressly orders otherwise, if this judgment imposes a period of imprisonment, payment of criminal monetary penalties shall be due during the period of imprisonment. All criminal monetary penalties, except those payments made through the Bureau of Prisons Inmate Financial Responsibility Program, are to be made to the Clerk of the Court.

If the entire amount of criminal monetary penalties is not paid prior to the commencement of supervision, the balance shall be paid:

- ☐ in equal monthly installments during the term of supervision; or
- ☐ on a nominal payment schedule of \$\_\_\_\_\_ per month during the term of supervision.

The U.S. probation officer may recommend a modification of the payment schedule depending on the defendant's financial circumstances.

Special instructions regarding the payment of criminal monetary penalties:

- ☐ Joint and Several

Defendant and Co-Defendant Names and Case Numbers (including defendant number), Total Amount, Joint and Several Amount, and corresponding payee, if appropriate.

- ☐ The defendant shall pay the cost of prosecution.
- ☐ The defendant shall pay the following court cost(s):
- ☐ The defendant shall forfeit the defendant's interest in the following property to the United States:

FILED  
U.S. DISTRICT COURT  
DISTRICT OF MARYLAND

United States District Court  
District of Maryland

2015 APR -3 AM 11:45

rmk

UNITED STATES OF AMERICA  
CLERK'S OFFICE  
AT BALTIMORE

JUDGMENT IN A CRIMINAL CASE  
(For Offenses Committed on or After November 1, 1987)

BY \_\_\_\_\_ DEPUTY  
Toru Otoda

Case Number: GLR-1-15-CR-00034-001

Defendant's Attorney: Bradley S. Lui, (Ret.)  
U.S. Department of Justice Attorneys:  
Emma M. Burnham & Jon B. Jacobs

**THE DEFENDANT:**

- ☒ pleaded guilty to count 1 of the criminal Information.  
☐ pleaded nolo contendere to count(s) \_\_\_\_\_, which was accepted by the court.  
☐ was found guilty on count(s) \_\_\_\_\_ after a plea of not guilty.

Title & Section  
15 §1

Nature of Offense  
Conspiracy to Restrain Trade

Date  
Offense Concluded  
June 2014

Count  
Number(s)  
1

The defendant is adjudged guilty of the offenses listed above and sentenced as provided in pages 2 through 6 of this judgment. The sentence is imposed pursuant to the Sentencing Reform Act of 1984 as modified by U.S. v. Booker, 125 S. Ct. 738 (2005).

- ☐ The defendant has been found not guilty on count(s) \_\_\_\_\_  
☐ Count(s) \_\_\_\_\_ (is)(are) dismissed on the motion of the United States.

**IT IS FURTHER ORDERED** that the defendant shall notify the United States Attorney for this district within 30 days of any change of name, residence, or mailing address until all fines, restitution, costs, and special assessments imposed by this judgment are fully paid.

March 26, 2015  
Date of Imposition of Judgment

George L. Russell III 4/2/15  
George L. Russell III Date  
United States District Judge

Name of Court Reporter: FTR

DEFENDANT: Toru Otoda

CASE NUMBER: GLR-1-15-CR-00034-001

## IMPRISONMENT

The defendant is hereby committed to the custody of the United States Bureau of Prisons to be imprisoned for a total term of 18 months.

☒ The court makes the following recommendations to the Bureau of Prisons:

That the defendant be designated to CI Taft minimum security camp for service of his sentence.

☐ The defendant is remanded to the custody of the United States Marshal.

☐ The defendant shall surrender to the United States Marshal for this district:

☐ at \_\_\_\_\_ a.m./p.m. on \_\_\_\_\_.

☐ as notified by the United States Marshal.

☒ The defendant shall surrender, at his own expense, to the institution designated by the Bureau of Prisons at the date and time specified in a written notice to be sent to the defendant by the United States Marshal. If the defendant does not receive such a written notice, defendant shall surrender to the United States Marshal:

☒ before 2 p.m. on June 5, 2015.

A defendant who fails to report either to the designated institution or to the United States Marshal as directed shall be subject to the penalties of Title 18 U.S.C. §3146. If convicted of an offense while on release, the defendant shall be subject to the penalties set forth in 18 U.S.C. §3147. For violation of a condition of release, the defendant shall be subject to the sanctions set forth in Title 18 U.S.C. §3148. Any bond or property posted may be forfeited and judgment entered against the defendant and the surety in the full amount of the bond.

## RETURN

I have executed this judgment as follows:

Defendant delivered on \_\_\_\_\_ to \_\_\_\_\_ at \_\_\_\_\_, with a certified copy of this judgment.

\_\_\_\_\_  
UNITED STATES MARSHAL

By: \_\_\_\_\_  
DEPUTY U.S. MARSHAL

DEFENDANT: Toru Otda

CASE NUMBER: GLR-1-15-CR-00034-001

## SUPERVISED RELEASE

Upon release from imprisonment, the defendant shall be on supervised release for a term of No term of supervised release is imposed.

**The defendant shall comply with all of the following conditions:**

The defendant shall report to the probation office in the district to which the defendant is released within 72 hours of release from the custody of the Bureau of Prisons.

### A. STATUTORY CONDITIONS OF SUPERVISED RELEASE

- 1) The defendant shall not commit any federal, state or local crime.
- 2) In any felony case, the defendant shall not possess a firearm or ammunition as defined in 18 U.S.C. §921.
- 3) The defendant shall not illegally use or possess a controlled substance.
- 4) The defendant shall submit to one drug test within 15 days of release from imprisonment and at least two periodic drug tests thereafter, as directed by the probation officer.
- ☒ The above drug testing condition is suspended based on the court's determination that the defendant poses a low risk of future substance abuse. (Check, if applicable.)
- 5) Pursuant to Pub. Law 108-405, Revised DNA Collection Requirements Under the Justice for All Act of 2004, if applicable, the defendant shall cooperate in the collection of DNA while incarcerated in the Bureau of Prisons, or as directed by the probation officer.
- 6) If this judgment imposes any criminal monetary penalty, including special assessment, fine, or restitution, it shall be a condition of supervised release that the defendant pay any such monetary penalty that remains unpaid at the commencement of the term of supervised release in accordance with the Schedule of Payments set forth in the Criminal Monetary Penalties sheet of this judgment. The defendant shall notify the court of any material change in the defendant's economic circumstances that might affect the defendant's ability to pay restitution, fines, or special assessments.

### B. STANDARD CONDITIONS OF SUPERVISION

- 1) The defendant shall not leave the judicial district without the permission of the court or probation officer;
- 2) The defendant shall report to the probation officer in a manner and frequency directed by the court or probation officer;
- 3) The defendant shall answer truthfully all inquiries by the probation officer and follow the instructions of the probation officer;
- 4) The defendant shall support his or her dependents and meet other family responsibilities;
- 5) The defendant shall work regularly at a lawful occupation unless excused by the probation officer for schooling, training, or other acceptable reasons;
- 6) The defendant shall notify the probation officer ten days prior to any change in residence or employment;
- 7) The defendant shall refrain from excessive use of alcohol;
- 8) The defendant shall not frequent places where controlled substances are illegally sold, used, distributed, or administered;
- 9) The defendant shall not associate with any persons engaged in criminal activity, and shall not associate with any persons convicted of a felony unless granted permission to do so by the probation officer;
- 10) The defendant shall permit a probation officer to visit him or her at any time at home or elsewhere and shall permit confiscation of any contraband observed in plain view of the probation officer;
- 11) The defendant shall notify the probation officer within 72 hours of being arrested or questioned by a law enforcement officer;
- 12) The defendant shall notify the probation officer within 72 hours of being charged with any offense, including a traffic offense;
- 13) The defendant shall not enter into any agreement to act as an informer or special agent of a law enforcement agency without the permission of the court;
- 14) As directed by the probation officer, the defendant shall notify third parties of risks that may be occasioned by the defendant's criminal record or personal history or characteristics, and shall permit the probation officer to make such notifications and to confirm the defendant's compliance with such notification requirement.

**DEFENDANT: Toru Otoda**

**CASE NUMBER: GLR-1-15-CR-00034-001**

**C. SUPERVISED RELEASE  
ADDITIONAL CONDITIONS**

N/A

DEFENDANT: Toru Otda

CASE NUMBER: GLR-1-15-CR-00034-001

**CRIMINAL MONETARY PENALTIES**

The defendant must pay the total criminal monetary penalties under the schedule of payments on Sheet 6.

|                                                     | <u>Assessment</u> | <u>Fine</u>  | <u>Restitution</u> |
|-----------------------------------------------------|-------------------|--------------|--------------------|
| <b>TOTALS</b>                                       | \$ 100.00         | \$ 20,000.00 | \$ N/A             |
| <input type="checkbox"/> CVB Processing Fee \$25.00 |                   |              |                    |

☐ The determination of restitution is deferred until [Click here to enter a date..](#) An Amended Judgment in a Criminal Case (AO 245C) will be entered after such determination.

☐ The defendant must make restitution (including community restitution) to the following payees in the amount listed below.

If the defendant makes a partial payment, each payee shall receive an approximately proportioned payment, unless specified otherwise in the priority order or percentage payment column below. However, pursuant to 18 U.S.C. § 3664(i), all nonfederal victims must be paid before the United States is paid.

| <u>Name of Payee</u> | <u>Total Loss*</u> | <u>Restitution Ordered</u> | <u>Priority or Percentage</u> |
|----------------------|--------------------|----------------------------|-------------------------------|
|                      | 0                  | 0                          |                               |

|               |    |   |    |   |
|---------------|----|---|----|---|
| <b>TOTALS</b> | \$ | 0 | \$ | 0 |
|---------------|----|---|----|---|

☐ Restitution amount ordered pursuant to plea agreement \_\_\_\_\_

☐ The defendant must pay interest on restitution and a fine of more than \$2,500, unless the restitution or fine is paid in full before the fifteenth day after the date of the judgment, pursuant to 18 U.S.C. § 3612(f). All of the payment options on Sheet 6 may be subject to penalties for delinquency and default, pursuant to 18 U.S.C. § 3612(g).

☐ The court determined that the defendant does not have the ability to pay interest and it is ordered that:

☐ the interest requirement is waived for the ☐ fine ☐ restitution

☐ the interest requirement for the ☐ fine ☐ restitution is modified as follows:

\* Findings for the total amount of losses are required under Chapters 109A, 110, 110A, and 113A of Title 18 for offenses committed on or after September 13, 1994, but before April 23, 1996.

DEFENDANT: Toru Otoda

CASE NUMBER: GLR-1-15-CR-00034-001

**SCHEDULE OF PAYMENTS**

Payments shall be applied in the following order: (1) assessment, (2) restitution principal, (3) restitution interest, (4) fine principal, (5) fine interest, (6) community restitution, (7) penalties, and (8) costs, including cost of prosecution and court costs.

Payment of the total fine and other criminal monetary penalties shall be due as follows:

- A ☒ In full immediately; or (15) days after the date of this judgment.
- B ☐ \$\_\_\_\_\_ immediately, balance due (in accordance with C, D, or E); or
- C ☐ Not later than \_\_\_\_\_; or
- D ☐ Installments to commence \_\_\_\_\_ day(s) after the date of this judgment.
- E ☐ In \_\_\_\_\_ (e.g. *equal weekly, monthly, quarterly*) installments of \$\_\_\_\_\_ over a period of \_\_\_\_\_ year(s) to commence when the defendant is placed on supervised release.

The defendant will receive credit for all payments previously made toward any criminal monetary penalties imposed.

Unless the court expressly orders otherwise, if this judgment imposes a period of imprisonment, payment of criminal monetary penalties shall be due during the period of imprisonment. All criminal monetary penalties, except those payments made through the Bureau of Prisons Inmate Financial Responsibility Program, are to be made to the Clerk of the Court.

If the entire amount of criminal monetary penalties is not paid prior to the commencement of supervision, the balance shall be paid:

- ☐ in equal monthly installments during the term of supervision; or
- ☐ on a nominal payment schedule of \$\_\_\_\_\_ per month during the term of supervision.

The U.S. probation officer may recommend a modification of the payment schedule depending on the defendant's financial circumstances.

Special instructions regarding the payment of criminal monetary penalties:

- ☐ Joint and Several

Defendant and Co-Defendant Names and Case Numbers (including defendant number), Total Amount, Joint and Several Amount, and corresponding payee, if appropriate.

- ☐ The defendant shall pay the cost of prosecution.
- ☐ The defendant shall pay the following court cost(s):
- ☐ The defendant shall forfeit the defendant's interest in the following property to the United States:

**United States District Court**  
**District of Maryland**

2015 MAR 11 PM 3:32

UNITED STATES OF AMERICA  
CLERK'S OFFICE  
AT BALTIMORE

**JUDGMENT IN A CRIMINAL CASE**

(For Offenses Committed on or After November 1, 1987)

v.

BY                      DEPUTY Case Number: GLR-1-15-CR-00022-001  
Susumu Tanaka

USM Number: N/A

Defendant's Attorney: John Hundley & Jesse Winograd  
(Ret.)

U.S. Department of Justice Attorneys: Emma M.  
Burnham & Carsten M. Reichel

**THE DEFENDANT:**

- ☒ pleaded guilty to count 1 of the criminal information.  
☐ pleaded nolo contendere to count(s)           , which was accepted by the court.  
☐ was found guilty on count(s)            after a plea of not guilty.

Title & Section  
15§1

Nature of Offense  
Conspiracy to restrain trade

Date  
Offense Concluded  
September 2012

Count  
Number(s)  
1

The defendant is adjudged guilty of the offenses listed above and sentenced as provided in pages 2 through 6 of this judgment. The sentence is imposed pursuant to the Sentencing Reform Act of 1984 as modified by U.S. v. Booker, 125 S. Ct. 738 (2005).

- ☐ The defendant has been found not guilty on count(s)             
☐ Count(s)            (is)(are) dismissed on the motion of the United States.

**IT IS FURTHER ORDERED** that the defendant shall notify the United States Attorney for this district within 30 days of any change of name, residence, or mailing address until all fines, restitution, costs, and special assessments imposed by this judgment are fully paid.

March 10, 2015  
Date of Imposition of Judgment

George L. Russell III 3/11/15  
Date  
United States District Judge

Name of Court Reporter: Christine Asif



DEFENDANT: Susumu Tanaka

CASE NUMBER: GLR-1-15-CR-00022-001

## IMPRISONMENT

The defendant is hereby committed to the custody of the United States Bureau of Prisons to be imprisoned for a total term of 15 months.

☒ The court makes the following recommendations to the Bureau of Prisons:  
CI Taft minimum security camp

☐ The defendant is remanded to the custody of the United States Marshal.

☐ The defendant shall surrender to the United States Marshal for this district:

☐ at \_\_\_\_\_ a.m./p.m. on \_\_\_\_\_.

☐ as notified by the United States Marshal.

☒ The defendant shall surrender, at his own expense, to the institution designated by the Bureau of Prisons at the date and time specified in a written notice to be sent to the defendant by the United States Marshal. If the defendant does not receive such a written notice, defendant shall surrender to the United States Marshal:

☒ before 2 p.m. on May 1, 2015.

A defendant who fails to report either to the designated institution or to the United States Marshal as directed shall be subject to the penalties of Title 18 U.S.C. §3146. If convicted of an offense while on release, the defendant shall be subject to the penalties set forth in 18 U.S.C. §3147. For violation of a condition of release, the defendant shall be subject to the sanctions set forth in Title 18 U.S.C. §3148. Any bond or property posted may be forfeited and judgment entered against the defendant and the surety in the full amount of the bond.

## RETURN

I have executed this judgment as follows:

Defendant delivered on \_\_\_\_\_ to \_\_\_\_\_ at \_\_\_\_\_, with a certified copy of this judgment.

\_\_\_\_\_  
UNITED STATES MARSHAL

By: \_\_\_\_\_  
DEPUTY U.S. MARSHAL

DEFENDANT: Susumu Tanaka

CASE NUMBER: GLR-1-15-CR-00022-001

## SUPERVISED RELEASE

Upon release from imprisonment, the defendant shall be on supervised release for a term of no term of supervised release imposed.

The defendant shall comply with all of the following conditions:

The defendant shall report to the probation office in the district to which the defendant is released within 72 hours of release from the custody of the Bureau of Prisons.

### A. STATUTORY CONDITIONS OF SUPERVISED RELEASE

- 1) The defendant shall not commit any federal, state or local crime.
- 2) In any felony case, the defendant shall not possess a firearm or ammunition as defined in 18 U.S.C. §921.
- 3) The defendant shall not illegally use or possess a controlled substance.
- 4) The defendant shall submit to one drug test within 15 days of release from imprisonment and at least two periodic drug tests thereafter, as directed by the probation officer.
- ☒ The above drug testing condition is suspended based on the court's determination that the defendant poses a low risk of future substance abuse. (Check, if applicable.)
- 5) Pursuant to Pub. Law 108-405, Revised DNA Collection Requirements Under the Justice for All Act of 2004, if applicable, the defendant shall cooperate in the collection of DNA while incarcerated in the Bureau of Prisons, or as directed by the probation officer.
- 6) If this judgment imposes any criminal monetary penalty, including special assessment, fine, or restitution, it shall be a condition of supervised release that the defendant pay any such monetary penalty that remains unpaid at the commencement of the term of supervised release in accordance with the Schedule of Payments set forth in the Criminal Monetary Penalties sheet of this judgment. The defendant shall notify the court of any material change in the defendant's economic circumstances that might affect the defendant's ability to pay restitution, fines, or special assessments.

### B. STANDARD CONDITIONS OF SUPERVISION

- 1) The defendant shall not leave the judicial district without the permission of the court or probation officer;
- 2) The defendant shall report to the probation officer in a manner and frequency directed by the court or probation officer;
- 3) The defendant shall answer truthfully all inquiries by the probation officer and follow the instructions of the probation officer;
- 4) The defendant shall support his or her dependents and meet other family responsibilities;
- 5) The defendant shall work regularly at a lawful occupation unless excused by the probation officer for schooling, training, or other acceptable reasons;
- 6) The defendant shall notify the probation officer ten days prior to any change in residence or employment;
- 7) The defendant shall refrain from excessive use of alcohol;
- 8) The defendant shall not frequent places where controlled substances are illegally sold, used, distributed, or administered;
- 9) The defendant shall not associate with any persons engaged in criminal activity, and shall not associate with any persons convicted of a felony unless granted permission to do so by the probation officer;
- 10) The defendant shall permit a probation officer to visit him or her at any time at home or elsewhere and shall permit confiscation of any contraband observed in plain view of the probation officer;
- 11) The defendant shall notify the probation officer within 72 hours of being arrested or questioned by a law enforcement officer;
- 12) The defendant shall notify the probation officer within 72 hours of being charged with any offense, including a traffic offense;
- 13) The defendant shall not enter into any agreement to act as an informer or special agent of a law enforcement agency without the permission of the court;
- 14) As directed by the probation officer, the defendant shall notify third parties of risks that may be occasioned by the defendant's criminal record or personal history or characteristics, and shall permit the probation officer to make such notifications and to confirm the defendant's compliance with such notification requirement.

**DEFENDANT: Susumu Tanaka**

**CASE NUMBER: GLR-1-15-CR-00022-001**

**C. SUPERVISED RELEASE  
ADDITIONAL CONDITIONS**

DEFENDANT: Susumu Tanaka

CASE NUMBER: GLR-1-15-CR-00022-001

**CRIMINAL MONETARY PENALTIES**

The defendant must pay the total criminal monetary penalties under the schedule of payments on Sheet 6.

|                                                     | <u>Assessment</u> | <u>Fine</u>         | <u>Restitution</u> |
|-----------------------------------------------------|-------------------|---------------------|--------------------|
| <b>TOTALS</b>                                       | <b>\$ 100.00</b>  | <b>\$ 20,000.00</b> | <b>\$ N/A</b>      |
| <input type="checkbox"/> CVB Processing Fee \$25.00 |                   |                     |                    |

- ☐ The determination of restitution is deferred until Click here to enter a date.. *An Amended Judgment in a Criminal Case* (AO 245C) will be entered after such determination.
- ☐ The defendant must make restitution (including community restitution) to the following payees in the amount listed below.

If the defendant makes a partial payment, each payee shall receive an approximately proportioned payment, unless specified otherwise in the priority order or percentage payment column below. However, pursuant to 18 U.S.C. § 3664(i), all nonfederal victims must be paid before the United States is paid.

| <u>Name of Payee</u> | <u>Total Loss*</u> | <u>Restitution Ordered</u> | <u>Priority or Percentage</u> |
|----------------------|--------------------|----------------------------|-------------------------------|
|                      | 0                  | 0                          |                               |

|               |             |             |
|---------------|-------------|-------------|
| <b>TOTALS</b> | \$ <u>0</u> | \$ <u>0</u> |
|---------------|-------------|-------------|

- ☐ Restitution amount ordered pursuant to plea agreement \_\_\_\_\_
- ☐ The defendant must pay interest on restitution and a fine of more than \$2,500, unless the restitution or fine is paid in full before the fifteenth day after the date of the judgment, pursuant to 18 U.S.C. § 3612(f). All of the payment options on Sheet 6 may be subject to penalties for delinquency and default, pursuant to 18 U.S.C. § 3612(g).
- ☐ The court determined that the defendant does not have the ability to pay interest and it is ordered that:
- ☐ the interest requirement is waived for the ☐ fine ☐ restitution
- ☐ the interest requirement for the ☐ fine ☐ restitution is modified as follows:

\* Findings for the total amount of losses are required under Chapters 109A, 110, 110A, and 113A of Title 18 for offenses committed on or after September 13, 1994, but before April 23, 1996.

DEFENDANT: Susumu Tanaka

CASE NUMBER: GLR-1-15-CR-00022-001

**SCHEDULE OF PAYMENTS**

Payments shall be applied in the following order: (1) assessment, (2) restitution principal, (3) restitution interest, (4) fine principal, (5) fine interest, (6) community restitution, (7) penalties, and (8) costs, including cost of prosecution and court costs.

Payment of the total fine and other criminal monetary penalties shall be due as follows:

- A ☒ In full immediately; or
- B ☐ \$\_\_\_\_\_ immediately, balance due (in accordance with C, D, or E); or
- C ☐ Not later than \_\_\_\_\_; or
- D ☐ Installments to commence \_\_\_\_\_ day(s) after the date of this judgment.
- E ☐ In \_\_\_\_\_ (e.g. *equal weekly, monthly, quarterly*) installments of \$\_\_\_\_\_ over a period of \_\_\_\_\_ year(s) to commence when the defendant is placed on supervised release.

The defendant will receive credit for all payments previously made toward any criminal monetary penalties imposed.

Unless the court expressly orders otherwise, if this judgment imposes a period of imprisonment, payment of criminal monetary penalties shall be due during the period of imprisonment. All criminal monetary penalties, except those payments made through the Bureau of Prisons Inmate Financial Responsibility Program, are to be made to the Clerk of the Court.

If the entire amount of criminal monetary penalties is not paid prior to the commencement of supervision, the balance shall be paid:

- ☐ in equal monthly installments during the term of supervision; or
- ☐ on a nominal payment schedule of \$\_\_\_\_\_ per month during the term of supervision.

The U.S. probation officer may recommend a modification of the payment schedule depending on the defendant's financial circumstances.

Special instructions regarding the payment of criminal monetary penalties:

- ☐ Joint and Several

Defendant and Co-Defendant Names and Case Numbers (including defendant number), Total Amount, Joint and Several Amount, and corresponding payee, if appropriate.

- ☐ The defendant shall pay the cost of prosecution.
- ☐ The defendant shall pay the following court cost(s):
- ☐ The defendant shall forfeit the defendant's interest in the following property to the United States:

# **Exhibit 2**

UNITED STATES DISTRICT COURT  
DISTRICT OF MARYLAND  
BALTIMORE DIVISION

FILED  
U.S. DISTRICT COURT  
DISTRICT OF MARYLAND  
2015 OCT -6 PM 3:02

CLERK'S OFFICE  
AT BALTIMORE

UNITED STATES OF AMERICA )

v. )

YOSHIYUKI AOKI,  
MASAHIRO KATO, and  
SHUNICHI KUSUNOSE )

Defendants. )

Criminal No.:

BY K DEPUTY

Date:

GLR-15-0524

Violation: 15 U.S.C. § 1 (Sherman Act)

INDICTMENT

THE GRAND JURY CHARGES:

Description of the Offense

1. From at least as early as the dates alleged herein until at least September 2012, the exact dates being unknown to the Grand Jury, in the District of Maryland and elsewhere, Defendants and their co-conspirators participated in a conspiracy among ocean carriers of roll-on, roll-off cargo, to suppress and eliminate competition by allocating customers and routes, rigging bids, and fixing prices for international ocean shipping services for roll-on, roll-off cargo, such as cars and trucks, to and from the United States and elsewhere, in violation of the Sherman Antitrust Act, 15 U.S.C. § 1.

2. The charged combination and conspiracy consisted of a continuing agreement, understanding, and concert of action among Defendants and their co-conspirators, the substantial terms of which were to allocate customers and routes, rig bids, and to fix, stabilize, and maintain prices for international ocean shipping services for roll-on, roll-off cargo, such as cars and trucks, to and from the United States and elsewhere.

### **Defendants and Co-Conspirators**

3. Defendant Yoshiyuki Aoki ("Aoki") is a resident of Japan. From at least as early as April 2001, the exact date being unknown to the Grand Jury, Aoki was employed by Kawasaki Kisen Kaisha, Ltd. ("K-Line"). K-Line is a corporation organized and existing under the laws of Japan, with its principal place of business in Tokyo, Japan. In 2001, Aoki became general manager of K-Line's Car Carrier Division, the corporate unit responsible for K-Line's roll-on, roll-off cargo business. He continued to hold senior management positions in K-Line's car carrier business through September 2012. Aoki knowingly joined and participated in the conspiracy from at least as early as April 2001 and continuing at least until September 2012.

4. Defendant Masahiro Kato ("Kato") is a resident of Japan. From at least as early as April 2002, the exact date being unknown to the Grand Jury, Kato was employed by Nippon Yusen Kabushiki Kaisha, Ltd. ("NYK"). NYK is a corporation organized and existing under the laws of Japan, with its principal place of business in Tokyo, Japan. In April 2002, Kato became general manager of NYK's Car Carrier Division, the corporate unit responsible for NYK's roll-on, roll-off cargo business. He continued to hold senior management positions in the Car Carrier Division through September 2012. Kato knowingly joined and participated in the conspiracy from at least as early as April 2002 and continuing at least until September 2012.

5. Defendant Shunichi Kusunose ("Kusunose") is a resident of Japan. From at least as early as April 2004, the exact date being unknown to the Grand Jury, Kusunose was employed by NYK. In April 2004, Kusunose became general manager of NYK's Car Carrier Division. He continued to hold senior management positions in the Car Carrier Division through September 2012. Kusunose knowingly joined and participated in the conspiracy from at least as early as April 2004 and continuing at least until September 2012.



6. Various corporations and individuals, not made defendants in this Indictment, participated as co-conspirators in the offense charged in this Indictment and performed acts and made statements in furtherance of it in the United States and elsewhere.

7. Whenever in this Indictment reference is made to any act, deed, or transaction of any corporation, the allegation means that the corporation engaged in the act, deed, or transaction by or through its officers, directors, employees, agents, or other representatives while they were actively engaged in the management, direction, control, or transaction of its business or affairs.

**Means and Methods of the Conspiracy**

8. For purposes of forming and carrying out the charged combination and conspiracy, Defendants or their co-conspirators did those things that they combined and conspired to do, in the United States and elsewhere, including, among other things:

- (a) attended meetings and engaged in communications during which they agreed to allocate customers and routes among corporate conspirators, including customers in the United States and routes to and from the United States, for international ocean shipping services for roll-on, roll-off cargo;
- (b) attended meetings and engaged in communications during which they agreed not to compete against each other, by refraining from bidding or by agreeing on the prices they would bid, including for customers located in the United States and routes to and from the United States;
- (c) attended meetings and engaged in communications during which they agreed to fix, stabilize, and maintain rates charged to customers of international ocean shipping services, including customers located in the United States and for routes to and from the United States;

- (d) to carry out such agreements, discussed and exchanged prices for bids and tenders, including for customers located in the United States and for routes to and from the United States;
- (e) submitted price quotations and bids in accordance with the agreements reached, including to customers in the United States and for routes to and from the United States;
- (f) submitted invoices and received payments for international ocean shipping services sold at collusive, noncompetitive prices to customers in the United States and elsewhere; and
- (g) provided international ocean shipping services to customers in the United States and elsewhere, on routes to and from the United States and elsewhere, at collusive and noncompetitive prices.

#### **Trade and Commerce**

9. Roll-on, roll-off cargo is non-containerized cargo that can be both rolled onto and rolled off of an ocean-going vessel. Examples of such cargo include new and used cars and trucks and construction and agricultural equipment. The international ocean shipment of roll-on, roll-off cargo as used herein is defined as deep-sea or trans-ocean transportation and does not include short-sea or coastal water freight transportation between the contiguous and non-contiguous states and territories of the United States.

10. During the time period covered by this Indictment, Defendants' companies and their co-conspirators sold international ocean shipping services for roll-on, roll-off cargo to customers in the United States. The charged combination and conspiracy involved trade or

commerce among the several states and U.S. import trade or commerce in ocean shipping services for roll-on, roll-off cargo.

11. During the time period covered by this Indictment, Defendants' companies and their co-conspirators sold international ocean shipping services for roll-on, roll-off cargo imported into the United States. The charged combination and conspiracy had a direct, substantial, and reasonably foreseeable effect on U.S. import trade or commerce in roll-on, roll-off cargo shipped from foreign nations to the United States, and that effect, in part, gives rise to this charge.

12. During the time period covered by this Indictment, Defendants' companies and their co-conspirators sold international ocean shipping services for roll-on, roll-off cargo exported from the United States. For example, during this time period, K-Line had a U.S. subsidiary headquartered in Richmond, Virginia, that sold international ocean shipping services to customers in the United States for the export of roll-on, roll-off cargo to Europe, South America, and elsewhere. Similarly, NYK had a U.S. subsidiary headquartered in Secaucus, New Jersey, that sold international ocean shipping services to customers in the United States for the export of roll-on, roll-off cargo to the Middle East, South America, and elsewhere. The charged combination and conspiracy had a direct, substantial, and reasonably foreseeable effect on U.S. export trade or commerce in roll-on, roll-off cargo shipped from the United States to foreign nations of a person engaged in such trade or commerce in the United States, and that effect, in part, gives rise to this charge.

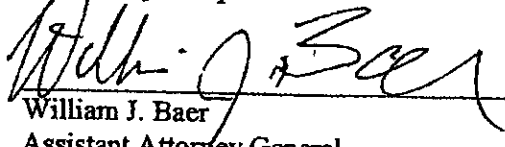
13. During the time period covered by this Indictment, the business activities of Defendants' companies and their co-conspirators in connection with the international ocean

shipment of roll-on, roll-off cargo to and from the United States were within the flow of, and substantially affected, commerce among the states and with foreign nations.

14. During the time period covered by this Indictment, the charged combination and conspiracy had a substantial and intended effect in the United States, including on trade or commerce among the several states and with foreign nations in international ocean shipping services for roll-on, roll-off cargo. For example, the charged combination and conspiracy had a substantial and intended effect on the price of shipping roll-on, roll-off cargo to and from the United States.

A TRUE BILL.

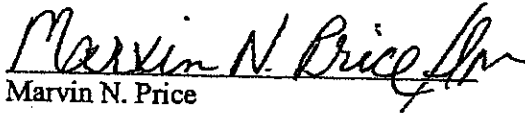
Grand Jury Foreperson



William J. Baer  
Assistant Attorney General  
Antitrust Division  
United States Department of Justice



Brent Snyder  
Deputy Assistant Attorney General  
Antitrust Division  
United States Department of Justice

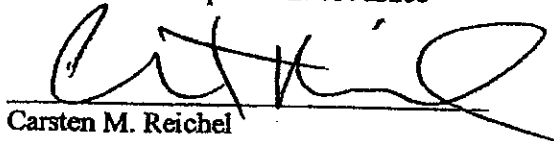


Marvin N. Price  
Director of Criminal Enforcement  
Antitrust Division  
United States Department of Justice

Dated: 10/6/15



Lisa M. Phelan  
Chief, Washington Criminal I Section  
Antitrust Division  
United States Department of Justice



Carsten M. Reichel  
Emma M. Burnham  
United States Department of Justice  
Attorneys, Antitrust Division  
United States Department of Justice  
450 5th Street, N.W., Suite 11300  
Washington, D.C. 20530  
(202) 305-0893  
carsten.reichel@usdoj.gov

# **Exhibit 3**

UNITED STATES DISTRICT COURT  
DISTRICT OF MARYLAND  
Baltimore Division

FILED  
U.S. DISTRICT COURT  
DISTRICT OF MARYLAND

2014 FEB 27 A 11:28

CLERK'S OFFICE  
AT BALTIMORE

UNITED STATES OF AMERICA )

v. )

COMPAÑIA SUD AMERICANA )  
DE VAPORES S.A., )

Defendant. )  
\_\_\_\_\_ )

Criminal No.:

Filed:

Violation: 15 U.S.C. § 1 (Sherman Act)

BY GLR-14-0100 DEPUTY

**INFORMATION**

THE UNITED STATES OF AMERICA, THROUGH ITS ATTORNEYS, CHARGES:

1. From at least January 2000 to September 2012 ("the relevant period"), Compañía Sud Americana de Vapores S.A. ("defendant") was a corporation organized and existing under the laws of Chile, with its principal place of business in Valparaíso, Chile. During the relevant period, the defendant's U.S. subsidiary also had offices in Jersey City and Iselin, New Jersey. During the relevant period, the defendant was engaged in the business of providing international ocean shipping services for roll-on, roll-off cargo to and from the United States and elsewhere. Roll-on, roll-off cargo is non-containerized cargo that can be both rolled onto and rolled off of an ocean-going vessel. Examples of such cargo include new and used cars and trucks and construction and agricultural equipment.

2. The Port of Baltimore, located in this District, is one of the largest ports in the United States for the import and export of new automobiles. During the relevant period, the defendant or its co-conspirators exported new cars and trucks affected by the offense charged herein from the Port of Baltimore.

3. Other corporations and individuals, not made defendants in this Information, participated as co-conspirators in the offense charged in this Information and performed acts and made statements in furtherance of it.

4. Whenever in this Information reference is made to any act, deed, or transaction of any corporation, the allegation means that the corporation engaged in the act, deed, or transaction by or through its officers, directors, employees, agents, or other representatives while they were actively engaged in the management, direction, control, or transaction of its business or affairs.

#### **Description of the Offense**

5. During the relevant period, the exact dates being unknown to the United States, the defendant entered into and participated with its co-conspirators in a combination and conspiracy to suppress and eliminate competition by allocating customers and routes, rigging bids, and fixing prices for international ocean shipping services for roll-on, roll-off cargo, such as cars and trucks, to and from the United States and elsewhere. The combination and conspiracy engaged in by the defendant and its co-conspirators was in unreasonable restraint of interstate and foreign trade and commerce in violation of Section 1 of the Sherman Antitrust Act, 15 U.S.C. § 1.

6. The charged combination and conspiracy consisted of a continuing agreement, understanding, and concert of action among the defendant and its co-conspirators, the substantial terms of which were to allocate customers, rig bids, and to fix, stabilize, and maintain prices for international ocean shipping services for roll-on, roll-off cargo, such as cars and trucks, to and from the United States and elsewhere.

#### **Means and Methods of the Conspiracy**

7. For purposes of forming and carrying out the charged combination and conspiracy, the defendant and/or its co-conspirators did those things that they combined and conspired to do, including, among other things:

- (a) attended meetings or otherwise engaged in communications regarding certain bids and tenders for international ocean shipping services for roll-on, roll-off cargo;
- (b) agreed during those meetings and other communications to allocate customers by not competing for each other's existing business for certain customers on certain routes;
- (c) agreed during those meetings and other communications not to compete against each other on certain tenders by refraining from bidding or by agreeing on the prices they would bid on those tenders;
- (d) discussed and exchanged prices for certain customer tenders so as not to undercut each other's prices;
- (e) submitted bids in accordance with the agreements reached; and
- (f) provided international ocean shipping services for certain roll-on, roll-off cargo to and from the United States and elsewhere at collusive and non-competitive prices.

#### **Trade and Commerce**

8. Over the past forty years, the number of automobiles imported into, and exported from, the United States has increased substantially. The business of shipping those automobiles (as well as other types of roll-on, roll-off cargo) across an ocean from one country to another has therefore grown as well. During the relevant period, the defendant and its co-conspirators provided international ocean shipping services for roll-on, roll-off cargo imported into, and exported from, the United States. Substantial quantities of such cargo, as well as payments for such services, traveled in interstate and foreign commerce. The business activities of the defendant and its co-conspirators in connection with the international ocean shipment of roll-on, roll-off cargo to and from the United States were within the flow of, and substantially affected, interstate and foreign trade and commerce.



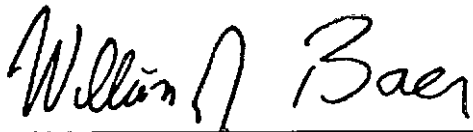
9. The international ocean shipment of roll-on, roll-off cargo as used herein is defined as deep-sea or trans-ocean transportation and does not include short-sea or coastal water freight transportation between the contiguous and non-contiguous states and territories of the United States.

**Jurisdiction and Venue**

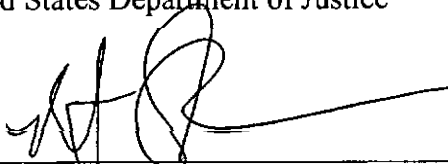
10. The combination and conspiracy charged in this Information was carried out within the District of Maryland, at least in part, within the five years preceding the filing of this Information.

ALL IN VIOLATION OF TITLE 15, UNITED STATES CODE, SECTION 1.

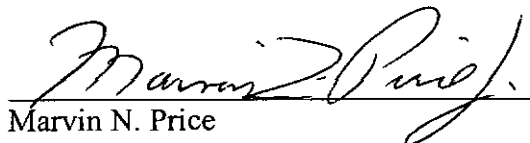
Dated:



William J. Baer  
Assistant Attorney General  
Antitrust Division  
United States Department of Justice



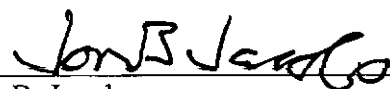
Brent Snyder  
Deputy Assistant Attorney General  
Antitrust Division  
United States Department of Justice



Marvin N. Price  
Director of Criminal Enforcement  
Antitrust Division  
United States Department of Justice



Lisa M. Phelan  
Chief, National Criminal Enforcement Section  
Antitrust Division  
United States Department of Justice



Jon B. Jacobs  
Carsten M. Reichel  
United States Department of Justice  
Attorneys, Antitrust Division  
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450 5th Street, N.W., Suite 11300  
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FILED  
U.S. DISTRICT COURT  
DISTRICT OF MARYLAND

2014 SEP 26 AM 9:32

CLERK'S OFFICE  
AT BALTIMORE

UNITED STATES DISTRICT COURT  
DISTRICT OF MARYLAND  
Baltimore Division

BY \_\_\_\_\_ DEPUTY

UNITED STATES OF AMERICA )

v. )

KAWASAKI KISEN KAISHA, LTD. )

Defendant. )  
\_\_\_\_\_ )

Criminal No.: GLR - 14 - 0449

Filed:

Violation: 15 U.S.C. § 1 (Sherman Act)

**INFORMATION**

THE UNITED STATES OF AMERICA, THROUGH ITS ATTORNEYS, CHARGES:

1. From at least February 1997 to September 2012 ("the relevant period"), Kawasaki Kisen Kaisha, Ltd. ("defendant") was a corporation organized and existing under the laws of Japan, with its principal place of business in Tokyo, Japan. During the relevant period, the defendant's U.S. subsidiary was headquartered at offices in Richmond, Virginia. During the relevant period, the defendant was engaged in the business of providing international ocean shipping services for roll-on, roll-off cargo to and from the United States and elsewhere. Roll-on, roll-off cargo is non-containerized cargo that can be both rolled onto and rolled off of an ocean-going vessel. Examples of such cargo include new and used cars and trucks and construction and agricultural equipment.

2. The Port of Baltimore, located in this District, is one of the largest ports in the United States for the import and export of new automobiles. During the relevant period, the defendant or its co-conspirators exported new cars and trucks affected by the offense charged herein from the Port of Baltimore.

3. Other corporations and individuals, not made defendants in this Information, participated as co-conspirators in the offense charged in this Information and performed acts and made statements in furtherance of it.

4. Whenever in this Information reference is made to any act, deed, or transaction of any corporation, the allegation means that the corporation engaged in the act, deed, or transaction by or through its officers, directors, employees, agents, or other representatives while they were actively engaged in the management, direction, control, or transaction of its business or affairs.

**Description of the Offense**

5. During the relevant period, the exact dates being unknown to the United States, the defendant entered into and participated with its co-conspirators in a combination and conspiracy to suppress and eliminate competition by allocating customers and routes, rigging bids, and fixing prices for international ocean shipping services for roll-on, roll-off cargo, such as cars and trucks, to and from the United States and elsewhere. The combination and conspiracy engaged in by the defendant and its co-conspirators was in unreasonable restraint of interstate and foreign trade and commerce in violation of Section 1 of the Sherman Antitrust Act, 15 U.S.C. § 1.

6. The charged combination and conspiracy consisted of a continuing agreement, understanding, and concert of action among the defendant and its co-conspirators, the substantial terms of which were to allocate customers, rig bids, and to fix, stabilize, and maintain prices for international ocean shipping services for roll-on, roll-off cargo, such as cars and trucks, to and from the United States and elsewhere.

**Means and Methods of the Conspiracy**

7. For purposes of forming and carrying out the charged combination and conspiracy, the defendant and/or its co-conspirators did those things that they combined and conspired to do, including, among other things:

- (a) attended meetings or otherwise engaged in communications regarding certain bids and tenders for international ocean shipping services for roll-on, roll-off cargo;

- (b) agreed during those meetings and other communications to allocate customers by not competing for each other's existing business for certain customers on certain routes;
- (c) agreed during those meetings and other communications not to compete against each other on certain tenders by refraining from bidding or by agreeing on the prices they would bid on those tenders;
- (d) discussed and exchanged prices for certain customer tenders so as not to undercut each other's prices;
- (e) submitted bids in accordance with the agreements reached; and
- (f) provided international ocean shipping services for certain roll-on, roll-off cargo to and from the United States and elsewhere at collusive and non-competitive prices.

#### **Trade and Commerce**

8. Over the past forty years, the number of automobiles imported into, and exported from, the United States has increased substantially. The business of shipping those automobiles (as well as other types of roll-on, roll-off cargo) across an ocean from one country to another has therefore grown as well. During the relevant period, the defendant and its co-conspirators provided international ocean shipping services for roll-on, roll-off cargo imported into, and exported from, the United States. Substantial quantities of such cargo, as well as payments for such services, traveled in interstate and foreign commerce. The business activities of the defendant and its co-conspirators in connection with the international ocean shipment of roll-on, roll-off cargo to and from the United States were within the flow of, and substantially affected, interstate and foreign trade and commerce.

9. The international ocean shipment of roll-on, roll-off cargo as used herein is defined as deep-sea or trans-ocean transportation and does not include short-sea or coastal water

freight transportation between the contiguous and non-contiguous states and territories of the United States.

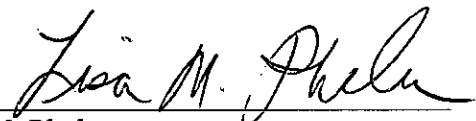
**Jurisdiction and Venue**

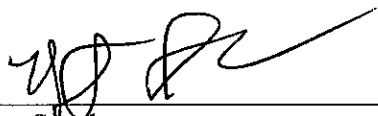
10. The combination and conspiracy charged in this Information was carried out within the District of Maryland, at least in part, within the five years preceding the filing of this Information.

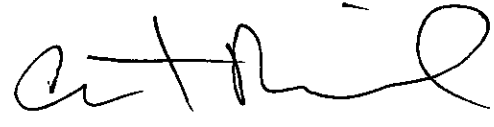
ALL IN VIOLATION OF TITLE 15, UNITED STATES CODE, SECTION 1.

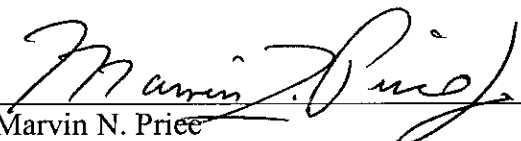
Dated:

  
William J. Baer  
Assistant Attorney General  
Antitrust Division  
United States Department of Justice

  
Lisa M. Phelan  
Chief, National Criminal Enforcement Section  
Antitrust Division  
United States Department of Justice

  
Brent Snyder  
Deputy Assistant Attorney General  
Antitrust Division  
United States Department of Justice

  
Carsten M. Reichel  
Jon B. Jacobs  
Craig Y. Lee  
Richard A. Hellings, Jr.  
Emma M. Burnham  
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Attorneys, Antitrust Division  
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Washington, D.C. 20530  
(202) 514-5012  
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Marvin N. Priece  
Director of Criminal Enforcement  
Antitrust Division  
United States Department of Justice

UNITED STATES DISTRICT COURT  
DISTRICT OF MARYLAND  
Baltimore Division

FILED  
U.S. DISTRICT COURT  
DISTRICT OF MARYLAND  
2014 DEC 29 PM 1:26

CLERK'S OFFICE  
AT BALTIMORE

UNITED STATES OF AMERICA )  
 )  
 )  
 v. )  
 )  
 NIPPON YUSEN KABUSHIKI KAISHA )  
 )  
 Defendant. )  
 \_\_\_\_\_ )

Criminal No.:

DEPUTY

GLR-14-612

Filed:

Violation: 15 U.S.C. § 1 (Sherman Act)

**INFORMATION**

THE UNITED STATES OF AMERICA, THROUGH ITS ATTORNEYS, CHARGES:

1. From at least February 1997 to September 2012 ("the relevant period"), Nippon Yusen Kabushiki Kaisha ("defendant") was a corporation organized and existing under the laws of Japan, with its principal place of business in Tokyo, Japan. During the relevant period, the defendant's U.S. subsidiary was headquartered at offices in Secaucus, New Jersey. During the relevant period, the defendant was engaged in the business of providing international ocean shipping services for roll-on, roll-off cargo to and from the United States and elsewhere. Roll-on, roll-off cargo is non-containerized cargo that can be both rolled onto and rolled off of an ocean-going vessel. Examples of such cargo include new and used cars and trucks and construction and agricultural equipment.

2. The Port of Baltimore, located in this District, is one of the largest ports in the United States for the import and export of new automobiles. During the relevant period, the defendant or its co-conspirators exported new cars and trucks affected by the offense charged herein from the Port of Baltimore.

3. Other corporations and individuals, not made defendants in this Information, participated as co-conspirators in the offense charged in this Information and performed acts and made statements in furtherance of it.



4. Whenever in this Information reference is made to any act, deed, or transaction of any corporation, the allegation means that the corporation engaged in the act, deed, or transaction by or through its officers, directors, employees, agents, or other representatives while they were actively engaged in the management, direction, control, or transaction of its business or affairs.

**Description of the Offense**

5. During the relevant period, the exact dates being unknown to the United States, the defendant entered into and participated with its co-conspirators in a combination and conspiracy to suppress and eliminate competition by allocating customers and routes, rigging bids, and fixing prices for international ocean shipping services for roll-on, roll-off cargo, such as cars and trucks, to and from the United States and elsewhere. The combination and conspiracy engaged in by the defendant and its co-conspirators was in unreasonable restraint of interstate and foreign trade and commerce in violation of Section 1 of the Sherman Antitrust Act, 15 U.S.C. § 1.

6. The charged combination and conspiracy consisted of a continuing agreement, understanding, and concert of action among the defendant and its co-conspirators, the substantial terms of which were to allocate customers, rig bids, and to fix, stabilize, and maintain prices for international ocean shipping services for roll-on, roll-off cargo, such as cars and trucks, to and from the United States and elsewhere.

**Means and Methods of the Conspiracy**

7. For purposes of forming and carrying out the charged combination and conspiracy, the defendant and/or its co-conspirators did those things that they combined and conspired to do, including, among other things:

- (a) attended meetings or otherwise engaged in communications regarding certain bids and tenders for international ocean shipping services for roll-on, roll-off cargo;



- (b) agreed during those meetings and other communications to allocate customers by not competing for each other's existing business for certain customers on certain routes;
- (c) agreed during those meetings and other communications not to compete against each other on certain tenders by refraining from bidding or by agreeing on the prices they would bid on those tenders;
- (d) discussed and exchanged prices for certain customer tenders so as not to undercut each other's prices;
- (e) submitted bids in accordance with the agreements reached; and
- (f) provided international ocean shipping services for certain roll-on, roll-off cargo to and from the United States and elsewhere at collusive and non-competitive prices.

#### **Trade and Commerce**

8. Over the past forty years, the number of automobiles imported into, and exported from, the United States has increased substantially. The business of shipping those automobiles (as well as other types of roll-on, roll-off cargo) across an ocean from one country to another has therefore grown as well. During the relevant period, the defendant and its co-conspirators provided international ocean shipping services for roll-on, roll-off cargo imported into, and exported from, the United States. Substantial quantities of such cargo, as well as payments for such services, traveled in interstate and foreign commerce. The business activities of the defendant and its co-conspirators in connection with the international ocean shipment of roll-on, roll-off cargo to and from the United States were within the flow of, and substantially affected, interstate and foreign trade and commerce.

9. The international ocean shipment of roll-on, roll-off cargo as used herein is defined as deep-sea or trans-ocean transportation and does not include short-sea or coastal water



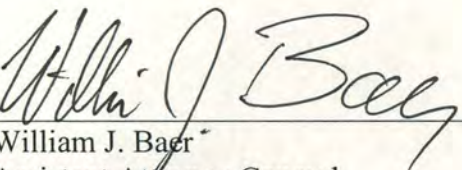
freight transportation between the contiguous and non-contiguous states and territories of the United States.

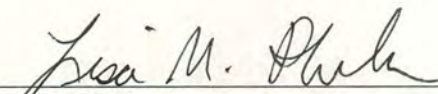
**Jurisdiction and Venue**

10. The combination and conspiracy charged in this Information was carried out within the District of Maryland, at least in part, within the five years preceding the filing of this Information.

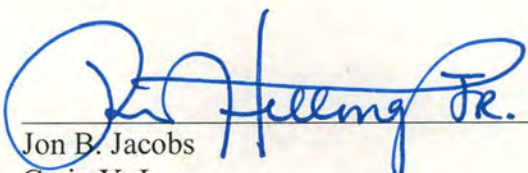
ALL IN VIOLATION OF TITLE 15, UNITED STATES CODE, SECTION 1.

Dated:

  
William J. Baer  
Assistant Attorney General  
Antitrust Division  
United States Department of Justice

  
Lisa M. Phelan  
Chief, National Criminal Enforcement Section  
Antitrust Division  
United States Department of Justice

  
Brent Snyder  
Deputy Assistant Attorney General  
Antitrust Division  
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Jon B. Jacobs  
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Kevin B. Hart  
United States Department of Justice  
Attorneys, Antitrust Division  
United States Department of Justice  
450 5th Street, N.W., Suite 11300  
Washington, D.C. 20530  
(202) 514-5012  
jon.jacobs@usdoj.gov

  
Marvin N. Price  
Director of Criminal Enforcement  
Antitrust Division  
United States Department of Justice

# **Exhibit 4**

UNITED STATES DISTRICT COURT  
DISTRICT OF MARYLAND  
Baltimore Division

UNITED STATES OF AMERICA

v.

COMPAÑIA SUD AMERICANA  
DE VAPORES S.A.,

Defendant.

Criminal No.: GLR-14-100

Filed:

Violation: 15 U.S.C. § 1 (Sherman Act)

**PLEA AGREEMENT**

The United States of America and Compañia Sud Americana de Vapores S.A. ("defendant"), a corporation organized and existing under the laws of Chile, hereby enter into the following Plea Agreement pursuant to Rule 11(c)(1)(C) of the Federal Rules of Criminal Procedure ("Fed. R. Crim. P."):

**RIGHTS OF DEFENDANT**

1. The defendant understands its rights:
  - (a) to be represented by an attorney;
  - (b) to be charged by Indictment;
  - (c) as a corporation organized and existing under the laws of Chile, to decline to accept service of the Summons in this case, and to contest the jurisdiction of the United States to prosecute this case against it in the United States District Court for the District of Maryland;
  - (d) to plead not guilty to any criminal charge brought against it;
  - (e) to have a trial by jury, at which it would be presumed not guilty of the charge and the United States would have to prove every essential element of the charged offense beyond a reasonable doubt for it to be found guilty;

(f) to confront and cross-examine witnesses against it and to subpoena witnesses in its defense at trial;

(g) to appeal its conviction if it is found guilty; and

(h) to appeal the imposition of sentence against it.

**AGREEMENT TO PLEAD GUILTY  
AND WAIVE CERTAIN RIGHTS**

2. The defendant knowingly and voluntarily waives the rights set out in Paragraph 1(b)-(g) above. The defendant also knowingly and voluntarily waives the right to file any appeal, any collateral attack, or any other writ or motion, including but not limited to an appeal under 18 U.S.C. § 3742, that challenges the sentence imposed by the Court if that sentence is consistent with or below the recommended sentence in Paragraph 9 of this Plea Agreement, regardless of how the sentence is determined by the Court. This agreement does not affect the rights or obligations of the United States as set forth in 18 U.S.C. § 3742(b) or (c). Nothing in this paragraph, however, will act as a bar to the defendant perfecting any legal remedies it may otherwise have on appeal or collateral attack respecting claims of ineffective assistance of counsel or prosecutorial misconduct. The defendant agrees that there is currently no known evidence of ineffective assistance of counsel or prosecutorial misconduct. Pursuant to Fed. R. Crim. P. 7(b), the defendant will waive indictment and plead guilty to a one-count Information to be filed in the United States District Court for the District of Maryland. The Information will charge the defendant with participating in a combination and conspiracy, with its participation starting from at least as early as January 2000 and continuing until at least September 2012, to suppress and eliminate competition by allocating customers and routes, rigging bids, and fixing prices for international ocean shipping services for roll-on, roll-off cargo, such as cars and trucks, to and from the United States and elsewhere, in violation of the Sherman Antitrust Act, 15 U.S.C. § 1.

3. The defendant will plead guilty to the criminal charge described in Paragraph 2 above pursuant to the terms of this Plea Agreement and will make a factual admission of guilt to the Court in accordance with Fed. R. Crim. P. 11, as set forth in Paragraph 4 below.

**FACTUAL BASIS FOR OFFENSE CHARGED**

4. Had this case gone to trial, the United States would have presented evidence sufficient to prove the following facts:

(a) For purposes of this Plea Agreement, the "relevant period" is that period from at least as early as January 2000 and continuing until at least September 2012. During the relevant period, the defendant was a corporation organized and existing under the laws of Chile. Defendant had its principal place of business in Valparaíso, Chile. Its U.S. subsidiary also had offices in Jersey City and Iselin, New Jersey. During the relevant period, the defendant was engaged in the business of providing international ocean shipping services for roll-on, roll-off cargo to and from the United States and elsewhere. Roll-on, roll-off cargo is non-containerized cargo that can be both rolled onto and rolled off of an ocean-going vessel. Examples of such cargo include new and used cars and trucks, as well as construction, mining, and agricultural equipment. The international ocean shipment of roll-on, roll-off cargo as used herein is defined as deep-sea or trans-ocean transportation and does not include short-sea or coastal water freight transportation between the contiguous and non-contiguous states and territories of the United States. During the relevant period, defendant had more than 50 employees, and its sales for international ocean shipping services for new cars and trucks exported from the United States that were affected by the conspiracy were more than \$63,658,000.

(b) During the relevant period, the defendant, through certain employees in both Chile and the United States, including an individual with substantial authority within the company, participated in a conspiracy among ocean carriers of roll-on, roll-off cargo, the primary purpose of which was to suppress and eliminate competition by allocating

customers and routes, rigging bids, and fixing prices for international ocean shipping services for roll-on, roll-off cargo, such as cars and trucks, to and from the United States and elsewhere, in violation of the Sherman Antitrust Act, 15 U.S.C. § 1. In furtherance of the conspiracy, the defendant, through certain employees, engaged in discussions and attended meetings with representatives of other ocean carriers of roll-on, roll-off cargo. During these discussions and meetings, agreements were reached to allocate certain customers and routes, rig certain bids, and to fix, stabilize and maintain the prices for certain international ocean shipping services for roll-on, roll-off cargo to and from the United States and elsewhere. Affected customers included certain U.S.-based manufacturers of cars and trucks.

(c) During the relevant period, roll-on, roll-off cargo shipped by one or more of the conspirator firms, as well as payments for international ocean shipping services of such cargo, traveled in interstate and foreign commerce. The business activities of the defendant and its co-conspirators in connection with the international ocean shipping services for roll-on, roll-off cargo to and from the United States were within the flow of, and substantially affected, interstate and foreign trade and commerce.

(d) Acts in furtherance of this conspiracy were carried out within the District of Maryland, Baltimore Division. The Port of Baltimore is one of the largest ports in the United States for the import and export of new automobiles. During the relevant period, the defendant or its co-conspirators exported roll-on, roll-off cargo affected by the conspiracy from the Port of Baltimore.

#### ELEMENTS OF THE OFFENSE

5. The elements of the charged offense are that:

- (a) the conspiracy described in the Information existed at or about the time alleged;
- (b) the defendant knowingly became a member of the conspiracy; and

(c) the conspiracy described in the Information either substantially affected interstate commerce in goods or services or occurred within the flow of interstate commerce in goods and services.

**POSSIBLE MAXIMUM SENTENCE**

6. The defendant understands that the statutory maximum penalty which may be imposed against it upon conviction for a violation of Section One of the Sherman Antitrust Act is a fine in an amount equal to the greatest of:

- (a) \$100 million (18 U.S.C. § 1);
- (b) twice the gross pecuniary gain the conspirators derived from the crime (18 U.S.C. § 3571(c) and (d)); or
- (c) twice the gross pecuniary loss caused to the victims of the crime by the conspirators (18 U.S.C. § 3571(c) and (d)).

7. In addition, the defendant understands that:

- (a) pursuant to 18 U.S.C. § 3561(c)(1), the Court may impose a term of probation of at least one year, but not more than five years;
- (b) pursuant to §8B1.1 of the United States Sentencing Guidelines ("U.S.S.G.," "Sentencing Guidelines," or "Guidelines") or 18 U.S.C. § 3563(b)(2) or 3663(a)(3), the Court may order it to pay restitution to the victims of the offense; and
- (c) pursuant to 18 U.S.C. § 3013(a)(2)(B), the Court is required to order the defendant to pay a \$400 special assessment upon conviction for the charged crime.

**SENTENCING GUIDELINES**

8. The defendant understands that the Sentencing Guidelines are advisory, not mandatory, but that the Court must consider, in determining and imposing the sentence, the Guidelines Manual in effect on the date of sentencing, unless that Manual provides for greater punishment than the Manual in effect on the last date the offense of conviction was committed,

in which case the Court must consider the Guidelines Manual in effect on the last date that the offense of conviction was committed. The parties agree there is no ex-post-facto issue under the November 1, 2013 Guidelines Manual. The Court must also consider the other factors set forth in 18 U.S.C. § 3553(a), in determining and imposing sentence. The defendant understands that the Guidelines determinations will be made by the Court by a preponderance of the evidence standard. The defendant understands that, although the Court is not ultimately bound to impose a sentence within the applicable Guidelines range, its sentence must be reasonable based upon consideration of all relevant sentencing factors set forth in 18 U.S.C. § 3553(a).

#### SENTENCING AGREEMENT

9. Pursuant to Fed. R. Crim. P. 11(c)(1)(C) and subject to the full, truthful, and continuing cooperation of the defendant and its subsidiaries, as defined in Paragraph 13 of this Plea Agreement, the United States and the defendant agree that the appropriate disposition of this case is, and agree to recommend jointly that the Court impose, a sentence requiring the defendant to pay to the United States a criminal fine of \$8.9 million, payable without interest pursuant to 18 U.S.C. § 3612(f)(3)(A) in four annual installments (of \$2.25 million in each of the first three years and a final installment payment of \$2.15 million in the fourth year) starting the fifteenth (15th) day after the date of judgment, and no order of restitution ("the recommended sentence"). The parties agree that there exists no aggravating or mitigating circumstance of a kind, or to a degree, not adequately taken into consideration by the U.S. Sentencing Commission in formulating the Sentencing Guidelines justifying a departure pursuant to U.S.S.G. §5K2.0. The parties agree not to seek at the sentencing hearing any sentence outside of the Guidelines range nor any Guidelines adjustment for any reason that is not set forth in this Plea Agreement. The parties further agree that the recommended sentence set forth in this Plea Agreement is reasonable.



(a) The defendant understands that the Court will order it to pay a \$400 special assessment, pursuant to 18 U.S.C. § 3013(a)(2)(B), in addition to any fine imposed.

(b) In light of the civil cases filed against the defendant, which potentially provide for a recovery of a multiple of actual damages, the recommended sentence does not include a restitution order for the offense charged in the Information.

(c) Both parties will recommend that no term of probation be imposed, but the defendant understands that the Court's denial of this request will not void this Plea Agreement.

(d) The United States and the defendant jointly submit that this Plea Agreement, together with the record that will be created by the United States and the defendant at the plea and sentencing hearings, and the further disclosure described in Paragraph 11, will provide sufficient information concerning the defendant, the crime charged in this case, and the defendant's role in the crime to enable the meaningful exercise of sentencing authority by the Court under 18 U.S.C. § 3553. The United States and the defendant agree to request jointly that the Court accept the defendant's guilty plea and impose sentence on an expedited schedule as early as the date of arraignment, based upon the record provided by the defendant and the United States, under the provisions of Fed. R. Crim. P. 32(c)(1)(A)(ii), U.S.S.G. §6A1.1, and Rule 32.1(h) of the Criminal Local Rules. The Court's denial of the request to impose sentence on an expedited schedule will not void this Plea Agreement.

10. The United States and the defendant agree that the applicable Guidelines fine range exceeds the fine contained in the recommended sentence set out in Paragraph 9 above. Subject to the full, truthful, and continuing cooperation of the defendant and its subsidiaries, as defined in Paragraph 13 of this Plea Agreement, and prior to sentencing in this case, the United States agrees that it will make a motion, pursuant to U.S.S.G. §8C4.1, for a downward departure

from the Guidelines fine range and will request that the Court impose the recommended sentence set out in Paragraph 9 of this Plea Agreement because of the defendant's and its subsidiaries' substantial assistance in the government's investigation and prosecutions of violations of federal antitrust laws involving international ocean shipping services for roll-on, roll-off cargo.

11. Subject to the full, truthful, and continuing cooperation of the defendant and its subsidiaries, as defined in Paragraph 13 of this Plea Agreement, and prior to sentencing in this case, the United States will fully advise the Court and the Probation Office of the fact, manner, and extent of the defendant's and its subsidiaries' cooperation and their commitment to prospective cooperation with the United States' investigation and prosecutions, all material facts relating to the defendant's involvement in the charged offense, and all other relevant conduct.

12. The United States and the defendant understand that the Court retains complete discretion to accept or reject the recommended sentence provided for in Paragraph 9 of this Plea Agreement.

(a) If the Court does not accept the recommended sentence, the United States and the defendant agree that this Plea Agreement, except for Paragraph 12(b) below, will be rendered void.

(b) If the Court does not accept the recommended sentence, the defendant will be free to withdraw its guilty plea (Fed. R. Crim. P. 11(c)(5) and (d)). If the defendant withdraws its plea of guilty, this Plea Agreement, the guilty plea, and any statement made in the course of any proceedings under Fed. R. Crim. P. 11 regarding the guilty plea or this Plea Agreement or made in the course of plea discussions with an attorney for the government will not be admissible against the defendant in any criminal or civil proceeding, except as otherwise provided in Fed. R. Evid. 410. In addition, the defendant agrees that, if it withdraws its guilty plea pursuant to this subparagraph of this Plea Agreement, the statute of limitations period for any offense referred to in Paragraph 15 of this Plea Agreement will be tolled for the period between the date of

the signature of this Plea Agreement and the date the defendant withdrew its guilty plea or for a period of sixty (60) days after the date of the signature of this Plea Agreement, whichever period is greater.

**DEFENDANT'S COOPERATION**

13. The defendant and its subsidiaries will cooperate fully and truthfully with the United States in the prosecution of this case, the current federal investigation of violations of federal antitrust laws involving international ocean shipping services for roll-on, roll-off cargo, any federal investigation resulting therefrom, and any litigation or other proceedings arising or resulting from any such investigation to which the United States is a party (collectively "Federal Proceeding"). Federal Proceeding includes, but is not limited to, an investigation, prosecution, litigation, or other proceeding regarding obstruction of, the making of a false statement or declaration in, the commission of perjury or subornation of perjury in, the commission of contempt in, or conspiracy to commit such offenses in, a Federal Proceeding. The defendant's subsidiaries for purposes of this Plea Agreement are entities that the defendant had a greater than 50% ownership interest in as of the date of signature of this Plea Agreement. The full, truthful, and continuing cooperation of the defendant and its subsidiaries will include, but not be limited to:

(a) producing to the United States all documents, information, and other materials, wherever located, not protected under the attorney-client privilege or the work product doctrine (and with translations into English), in the possession, custody, or control of the defendant or its subsidiaries, requested by the United States in connection with any Federal Proceeding; and

(b) using its best efforts to secure the full, truthful, and continuing cooperation, as defined in Paragraph 14 of this Plea Agreement, of the current directors, officers, and employees of the defendant and its subsidiaries, as may be requested by the United States, but excluding the three (3) individuals listed in Attachment A filed under

seal, including making these persons available in the United States and at other mutually agreed-upon locations, at the defendant's expense, for interviews and the provision of testimony in grand jury, trial, and other judicial proceedings in connection with any Federal Proceeding. Current directors, officers, and employees are defined for purposes of this Plea Agreement as individuals who are directors, officers, or employees of the defendant or its subsidiaries as of the date of signature of this Plea Agreement.

14. The full, truthful, and continuing cooperation of each person described in Paragraph 13(b) above will be subject to the procedures and protections of this paragraph, and will include, but not be limited to:

(a) producing in the United States and at other mutually agreed-upon locations all documents, including claimed personal documents, and other materials, wherever located, not protected under the attorney-client privilege or the work product doctrine (and with translations into English), requested by attorneys and agents of the United States in connection with any Federal Proceeding;

(b) making himself or herself available for interviews in the United States and at other mutually agreed-upon locations, not at the expense of the United States, upon the request of attorneys and agents of the United States in connection with any Federal Proceeding;

(c) responding fully and truthfully to all inquiries of the United States in connection with any Federal Proceeding, without falsely implicating any person or intentionally withholding any information, subject to the penalties of making false statements or declarations (18 U.S.C. §§ 1001, 1623), obstruction of justice (18 U.S.C. § 1503, *et seq.*), or conspiracy to commit such offenses;

(d) otherwise voluntarily providing the United States with any material or information not requested in (a) - (c) of this paragraph and not protected under the

attorney-client privilege or the work product doctrine that he or she may have that is related to any Federal Proceeding;

(e) when called upon to do so by the United States in connection with any Federal Proceeding, testifying in grand jury, trial, and other judicial proceedings in the United States fully, truthfully, and under oath, subject to the penalties of perjury (18 U.S.C. § 1621), making false statements or declarations in grand jury or court proceedings (18 U.S.C. § 1623), contempt (18 U.S.C. §§ 401-402), and obstruction of justice (18 U.S.C. § 1503, *et seq.*); and

(f) agreeing that, if the agreement not to prosecute him or her in this Plea Agreement is rendered void under Paragraph 16(c), the statute of limitations period for any Relevant Offense, as defined in Paragraph 16(a), will be tolled as to him or her for the period between the date of the signing of this Plea Agreement and six (6) months after the date that the United States gave notice of its intent to void its obligations to that person under this Plea Agreement.

#### **GOVERNMENT'S AGREEMENT**

15. Subject to the full, truthful, and continuing cooperation of the defendant and its subsidiaries, as defined in Paragraph 13 of this Plea Agreement, and upon the Court's acceptance of the guilty plea called for by this Plea Agreement and the imposition of the recommended sentence, the United States agrees that it will not bring further criminal charges against the defendant or its subsidiaries for any act or offense committed before the date of the signing of this Plea Agreement that was undertaken in furtherance of an antitrust conspiracy involving international ocean shipping services for roll-on, roll-off cargo. The non-prosecution terms of this paragraph do not apply to (a) any acts of subornation of perjury (18 U.S.C. § 1622), making a false statement (18 U.S.C. § 1001), obstruction of justice (18 U.S.C. § 1503, *et seq.*), contempt (18 U.S.C. §§ 401-402), or conspiracy to commit such offenses; (b) civil matters of any kind; (c)

any violation of the federal tax or securities laws or conspiracy to commit such offenses; or (d) any crime of violence.

16. The United States agrees to the following:

(a) Upon the Court's acceptance of the guilty plea called for by this Plea Agreement and the imposition of the recommended sentence and subject to the exceptions noted in Paragraph 16(c), the United States will not bring criminal charges against any current or former director, officer, or employee of the defendant or its subsidiaries for any act or offense committed before the date of the signing of this Plea Agreement and while that person was acting as a director, officer, or employee of the defendant or its subsidiaries that was undertaken in furtherance of an antitrust conspiracy involving international ocean shipping services for roll-on, roll-off cargo ("Relevant Offense"), except that the protections granted in this paragraph do not apply to the three (3) individuals listed in Attachment A filed under seal;

(b) Should the United States determine that any current director, officer, or employee of the defendant or its subsidiaries, other than the three (3) individuals listed in Attachment A filed under seal, may have information relevant to any Federal Proceeding, the United States may request that person's cooperation under the terms of this Plea Agreement by written request delivered to counsel for the individual (with a copy to the undersigned counsel for the defendant) or, if the individual is not known by the United States to be represented, to the undersigned counsel for the defendant;

(c) If any person requested to provide cooperation under Paragraph 16(b) fails to comply with his or her obligations under Paragraph 14, then the terms of this Plea Agreement as they pertain to that person and the agreement not to prosecute that person

granted in this Plea Agreement will be rendered void, and the United States may prosecute such person criminally for any federal crime of which the United States has knowledge, including, but not limited to any Relevant Offense;

(d) Except as provided in Paragraph 16(e), information provided by a person described in Paragraph 16(b) to the United States under the terms of this Plea Agreement pertaining to any Relevant Offense, or any information directly or indirectly derived from that information, may not be used against that person in a criminal case, except in a prosecution for perjury or subornation of perjury (18 U.S.C. §§ 1621-22), making a false statement or declaration (18 U.S.C. §§ 1001, 1623), obstruction of justice (18 U.S.C. § 1503, *et seq.*), contempt (18 U.S.C. §§ 401-402), or conspiracy to commit such offenses;

(e) If any person who provides information to the United States under this Plea Agreement fails to comply fully with his or her obligations under Paragraph 14 of this Plea Agreement, the agreement in Paragraph 16(d) not to use that information or any information directly or indirectly derived from it against that person in a criminal case will be rendered void;

(f) The non-prosecution terms of this paragraph do not apply to civil matters of any kind; any violation of the federal tax or securities laws or conspiracy to commit such offenses; any crime of violence; or perjury or subornation of perjury (18 U.S.C. §§ 1621-22), making a false statement or declaration (18 U.S.C. §§ 1001, 1623), obstruction of justice (18 U.S.C. § 1503, *et seq.*), contempt (18 U.S.C. §§ 401-402), or conspiracy to commit such offenses; and

(g) Documents provided under Paragraphs 13(a) and 14(a) will be deemed responsive to outstanding grand jury subpoenas issued to the defendant.

17. The United States agrees that when any person travels to the United States for interviews, grand jury appearances, or court appearances pursuant to this Plea Agreement, or for meetings with counsel in preparation therefor, the United States will take no action, based upon any Relevant Offense, to subject such person to arrest, detention, or service of process, or to prevent such person from departing the United States. This paragraph does not apply to an individual's commission of perjury or subornation of perjury (18 U.S.C. §§ 1621-22), making false statements or declarations (18 U.S.C. §§ 1001, 1623), obstruction of justice (18 U.S.C. § 1503, *et seq.*), contempt (18 U.S.C. §§ 401-402), or conspiracy to commit such offenses.

18. The defendant understands that it may be subject to suspension or debarment action by federal or state agencies other than the United States Department of Justice Antitrust Division, based upon the conviction resulting from this Plea Agreement, and that this Plea Agreement in no way controls whatever action, if any, other agencies may take. However, the United States agrees that, if requested, it will advise the appropriate officials of any governmental agency considering such action of the fact, manner, and extent of the cooperation of the defendant and its subsidiaries as a matter for that agency to consider before determining what action, if any, to take. The defendant nevertheless affirms that it wants to plead guilty regardless of the suspension or debarment consequences of its plea.

#### **REPRESENTATION BY COUNSEL**

19. The defendant has been represented by counsel and is fully satisfied that its attorneys have provided competent legal representation. The defendant has thoroughly reviewed this Plea Agreement and acknowledges that counsel has advised it of the nature of the charge, any possible defenses to the charge, and the nature and range of possible sentences.



**VOLUNTARY PLEA**

20. The defendant's decision to enter into this Plea Agreement and to tender a plea of guilty is freely and voluntarily made and is not the result of force, threats, assurances, promises, or representations other than the representations contained in this Plea Agreement and Attachment A. The United States has made no promises or representations to the defendant as to whether the Court will accept or reject the recommendations contained within this Plea Agreement.

**VIOLATION OF PLEA AGREEMENT**

21. The defendant agrees that, should the United States determine in good faith, during the period that any Federal Proceeding is pending, that the defendant or its subsidiaries has failed to provide full, truthful, and continuing cooperation, as defined in Paragraph 13 of this Plea Agreement, or has otherwise violated any provision of this Plea Agreement, the United States will notify counsel for the defendant in writing by personal or overnight delivery, email, or facsimile transmission and may also notify counsel by telephone of its intention to void any of its obligations under this Plea Agreement (except its obligations under this paragraph), and the defendant and its subsidiaries will be subject to prosecution for any federal crime of which the United States has knowledge including, but not limited to, the substantive offenses relating to the investigation resulting in this Plea Agreement. The defendant agrees that, in the event that the United States is released from its obligations under this Plea Agreement and brings criminal charges against the defendant or its subsidiaries for any offense referred to in Paragraph 15 of this Plea Agreement, the statute of limitations period for such offense will be tolled for the period between the date of the signing of this Plea Agreement and six (6) months after the date the United States gave notice of its intent to void its obligations under this Plea Agreement.

22. The defendant understands and agrees that in any further prosecution of it or its subsidiaries resulting from the release of the United States from its obligations under this Plea Agreement, because of the defendant's or its subsidiaries' violation of this Plea Agreement, any documents, statements, information, testimony, or evidence provided by it or its subsidiaries, or their current directors, officers, or employees to attorneys or agents of the United States, federal grand juries, or courts, and any leads derived therefrom, may be used against it or its subsidiaries. In addition, the defendant unconditionally waives its right to challenge the use of such evidence in any such further prosecution, notwithstanding the protections of Fed. R. Evid. 410.

**ENTIRETY OF AGREEMENT**

23. This Plea Agreement and Attachment A constitute the entire agreement between the United States and the defendant concerning the disposition of the criminal charge in this case. This Plea Agreement cannot be modified except in writing, signed by the United States and the defendant.

24. The undersigned is authorized to enter this Plea Agreement on behalf of the defendant as evidenced by the Resolution of the Board of Directors of the defendant attached to, and incorporated by reference in, this Plea Agreement.

25. The undersigned attorneys for the United States have been authorized by the Attorney General of the United States to enter this Plea Agreement on behalf of the United States.

26. A facsimile or PDF signature will be deemed an original signature for the purpose of executing this Plea Agreement. Multiple signature pages are authorized for the purpose of executing this Plea Agreement.

DATED: February 27<sup>th</sup>, 2014

Respectfully submitted,



BY: [Signature]  
Pablo Bauer  
General Counsel  
Compañía Sud Americana de Vapores S.A.

BY: \_\_\_\_\_  
Jon B. Jacobs  
Carsten M. Reichel

BY: [Signature]  
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# **Exhibit 5**

FILED  
U.S. DISTRICT COURT  
DISTRICT OF MARYLAND

UNITED STATES DISTRICT COURT  
DISTRICT OF MARYLAND  
Baltimore Division

2014 NOV -6 AM 12:38

CLERK'S OFFICE  
AT BALTIMORE

UNITED STATES OF AMERICA

v.

KAWASAKI KISEN KAISHA, LTD.

Defendant.

BY \_\_\_\_\_ DEPUTY

Criminal No.: 1:14-cr-00449-GLR

Violation: 15 U.S.C. § 1 (Sherman Act)

**PLEA AGREEMENT**

The United States of America and Kawasaki Kisen Kaisha, Ltd. ("defendant"), a corporation organized and existing under the laws of Japan, hereby enter into the following Plea Agreement pursuant to Rule 11(c)(1)(C) of the Federal Rules of Criminal Procedure ("Fed. R. Crim. P."):

**RIGHTS OF DEFENDANT**

1. The defendant understands its rights:
  - (a) to be represented by an attorney;
  - (b) to be charged by Indictment;
  - (c) as a corporation organized and existing under the laws of Japan, to decline to accept service of the Summons in this case, and to contest the jurisdiction of the United States to prosecute this case against it in the United States District Court for the District of Maryland;
  - (d) to plead not guilty to any criminal charge brought against it;
  - (e) to have a trial by jury, at which it would be presumed not guilty of the charge and the United States would have to prove every essential element of the charged offense beyond a reasonable doubt for it to be found guilty;

(f) to confront and cross-examine witnesses against it and to subpoena witnesses in its defense at trial;

(g) to appeal its conviction if it is found guilty; and

(h) to appeal the imposition of sentence against it.

**AGREEMENT TO PLEAD GUILTY**  
**AND WAIVE CERTAIN RIGHTS**

2. The defendant knowingly and voluntarily waives the rights set out in Paragraph 1(b)-(g) above. The defendant also knowingly and voluntarily waives the right to file any appeal, any collateral attack, or any other writ or motion, including but not limited to an appeal under 18 U.S.C. § 3742, that challenges the sentence imposed by the Court if that sentence is consistent with or below the recommended sentence in Paragraph 9 of this Plea Agreement, regardless of how the sentence is determined by the Court. This agreement does not affect the rights or obligations of the United States as set forth in 18 U.S.C. § 3742(b) or (c). Nothing in this paragraph, however, will act as a bar to the defendant perfecting any legal remedies it may otherwise have on appeal or collateral attack respecting claims of ineffective assistance of counsel or prosecutorial misconduct. The defendant agrees that there is currently no known evidence of ineffective assistance of counsel or prosecutorial misconduct. Pursuant to Fed. R. Crim. P. 7(b), the defendant will waive indictment and plead guilty to a one-count Information to be filed in the United States District Court for the District of Maryland. The Information will charge the defendant with participating in a combination and conspiracy, with its participation starting from at least as early as February 1997 and continuing until at least September 2012, to suppress and eliminate competition by allocating customers and routes, rigging bids, and fixing prices for international ocean shipping services for roll-on, roll-off cargo, such as cars and trucks, to and from the United States and elsewhere, in violation of the Sherman Antitrust Act, 15 U.S.C. § 1.

3. The defendant will plead guilty to the criminal charge described in Paragraph 2 above pursuant to the terms of this Plea Agreement and will make a factual admission of guilt to the Court in accordance with Fed. R. Crim. P. 11, as set forth in Paragraph 4 below.

**FACTUAL BASIS FOR OFFENSE CHARGED**

4. Had this case gone to trial, the United States would have presented evidence sufficient to prove the following facts:

(a) For purposes of this Plea Agreement, the “relevant period” is that period from at least as early as February 1997 and continuing until at least September 2012. During the relevant period, the defendant was a corporation organized and existing under the laws of Japan. Defendant had its principal place of business in Tokyo, Japan. Its U.S. subsidiary was headquartered at offices in Richmond, Virginia. During the relevant period, the defendant was engaged in the business of providing international ocean shipping services for roll-on, roll-off cargo to and from the United States and elsewhere. Roll-on, roll-off cargo is non-containerized cargo that can be both rolled onto and rolled off of an ocean-going vessel. Examples of such cargo include new and used cars and trucks, as well as construction, mining, and agricultural equipment. The international ocean shipment of roll-on, roll-off cargo as used herein is defined as deep-sea or trans-ocean transportation and does not include short-sea or coastal water freight transportation between the contiguous and non-contiguous states and territories of the United States. During the relevant period, defendant had more than 200 employees, and its sales for international ocean shipping services for new cars and trucks exported from the United States that were affected by the conspiracy were more than \$217,000,000.

(b) During the relevant period, the defendant, through certain employees in both Japan and the United States, including an individual in a high-level personnel position and other individuals with substantial authority within the company, participated in a conspiracy among ocean carriers of roll-on, roll-off cargo, the primary purpose of

which was to suppress and eliminate competition by allocating customers and routes, rigging bids, and fixing prices for international ocean shipping services for roll-on, roll-off cargo, such as cars and trucks, to and from the United States and elsewhere, in violation of the Sherman Antitrust Act, 15 U.S.C. § 1. In furtherance of the conspiracy, the defendant, through certain employees, engaged in discussions and attended meetings with representatives of other ocean carriers of roll-on, roll-off cargo. During these discussions and meetings, agreements were reached to allocate certain customers and routes, rig certain bids, and to fix, stabilize and maintain the prices for certain international ocean shipping services for roll-on, roll-off cargo to and from the United States and elsewhere. Affected customers included certain U.S.-based manufacturers of cars and trucks.

(c) During the relevant period, roll-on, roll-off cargo shipped by one or more of the conspirator firms, as well as payments for international ocean shipping services of such cargo, traveled in interstate and foreign commerce. The business activities of the defendant and its co-conspirators in connection with the international ocean shipping services for roll-on, roll-off cargo to and from the United States were within the flow of, and substantially affected, interstate and foreign trade and commerce.

(d) Acts in furtherance of this conspiracy were carried out within the District of Maryland, Baltimore Division. The Port of Baltimore is one of the largest ports in the United States for the import and export of new automobiles. During the relevant period, the defendant or its co-conspirators exported roll-on, roll-off cargo affected by the conspiracy from the Port of Baltimore.

#### **ELEMENTS OF THE OFFENSE**

5. The elements of the charged offense are that:

(a) the conspiracy described in the Information existed at or about the time alleged;



- (b) the defendant knowingly became a member of the conspiracy; and
- (c) the conspiracy described in the Information either substantially affected interstate commerce in goods or services or occurred within the flow of interstate commerce in goods and services.

**POSSIBLE MAXIMUM SENTENCE**

6. The defendant understands that the statutory maximum penalty which may be imposed against it upon conviction for a violation of Section One of the Sherman Antitrust Act is a fine in an amount equal to the greatest of:

- (a) \$100 million (15 U.S.C. § 1);
- (b) twice the gross pecuniary gain the conspirators derived from the crime (18 U.S.C. § 3571(c) and (d)); or
- (c) twice the gross pecuniary loss caused to the victims of the crime by the conspirators (18 U.S.C. § 3571(c) and (d)).

7. In addition, the defendant understands that:

- (a) pursuant to 18 U.S.C. § 3561(c)(1), the Court may impose a term of probation of at least one year, but not more than five years;
- (b) pursuant to §8B1.1 of the United States Sentencing Guidelines (“U.S.S.G.,” “Sentencing Guidelines,” or “Guidelines”) or 18 U.S.C. § 3563(b)(2) or 3663(a)(3), the Court may order it to pay restitution to the victims of the offense; and
- (c) pursuant to 18 U.S.C. § 3013(a)(2)(B), the Court is required to order the defendant to pay a \$400 special assessment upon conviction for the charged crime.

**SENTENCING GUIDELINES**

8. The defendant understands that the Sentencing Guidelines are advisory, not mandatory, but that the Court must consider, in determining and imposing the sentence, the Guidelines Manual in effect on the date of sentencing, unless that Manual provides for greater

punishment than the Manual in effect on the last date the offense of conviction was committed, in which case the Court must consider the Guidelines Manual in effect on the last date that the offense of conviction was committed. The parties agree there is no ex-post-facto issue under the November 1, 2013 Guidelines Manual. The Court must also consider the other factors set forth in 18 U.S.C. § 3553(a), in determining and imposing sentence. The defendant understands that the Guidelines determinations will be made by the Court by a preponderance of the evidence standard. The defendant understands that, although the Court is not ultimately bound to impose a sentence within the applicable Guidelines range, its sentence must be reasonable based upon consideration of all relevant sentencing factors set forth in 18 U.S.C. § 3553(a).

#### **SENTENCING AGREEMENT**

9. Pursuant to Fed. R. Crim. P. 11(c)(1)(C) and subject to the full, truthful, and continuing cooperation of the defendant and its subsidiaries, as defined in Paragraph 13 of this Plea Agreement, the United States and the defendant agree that the appropriate disposition of this case is, and agree to recommend jointly that the Court impose, a sentence requiring the defendant to pay to the United States a criminal fine of \$67.7 million, payable in full before the fifteenth (15th) day after the date of judgment, and no order of restitution (“the recommended sentence”). The parties agree that there exists no aggravating or mitigating circumstance of a kind, or to a degree, not adequately taken into consideration by the U.S. Sentencing Commission in formulating the Sentencing Guidelines justifying a departure pursuant to U.S.S.G. §5K2.0. The parties agree not to seek at the sentencing hearing any sentence outside of the Guidelines range nor any Guidelines adjustment for any reason that is not set forth in this Plea Agreement. The parties further agree that the recommended sentence set forth in this Plea Agreement is reasonable.

(a) The defendant understands that the Court will order it to pay a \$400 special assessment, pursuant to 18 U.S.C. § 3013(a)(2)(B), in addition to any fine imposed.

(b) , In light of the civil cases filed against the defendant, which potentially provide for a recovery of a multiple of actual damages, the recommended sentence does not include a restitution order for the offense charged in the Information.

(c) Both parties will recommend that no term of probation be imposed, but the defendant understands that the Court's denial of this request will not void this Plea Agreement.

(d) The United States and the defendant jointly submit that this Plea Agreement, together with the record that will be created by the United States and the defendant at the plea and sentencing hearings, and the further disclosure described in Paragraph 11, will provide sufficient information concerning the defendant, the crime charged in this case, and the defendant's role in the crime to enable the meaningful exercise of sentencing authority by the Court under 18 U.S.C. § 3553. The United States and the defendant agree to request jointly that the Court accept the defendant's guilty plea and impose sentence on an expedited schedule as early as the date of arraignment, based upon the record provided by the defendant and the United States, under the provisions of Fed. R. Crim. P. 32(c)(1)(A)(ii), U.S.S.G. §6A1.1, and Rule 32.1(h) of the Criminal Local Rules. The Court's denial of the request to impose sentence on an expedited schedule will not void this Plea Agreement.

10. The United States and the defendant agree that the applicable Guidelines fine range exceeds the fine contained in the recommended sentence set out in Paragraph 9 above. Subject to the full, truthful, and continuing cooperation of the defendant and its subsidiaries, as defined in Paragraph 13 of this Plea Agreement, and prior to sentencing in this case, the United States agrees that it will make a motion, pursuant to U.S.S.G. §8C4.1, for a downward departure from the Guidelines fine range and will request that the Court impose the recommended sentence set out in Paragraph 9 of this Plea Agreement because of the defendant's and its subsidiaries'

substantial assistance in the government's investigation and prosecutions of violations of federal antitrust laws involving international ocean shipping services for roll-on, roll-off cargo.

11. Subject to the full, truthful, and continuing cooperation of the defendant and its subsidiaries, as defined in Paragraph 13 of this Plea Agreement, and prior to sentencing in this case, the United States will fully advise the Court and the Probation Office of the fact, manner, and extent of the defendant's and its subsidiaries' cooperation and their commitment to prospective cooperation with the United States' investigation and prosecutions, all material facts relating to the defendant's involvement in the charged offense, and all other relevant conduct.

12. The United States and the defendant understand that the Court retains complete discretion to accept or reject the recommended sentence provided for in Paragraph 9 of this Plea Agreement.

(a) If the Court does not accept the recommended sentence, the United States and the defendant agree that this Plea Agreement, except for Paragraph 12(b) below, will be rendered void.

(b) If the Court does not accept the recommended sentence, the defendant will be free to withdraw its guilty plea (Fed. R. Crim. P. 11(c)(5) and (d)). If the defendant withdraws its plea of guilty, this Plea Agreement, the guilty plea, and any statement made in the course of any proceedings under Fed. R. Crim. P. 11 regarding the guilty plea or this Plea Agreement or made in the course of plea discussions with an attorney for the government will not be admissible against the defendant in any criminal or civil proceeding, except as otherwise provided in Fed. R. Evid. 410. In addition, the defendant agrees that, if it withdraws its guilty plea pursuant to this subparagraph of this Plea Agreement, the statute of limitations period for any offense referred to in Paragraph 15 of this Plea Agreement will be tolled for the period between the date of the signature of this Plea Agreement and the date the defendant withdrew its guilty

plea or for a period of sixty (60) days after the date of the signature of this Plea Agreement, whichever period is greater.

**DEFENDANT'S COOPERATION**

13. The defendant and its subsidiaries will cooperate fully and truthfully with the United States in the prosecution of this case, the current federal investigation of violations of federal antitrust laws involving international ocean shipping services for roll-on, roll-off cargo, any federal investigation resulting therefrom, and any litigation or other proceedings arising or resulting from such investigation to which the United States is a party (collectively "Federal Proceeding"). Federal Proceeding includes, but is not limited to, an investigation, prosecution, litigation, or other proceeding regarding obstruction of, the making of a false statement or declaration in, the commission of perjury or subornation of perjury in, the commission of contempt in, or conspiracy to commit such offenses in, a Federal Proceeding. The defendant's subsidiaries for purposes of this Plea Agreement are entities that the defendant had a greater than 50% ownership interest in as of the date of signature of this Plea Agreement. The full, truthful, and continuing cooperation of the defendant and its subsidiaries will include, but not be limited to:

(a) producing to the United States all documents, information, and other materials, wherever located, not protected under the attorney-client privilege or the work product doctrine (and with translations into English), in the possession, custody, or control of the defendant or any of its subsidiaries, requested by the United States in connection with any Federal Proceeding; and

(b) using its best efforts to secure the full, truthful, and continuing cooperation, as defined in Paragraph 14 of this Plea Agreement, of the current and former directors, officers, and employees of the defendant or any of its subsidiaries as may be requested by the United States, but excluding the six (6) individuals listed in Attachment A filed under seal, including making these persons available in the United States and at

other mutually agreed-upon locations, at the defendant's expense, for interviews and the provision of testimony in grand jury, trial, and other judicial proceedings in connection with any Federal Proceeding. Current directors, officers, and employees are defined for purposes of this Plea Agreement as individuals who are directors, officers, or employees of the defendant or any of its subsidiaries as of the date of signature of this Plea Agreement.

14. The full, truthful, and continuing cooperation of each person described in Paragraph 13(b) above will be subject to the procedures and protections of this paragraph, and will include, but not be limited to:

(a) producing in the United States and at other mutually agreed-upon locations all documents, including claimed personal documents, and other materials, wherever located, not protected under the attorney-client privilege or the work product doctrine (and with translations into English), requested by attorneys and agents of the United States in connection with any Federal Proceeding;

(b) making himself or herself available for interviews in the United States and at other mutually agreed-upon locations, not at the expense of the United States, upon the request of attorneys and agents of the United States in connection with any Federal Proceeding;

(c) responding fully and truthfully to all inquiries of the United States in connection with any Federal Proceeding, without falsely implicating any person or intentionally withholding any information, subject to the penalties of making false statements or declarations (18 U.S.C. §§ 1001, 1623), obstruction of justice (18 U.S.C. § 1503, *et seq.*), or conspiracy to commit such offenses;

(d) otherwise voluntarily providing the United States with any material or information not requested in (a) - (c) of this paragraph and not protected under the

attorney-client privilege or the work product doctrine that he or she may have that is related to any Federal Proceeding;

(e) when called upon to do so by the United States in connection with any Federal Proceeding, testifying in grand jury, trial, and other judicial proceedings in the United States fully, truthfully, and under oath, subject to the penalties of perjury (18 U.S.C. § 1621), making false statements or declarations in grand jury or court proceedings (18 U.S.C. § 1623), contempt (18 U.S.C. §§ 401-402), and obstruction of justice (18 U.S.C. § 1503, *et seq.*); and

(f) agreeing that, if the agreement not to prosecute him or her in this Plea Agreement is rendered void under Paragraph 16(c), the statute of limitations period for any Relevant Offense, as defined in Paragraph 16(a), will be tolled as to him or her for the period between the date of the signing of this Plea Agreement and six (6) months after the date that the United States gave notice of its intent to void its obligations to that person under this Plea Agreement.

#### **GOVERNMENT'S AGREEMENT**

15. Subject to the full, truthful, and continuing cooperation of the defendant and its subsidiaries, as defined in Paragraph 13 of this Plea Agreement, and upon the Court's acceptance of the guilty plea called for by this Plea Agreement and the imposition of the recommended sentence, the United States agrees that it will not bring further criminal charges against the defendant or its subsidiaries for any act or offense committed before the date of the signing of this Plea Agreement that was undertaken in furtherance of an antitrust conspiracy involving international ocean shipping services for roll-on, roll-off cargo. The non-prosecution terms of this paragraph do not apply to (a) any acts of subornation of perjury (18 U.S.C. § 1622), making a false statement (18 U.S.C. § 1001), obstruction of justice (18 U.S.C. § 1503, *et seq.*), contempt (18 U.S.C. §§ 401-402), or conspiracy to commit such offenses; (b) civil matters of any kind; (c)

any violation of the federal tax or securities laws or conspiracy to commit such offenses; or (d) any crime of violence.

16. The United States agrees to the following:

(a) Upon the Court's acceptance of the guilty plea called for by this Plea Agreement and the imposition of the recommended sentence and subject to the exceptions noted in Paragraph 16(c), the United States will not bring criminal charges against any current or former director, officer, or employee of the defendant or its subsidiaries for any act or offense committed before the date of the signing of this Plea Agreement and while that person was acting as a director, officer, or employee of the defendant or its subsidiaries that was undertaken in furtherance of an antitrust conspiracy involving international ocean shipping services for roll-on, roll-off cargo ("Relevant Offense"), except that the protections granted in this paragraph do not apply to the six (6) individuals listed in Attachment A filed under seal;

(b) Should the United States determine that any current director, officer, or employee of the defendant or its subsidiaries, other than the six (6) individuals listed in Attachment A filed under seal, may have information relevant to any Federal Proceeding, the United States may request that person's cooperation under the terms of this Plea Agreement by written request delivered to counsel for the individual (with a copy to the undersigned counsel for the defendant) or, if the individual is not known by the United States to be represented, to the undersigned counsel for the defendant;

(c) If any person requested to provide cooperation under Paragraph 16(b) fails to comply with his or her obligations under Paragraph 14, then the terms of this Plea Agreement as they pertain to that person and the agreement not to prosecute that person



granted in this Plea Agreement will be rendered void, and the United States may prosecute such person criminally for any federal crime of which the United States has knowledge, including, but not limited to any Relevant Offense;

(d) Except as provided in Paragraph 16(e), information provided by a person described in Paragraph 16(b) to the United States under the terms of this Plea Agreement pertaining to any Relevant Offense, or any information directly or indirectly derived from that information, may not be used against that person in a criminal case, except in a prosecution for perjury or subornation of perjury (18 U.S.C. §§ 1621-22), making a false statement or declaration (18 U.S.C. §§ 1001, 1623), obstruction of justice (18 U.S.C. § 1503, *et seq.*), contempt (18 U.S.C. §§ 401-402), or conspiracy to commit such offenses;

(e) If any person who provides information to the United States under this Plea Agreement fails to comply fully with his or her obligations under Paragraph 14 of this Plea Agreement, the agreement in Paragraph 16(d) not to use that information or any information directly or indirectly derived from it against that person in a criminal case will be rendered void;

(f) The non-prosecution terms of this paragraph do not apply to civil matters of any kind; any violation of the federal tax or securities laws or conspiracy to commit such offenses; any crime of violence; or perjury or subornation of perjury (18 U.S.C. §§ 1621-22), making a false statement or declaration (18 U.S.C. §§ 1001, 1623), obstruction of justice (18 U.S.C. § 1503, *et seq.*), contempt (18 U.S.C. §§ 401-402), or conspiracy to commit such offenses; and

(g) Documents provided under Paragraphs 13(a) and 14(a) will be deemed responsive to outstanding grand jury subpoenas issued to the defendant.

17. The United States agrees that when any person travels to the United States for interviews, grand jury appearances, or court appearances pursuant to this Plea Agreement, or for meetings with counsel in preparation therefor, the United States will take no action, based upon any Relevant Offense, to subject such person to arrest, detention, or service of process, or to prevent such person from departing the United States. This paragraph does not apply to an individual's commission of perjury or subornation of perjury (18 U.S.C. §§ 1621-22), making false statements or declarations (18 U.S.C. §§ 1001, 1623), obstruction of justice (18 U.S.C. § 1503, *et seq.*), contempt (18 U.S.C. §§ 401-402), or conspiracy to commit such offenses.

18. The defendant understands that it may be subject to suspension or debarment action by federal or state agencies other than the United States Department of Justice Antitrust Division, based upon the conviction resulting from this Plea Agreement, and that this Plea Agreement in no way controls whatever action, if any, other agencies may take. However, the United States agrees that, if requested, it will advise the appropriate officials of any governmental agency considering such action of the fact, manner, and extent of the cooperation of the defendant and its subsidiaries as a matter for that agency to consider before determining what action, if any, to take. The defendant nevertheless affirms that it wants to plead guilty regardless of the suspension or debarment consequences of its plea.

#### **REPRESENTATION BY COUNSEL**

19. The defendant has been represented by counsel and is fully satisfied that its attorneys have provided competent legal representation. The defendant has thoroughly reviewed this Plea Agreement and acknowledges that counsel has advised it of the nature of the charge, any possible defenses to the charge, and the nature and range of possible sentences.

**VOLUNTARY PLEA**

20. The defendant's decision to enter into this Plea Agreement and to tender a plea of guilty is freely and voluntarily made and is not the result of force, threats, assurances, promises, or representations other than the representations contained in this Plea Agreement and Attachment A. The United States has made no promises or representations to the defendant as to whether the Court will accept or reject the recommendations contained within this Plea Agreement.

**VIOLATION OF PLEA AGREEMENT**

21. The defendant agrees that, should the United States determine in good faith, during the period that any Federal Proceeding is pending, that the defendant or any of its subsidiaries has failed to provide full, truthful, and continuing cooperation, as defined in Paragraph 13 of this Plea Agreement, or has otherwise violated any provision of this Plea Agreement, the United States will notify counsel for the defendant in writing by personal or overnight delivery, email, or facsimile transmission and may also notify counsel by telephone of its intention to void any of its obligations under this Plea Agreement (except its obligations under this paragraph), and the defendant and its subsidiaries will be subject to prosecution for any federal crime of which the United States has knowledge including, but not limited to, the substantive offenses relating to the investigation resulting in this Plea Agreement. The defendant agrees that, in the event that the United States is released from its obligations under this Plea Agreement and brings criminal charges against the defendant or its subsidiaries for any offense referred to in Paragraph 15 of this Plea Agreement, the statute of limitations period for such offense will be tolled for the period between the date of the signing of this Plea Agreement and

six (6) months after the date the United States gave notice of its intent to void its obligations under this Plea Agreement.

22. The defendant understands and agrees that in any further prosecution of it or its subsidiaries resulting from the release of the United States from its obligations under this Plea Agreement, because of the defendant's or its subsidiaries' violation of this Plea Agreement, any documents, statements, information, testimony, or evidence provided by it or its subsidiaries, or their current directors, officers, or employees to attorneys or agents of the United States, federal grand juries, or courts, and any leads derived therefrom, may be used against it or its subsidiaries. In addition, the defendant unconditionally waives its right to challenge the use of such evidence in any such further prosecution, notwithstanding the protections of Fed. R. Evid. 410.

#### **ENTIRETY OF AGREEMENT**

23. This Plea Agreement and Attachment A constitute the entire agreement between the United States and the defendant concerning the disposition of the criminal charge in this case. This Plea Agreement cannot be modified except in writing, signed by the United States and the defendant.

24. The undersigned is authorized to enter this Plea Agreement on behalf of the defendant as evidenced by the Resolution of the Board of Directors of the defendant attached to, and incorporated by reference in, this Plea Agreement.

25. The undersigned attorneys for the United States have been authorized by the Attorney General of the United States to enter this Plea Agreement on behalf of the United States.

26. A facsimile or PDF signature will be deemed an original signature for the purpose of executing this Plea Agreement. Multiple signature pages are authorized for the purpose of executing this Plea Agreement.

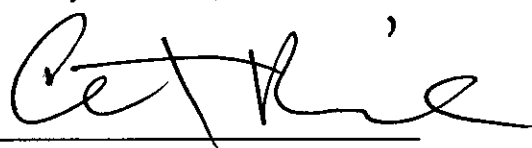
DATED: September 26, 2014

Respectfully submitted,

BY: \_\_\_\_\_

Makoto Arai  
Executive Officer  
Kawasaki Kisen Kaisha, Ltd.

BY: \_\_\_\_\_

  
Carsten M. Reichel  
Jon B. Jacobs  
Craig Y. Lee  
Richard A. Hellings, Jr.  
Emma M. Burnham  
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BY: \_\_\_\_\_

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jcalsyn@cgsh.com  
Counsel for Kawasaki Kisen Kaisha, Ltd.

26. A facsimile or PDF signature will be deemed an original signature for the purpose of executing this Plea Agreement. Multiple signature pages are authorized for the purpose of executing this Plea Agreement.

DATED: September 26, 2014

Respectfully submitted,

BY: Makoto Arai

Makoto Arai  
Executive Officer  
Kawasaki Kisen Kaisha, Ltd.

BY: \_\_\_\_\_

Carsten M. Reichel  
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FILED  
U.S. DISTRICT COURT  
DISTRICT OF MARYLAND  
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CLERK'S OFFICE  
AT BALTIMORE

KAWASAKI KISEN KAISHA, LTD.  
BOARD RESOLUTIONS

BY \_\_\_\_\_ DEPUTY

At the Meeting of the Board of Directors of KAWASAKI KISEN KAISHA, LTD. ("K" Line) held on September 26, 2014, the Board:

RESOLVED, that the execution, delivery and performance of the Plea Agreement between the United States Department of Justice and "K" Line, in substantially the form attached hereto, is hereby approved;

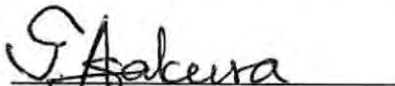
RESOLVED, that Mr. Makoto Arai, Executive Officer of "K" Line, is authorized, empowered and directed to execute and deliver the Plea Agreement in the name and on behalf of "K" Line; and

RESOLVED, that Mr. Makoto Arai, Executive Officer, is authorized, empowered and directed to represent "K" Line before any court or governmental agency in order to make statements and confirmations in accordance with the Plea Agreement, including entering a guilty plea on behalf of "K" Line.

CERTIFICATE

I, Jiro Asakura, President & CEO of "K" Line, a company organized and existing under the laws of Japan, do hereby certify that the foregoing resolutions adopted by the Board of Directors of "K" Line, at a meeting of the Board of Directors in Tokyo on September 26, 2014, are true, correct and complete and that said resolutions have not been amended, modified or repealed, and remain in full force and effect, as of the date hereof.

Signed in Tokyo, Japan this 26th day of September, 2014, by



Jiro Asakura

President & CEO

KAWASAKI KISEN KAISHA, LTD.

# **Exhibit 6**



UNITED STATES DISTRICT COURT  
DISTRICT OF MARYLAND  
Baltimore Division

FILED  
U.S. DISTRICT COURT  
DISTRICT OF MARYLAND

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CLERK'S OFFICE  
AT BALTIMORE

UNITED STATES OF AMERICA

v.

NIPPON YUSEN KABUSHIKI KAISHA

Defendant.

BY \_\_\_\_\_ DEPUTY

Criminal No.:

Filed:

Violation: 15 U.S.C. § 1 (Sherman Act)

**PLEA AGREEMENT**

The United States of America and Nippon Yusen Kabushiki Kaisha ("defendant"), a corporation organized and existing under the laws of Japan, hereby enter into the following Plea Agreement pursuant to Rule 11(c)(1)(C) of the Federal Rules of Criminal Procedure ("Fed. R. Crim. P.");

**RIGHTS OF DEFENDANT**

1. The defendant understands its rights:
  - (a) to be represented by an attorney;
  - (b) to be charged by Indictment;
  - (c) as a corporation organized and existing under the laws of Japan, to decline to accept service of the Summons in this case, and to contest the jurisdiction of the United States to prosecute this case against it in the United States District Court for the District of Maryland;
  - (d) to plead not guilty to any criminal charge brought against it;
  - (e) to have a trial by jury, at which it would be presumed not guilty of the charge and the United States would have to prove every essential element of the charged offense beyond a reasonable doubt for it to be found guilty;

- (f) to confront and cross-examine witnesses against it and to subpoena witnesses in its defense at trial;
- (g) to appeal its conviction if it is found guilty; and
- (h) to appeal the imposition of sentence against it.

**AGREEMENT TO PLEAD GUILTY**  
**AND WAIVE CERTAIN RIGHTS**

2. The defendant knowingly and voluntarily waives the rights set out in Paragraph 1(b)-(g) above. The defendant also knowingly and voluntarily waives the right to file any appeal, any collateral attack, or any other writ or motion, including but not limited to an appeal under 18 U.S.C. § 3742, that challenges the sentence imposed by the Court if that sentence is consistent with or below the recommended sentence in Paragraph 9 of this Plea Agreement, regardless of how the sentence is determined by the Court. This agreement does not affect the rights or obligations of the United States as set forth in 18 U.S.C. § 3742(b) or (c). Nothing in this paragraph, however, will act as a bar to the defendant perfecting any legal remedies it may otherwise have on appeal or collateral attack respecting claims of ineffective assistance of counsel or prosecutorial misconduct. The defendant agrees that there is currently no known evidence of ineffective assistance of counsel or prosecutorial misconduct. Pursuant to Fed. R. Crim. P. 7(b), the defendant will waive indictment and plead guilty to a one-count Information to be filed in the United States District Court for the District of Maryland. The Information will charge the defendant with participating in a combination and conspiracy, with its participation starting from at least as early as February 1997 and continuing until at least September 2012, to suppress and eliminate competition by allocating customers and routes, rigging bids, and fixing prices for international ocean shipping services for roll-on, roll-off cargo, such as cars and trucks, to and from the United States and elsewhere, in violation of the Sherman Antitrust Act, 15 U.S.C. § 1.

3. The defendant will plead guilty to the criminal charge described in Paragraph 2 above pursuant to the terms of this Plea Agreement and will make a factual admission of guilt to the Court in accordance with Fed. R. Crim. P. 11, as set forth in Paragraph 4 below.

**FACTUAL BASIS FOR OFFENSE CHARGED**

4. Had this case gone to trial, the United States would have presented evidence sufficient to prove the following facts:

(a) For purposes of this Plea Agreement, the “relevant period” is that period from at least as early as February 1997 and continuing until at least September 2012. During the relevant period, the defendant was a corporation organized and existing under the laws of Japan. Defendant had its principal place of business in Tokyo, Japan. Its U.S. subsidiary was headquartered at offices in Secaucus, New Jersey. During the relevant period, the defendant was engaged in the business of providing international ocean shipping services for roll-on, roll-off cargo to and from the United States and elsewhere. Roll-on, roll-off cargo is non-containerized cargo that can be both rolled onto and rolled off of an ocean-going vessel. Examples of such cargo include new and used cars and trucks, as well as construction, mining, and agricultural equipment. The international ocean shipment of roll-on, roll-off cargo as used herein is defined as deep-sea or trans-ocean transportation and does not include short-sea or coastal water freight transportation between the contiguous and non-contiguous states and territories of the United States. During the relevant period, defendant had more than 1,000 employees, and its sales for international ocean shipping services for new cars and trucks exported from the United States that were affected by the conspiracy were more than \$171,000,000.

(b) During the relevant period, the defendant, through certain employees in both Japan and the United States, including high-level personnel and other individuals with substantial authority within the company, participated in a conspiracy among ocean

carriers of roll-on, roll-off cargo, the primary purpose of which was to suppress and eliminate competition by allocating customers and routes, rigging bids, and fixing prices for international ocean shipping services for roll-on, roll-off cargo, such as cars and trucks, to and from the United States and elsewhere, in violation of the Sherman Antitrust Act, 15 U.S.C. § 1. In furtherance of the conspiracy, the defendant, through certain employees, engaged in discussions and attended meetings with representatives of other ocean carriers of roll-on, roll-off cargo. During these discussions and meetings, agreements were reached to allocate certain customers and routes, rig certain bids, and to fix, stabilize and maintain the prices for certain international ocean shipping services for roll-on, roll-off cargo to and from the United States and elsewhere. Affected customers included certain U.S.-based manufacturers of cars and trucks.

(c) During the relevant period, roll-on, roll-off cargo shipped by one or more of the conspirator firms, as well as payments for international ocean shipping services of such cargo, traveled in interstate and foreign commerce. The business activities of the defendant and its co-conspirators in connection with the international ocean shipping services for roll-on, roll-off cargo to and from the United States were within the flow of, and substantially affected, interstate and foreign trade and commerce.

(d) Acts in furtherance of this conspiracy were carried out within the District of Maryland, Baltimore Division. The Port of Baltimore is one of the largest ports in the United States for the import and export of new automobiles. During the relevant period, the defendant or its co-conspirators exported roll-on, roll-off cargo affected by the conspiracy from the Port of Baltimore.

#### **ELEMENTS OF THE OFFENSE**

5. The elements of the charged offense are that:

(a) the conspiracy described in the Information existed at or about the time alleged;

- (b) the defendant knowingly became a member of the conspiracy; and
- (c) the conspiracy described in the Information either substantially affected interstate commerce in goods or services or occurred within the flow of interstate commerce in goods and services.

**POSSIBLE MAXIMUM SENTENCE**

6. The defendant understands that the statutory maximum penalty which may be imposed against it upon conviction for a violation of Section One of the Sherman Antitrust Act is a fine in an amount equal to the greatest of:

- (a) \$100 million (15 U.S.C. § 1);
- (b) twice the gross pecuniary gain the conspirators derived from the crime (18 U.S.C. § 3571(c) and (d)); or
- (c) twice the gross pecuniary loss caused to the victims of the crime by the conspirators (18 U.S.C. § 3571(c) and (d)).

7. In addition, the defendant understands that:

- (a) pursuant to 18 U.S.C. § 3561(c)(1), the Court may impose a term of probation of at least one year, but not more than five years;
- (b) pursuant to §8B1.1 of the United States Sentencing Guidelines (“U.S.S.G.,” “Sentencing Guidelines,” or “Guidelines”) or 18 U.S.C. § 3563(b)(2) or 3663(a)(3), the Court may order it to pay restitution to the victims of the offense; and
- (c) pursuant to 18 U.S.C. § 3013(a)(2)(B), the Court is required to order the defendant to pay a \$400 special assessment upon conviction for the charged crime.

**SENTENCING GUIDELINES**

8. The defendant understands that the Sentencing Guidelines are advisory, not mandatory, but that the Court must consider, in determining and imposing the sentence, the Guidelines Manual in effect on the date of sentencing, unless that Manual provides for greater

punishment than the Manual in effect on the last date the offense of conviction was committed, in which case the Court must consider the Guidelines Manual in effect on the last date that the offense of conviction was committed. The parties agree there is no ex-post-facto issue under the November 1, 2014 Guidelines Manual. The Court must also consider the other factors set forth in 18 U.S.C. § 3553(a), in determining and imposing sentence. The defendant understands that the Guidelines determinations will be made by the Court by a preponderance of the evidence standard. The defendant understands that, although the Court is not ultimately bound to impose a sentence within the applicable Guidelines range, its sentence must be reasonable based upon consideration of all relevant sentencing factors set forth in 18 U.S.C. § 3553(a).

#### **SENTENCING AGREEMENT**

9. Pursuant to Fed. R. Crim. P. 11(c)(1)(C) and subject to the full, truthful, and continuing cooperation of the defendant and its subsidiaries, as defined in Paragraph 13 of this Plea Agreement, the United States and the defendant agree that the appropriate disposition of this case is, and agree to recommend jointly that the Court impose, a sentence requiring the defendant to pay to the United States a criminal fine of \$59.4 million, payable in full before the fifteenth (15th) day after the date of judgment, and no order of restitution ("the recommended sentence"). The parties agree that there exists no aggravating or mitigating circumstance of a kind, or to a degree, not adequately taken into consideration by the U.S. Sentencing Commission in formulating the Sentencing Guidelines justifying a departure pursuant to U.S.S.G. §5K2.0. The parties agree not to seek at the sentencing hearing any sentence outside of the Guidelines range nor any Guidelines adjustment for any reason that is not set forth in this Plea Agreement. The parties further agree that the recommended sentence set forth in this Plea Agreement is reasonable.

(a) The defendant understands that the Court will order it to pay a \$400 special assessment, pursuant to 18 U.S.C. § 3013(a)(2)(B), in addition to any fine imposed.

(b) In light of the civil cases filed against the defendant, which potentially provide for a recovery of a multiple of actual damages, the recommended sentence does not include a restitution order for the offense charged in the Information.

(c) Both parties will recommend that no term of probation be imposed, but the defendant understands that the Court's denial of this request will not void this Plea Agreement.

(d) The United States and the defendant jointly submit that this Plea Agreement, together with the record that will be created by the United States and the defendant at the plea and sentencing hearings, and the further disclosure described in Paragraph 11, will provide sufficient information concerning the defendant, the crime charged in this case, and the defendant's role in the crime to enable the meaningful exercise of sentencing authority by the Court under 18 U.S.C. § 3553. The United States and the defendant agree to request jointly that the Court accept the defendant's guilty plea and impose sentence on an expedited schedule as early as the date of arraignment, based upon the record provided by the defendant and the United States, under the provisions of Fed. R. Crim. P. 32(c)(1)(A)(ii), U.S.S.G. §6A1.1, and Rule 32.1(h) of the Criminal Local Rules. The Court's denial of the request to impose sentence on an expedited schedule will not void this Plea Agreement.

10. The United States and the defendant agree that the applicable Guidelines fine range exceeds the fine contained in the recommended sentence set out in Paragraph 9 above. Subject to the full, truthful, and continuing cooperation of the defendant and its subsidiaries, as defined in Paragraph 13 of this Plea Agreement, and prior to sentencing in this case, the United States agrees that it will make a motion, pursuant to U.S.S.G. §8C4.1, for a downward departure from the Guidelines fine range and will request that the Court impose the recommended sentence set out in Paragraph 9 of this Plea Agreement because of the defendant's and its subsidiaries'

substantial assistance in the government's investigation and prosecutions of violations of federal antitrust laws involving international ocean shipping services for roll-on, roll-off cargo.

11. Subject to the full, truthful, and continuing cooperation of the defendant and its subsidiaries, as defined in Paragraph 13 of this Plea Agreement, and prior to sentencing in this case, the United States will fully advise the Court and the Probation Office of the fact, manner, and extent of the defendant's and its subsidiaries' cooperation and their commitment to prospective cooperation with the United States' investigation and prosecutions, all material facts relating to the defendant's involvement in the charged offense, and all other relevant conduct.

12. The United States and the defendant understand that the Court retains complete discretion to accept or reject the recommended sentence provided for in Paragraph 9 of this Plea Agreement.

(a) If the Court does not accept the recommended sentence, the United States and the defendant agree that this Plea Agreement, except for Paragraph 12(b) below, will be rendered void.

(b) If the Court does not accept the recommended sentence, the defendant will be free to withdraw its guilty plea (Fed. R. Crim. P. 11(c)(5) and (d)). If the defendant withdraws its plea of guilty, this Plea Agreement, the guilty plea, and any statement made in the course of any proceedings under Fed. R. Crim. P. 11 regarding the guilty plea or this Plea Agreement or made in the course of plea discussions with an attorney for the government will not be admissible against the defendant in any criminal or civil proceeding, except as otherwise provided in Fed. R. Evid. 410. In addition, the defendant agrees that, if it withdraws its guilty plea pursuant to this subparagraph of this Plea Agreement, the statute of limitations period for any offense referred to in Paragraph 15 of this Plea Agreement will be tolled for the period between the date of the signature of this Plea Agreement and the date the defendant withdrew its guilty



plea or for a period of sixty (60) days after the date of the signature of this Plea Agreement, whichever period is greater.

**DEFENDANT'S COOPERATION**

13. The defendant and its subsidiaries will cooperate fully and truthfully with the United States in the prosecution of this case, the current federal investigation of violations of federal antitrust laws involving international ocean shipping services for roll-on, roll-off cargo, any federal investigation resulting therefrom, and any litigation or other proceedings arising or resulting from such investigation to which the United States is a party (collectively "Federal Proceeding"). Federal Proceeding includes, but is not limited to, an investigation, prosecution, litigation, or other proceeding regarding obstruction of, the making of a false statement or declaration in, the commission of perjury or subornation of perjury in, the commission of contempt in, or conspiracy to commit such offenses in, a Federal Proceeding. The defendant's subsidiaries for purposes of this Plea Agreement are entities that the defendant had a greater than 50% ownership interest in as of the date of signature of this Plea Agreement. The full, truthful, and continuing cooperation of the defendant and its subsidiaries will include, but not be limited to:

(a) producing to the United States all documents, information, and other materials, wherever located, not protected under the attorney-client privilege or the work product doctrine (and with translations into English), in the possession, custody, or control of the defendant or any of its subsidiaries, requested by the United States in connection with any Federal Proceeding; and

(b) using its best efforts to secure the full, truthful, and continuing cooperation, as defined in Paragraph 14 of this Plea Agreement, of the current and former directors, officers, and employees of the defendant or any of its subsidiaries as may be requested by the United States, but excluding the seven (7) individuals listed in Attachment A filed under seal, including making these persons available in the United

States and at other mutually agreed-upon locations, at the defendant's expense, for interviews and the provision of testimony in grand jury, trial, and other judicial proceedings in connection with any Federal Proceeding. Current directors, officers, and employees are defined for purposes of this Plea Agreement as individuals who are directors, officers, or employees of the defendant or any of its subsidiaries as of the date of signature of this Plea Agreement.

14. The full, truthful, and continuing cooperation of each person described in Paragraph 13(b) above will be subject to the procedures and protections of this paragraph, and will include, but not be limited to:

(a) producing in the United States and at other mutually agreed-upon locations all documents, including claimed personal documents, and other materials, wherever located, not protected under the attorney-client privilege or the work product doctrine (and with translations into English), requested by attorneys and agents of the United States in connection with any Federal Proceeding;

(b) making himself or herself available for interviews in the United States and at other mutually agreed-upon locations, not at the expense of the United States, upon the request of attorneys and agents of the United States in connection with any Federal Proceeding;

(c) responding fully and truthfully to all inquiries of the United States in connection with any Federal Proceeding, without falsely implicating any person or intentionally withholding any information, subject to the penalties of making false statements or declarations (18 U.S.C. §§ 1001, 1623), obstruction of justice (18 U.S.C. § 1503, *et seq.*), or conspiracy to commit such offenses;

(d) otherwise voluntarily providing the United States with any material or information not requested in (a) - (c) of this paragraph and not protected under the

attorney-client privilege or the work product doctrine that he or she may have that is related to any Federal Proceeding;

(e) when called upon to do so by the United States in connection with any Federal Proceeding, testifying in grand jury, trial, and other judicial proceedings in the United States fully, truthfully, and under oath, subject to the penalties of perjury (18 U.S.C. § 1621), making false statements or declarations in grand jury or court proceedings (18 U.S.C. § 1623), contempt (18 U.S.C. §§ 401-402), and obstruction of justice (18 U.S.C. § 1503, *et seq.*); and

(f) agreeing that, if the agreement not to prosecute him or her in this Plea Agreement is rendered void under Paragraph 16(c), the statute of limitations period for any Relevant Offense, as defined in Paragraph 16(a), will be tolled as to him or her for the period between the date of the signing of this Plea Agreement and six (6) months after the date that the United States gave notice of its intent to void its obligations to that person under this Plea Agreement.

#### **GOVERNMENT'S AGREEMENT**

15. Subject to the full, truthful, and continuing cooperation of the defendant and its subsidiaries, as defined in Paragraph 13 of this Plea Agreement, and upon the Court's acceptance of the guilty plea called for by this Plea Agreement and the imposition of the recommended sentence, the United States agrees that it will not bring further criminal charges against the defendant or its subsidiaries for any act or offense committed before the date of the signing of this Plea Agreement that was undertaken in furtherance of an antitrust conspiracy involving international ocean shipping services for roll-on, roll-off cargo. The non-prosecution terms of this paragraph do not apply to (a) any acts of subornation of perjury (18 U.S.C. § 1622), making a false statement (18 U.S.C. § 1001), obstruction of justice (18 U.S.C. § 1503, *et seq.*), contempt (18 U.S.C. §§ 401-402), or conspiracy to commit such offenses; (b) civil matters of any kind; (c)

any violation of the federal tax or securities laws or conspiracy to commit such offenses; or (d) any crime of violence.

16. The United States agrees to the following:

(a) Upon the Court's acceptance of the guilty plea called for by this Plea Agreement and the imposition of the recommended sentence and subject to the exceptions noted in Paragraph 16(c), the United States will not bring criminal charges against any current or former director, officer, or employee of the defendant or its subsidiaries for any act or offense committed before the date of the signing of this Plea Agreement and while that person was acting as a director, officer, or employee of the defendant or its subsidiaries that was undertaken in furtherance of an antitrust conspiracy involving international ocean shipping services for roll-on, roll-off cargo ("Relevant Offense"), except that the protections granted in this paragraph do not apply to the seven (7) individuals listed in Attachment A filed under seal;

(b) Should the United States determine that any current director, officer, or employee of the defendant or its subsidiaries, other than the seven (7) individuals listed in Attachment A filed under seal, may have information relevant to any Federal Proceeding, the United States may request that person's cooperation under the terms of this Plea Agreement by written request delivered to counsel for the individual (with a copy to the undersigned counsel for the defendant) or, if the individual is not known by the United States to be represented, to the undersigned counsel for the defendant;

(c) If any person requested to provide cooperation under Paragraph 16(b) fails to comply with his or her obligations under Paragraph 14, then the terms of this Plea Agreement as they pertain to that person and the agreement not to prosecute that person

granted in this Plea Agreement will be rendered void, and the United States may prosecute such person criminally for any federal crime of which the United States has knowledge, including, but not limited to any Relevant Offense;

(d) Except as provided in Paragraph 16(e), information provided by a person described in Paragraph 16(b) to the United States under the terms of this Plea Agreement pertaining to any Relevant Offense, or any information directly or indirectly derived from that information, may not be used against that person in a criminal case, except in a prosecution for perjury or subornation of perjury (18 U.S.C. §§ 1621-22), making a false statement or declaration (18 U.S.C. §§ 1001, 1623), obstruction of justice (18 U.S.C. § 1503, *et seq.*), contempt (18 U.S.C. §§ 401-402), or conspiracy to commit such offenses;

(e) If any person who provides information to the United States under this Plea Agreement fails to comply fully with his or her obligations under Paragraph 14 of this Plea Agreement, the agreement in Paragraph 16(d) not to use that information or any information directly or indirectly derived from it against that person in a criminal case will be rendered void;

(f) The non-prosecution terms of this paragraph do not apply to civil matters of any kind; any violation of the federal tax or securities laws or conspiracy to commit such offenses; any crime of violence; or perjury or subornation of perjury (18 U.S.C. §§ 1621-22), making a false statement or declaration (18 U.S.C. §§ 1001, 1623), obstruction of justice (18 U.S.C. § 1503, *et seq.*), contempt (18 U.S.C. §§ 401-402), or conspiracy to commit such offenses; and

(g) Documents provided under Paragraphs 13(a) and 14(a) will be deemed responsive to outstanding grand jury subpoenas issued to the defendant.

17. The United States agrees that when any person travels to the United States for interviews, grand jury appearances, or court appearances pursuant to this Plea Agreement, or for meetings with counsel in preparation therefor, the United States will take no action, based upon any Relevant Offense, to subject such person to arrest, detention, or service of process, or to prevent such person from departing the United States. This paragraph does not apply to an individual's commission of perjury or subornation of perjury (18 U.S.C. §§ 1621-22), making false statements or declarations (18 U.S.C. §§ 1001, 1623), obstruction of justice (18 U.S.C. § 1503, *et seq.*), contempt (18 U.S.C. §§ 401-402), or conspiracy to commit such offenses.

18. The defendant understands that it may be subject to suspension or debarment action by federal or state agencies other than the United States Department of Justice Antitrust Division, based upon the conviction resulting from this Plea Agreement, and that this Plea Agreement in no way controls whatever action, if any, other agencies may take. However, the United States agrees that, if requested, it will advise the appropriate officials of any governmental agency considering such action of the fact, manner, and extent of the cooperation of the defendant and its subsidiaries as a matter for that agency to consider before determining what action, if any, to take. The defendant nevertheless affirms that it wants to plead guilty regardless of the suspension or debarment consequences of its plea.

#### **REPRESENTATION BY COUNSEL**

19. The defendant has been represented by counsel and is fully satisfied that its attorneys have provided competent legal representation. The defendant has thoroughly reviewed this Plea Agreement and acknowledges that counsel has advised it of the nature of the charge, any possible defenses to the charge, and the nature and range of possible sentences.

**VOLUNTARY PLEA**

20. The defendant's decision to enter into this Plea Agreement and to tender a plea of guilty is freely and voluntarily made and is not the result of force, threats, assurances, promises, or representations other than the representations contained in this Plea Agreement and Attachment A. The United States has made no promises or representations to the defendant as to whether the Court will accept or reject the recommendations contained within this Plea Agreement.

**VIOLATION OF PLEA AGREEMENT**

21. The defendant agrees that, should the United States determine in good faith, during the period that any Federal Proceeding is pending, that the defendant or any of its subsidiaries has failed to provide full, truthful, and continuing cooperation, as defined in Paragraph 13 of this Plea Agreement, or has otherwise violated any provision of this Plea Agreement, the United States will notify counsel for the defendant in writing by personal or overnight delivery, email, or facsimile transmission and may also notify counsel by telephone of its intention to void any of its obligations under this Plea Agreement (except its obligations under this paragraph), and the defendant and its subsidiaries will be subject to prosecution for any federal crime of which the United States has knowledge including, but not limited to, the substantive offenses relating to the investigation resulting in this Plea Agreement. The defendant agrees that, in the event that the United States is released from its obligations under this Plea Agreement and brings criminal charges against the defendant or its subsidiaries for any offense referred to in Paragraph 15 of this Plea Agreement, the statute of limitations period for such offense will be tolled for the period between the date of the signing of this Plea Agreement and

six (6) months after the date the United States gave notice of its intent to void its obligations under this Plea Agreement.

22. The defendant understands and agrees that in any further prosecution of it or its subsidiaries resulting from the release of the United States from its obligations under this Plea Agreement, because of the defendant's or its subsidiaries' violation of this Plea Agreement, any documents, statements, information, testimony, or evidence provided by it or its subsidiaries, or their current directors, officers, or employees to attorneys or agents of the United States, federal grand juries, or courts, and any leads derived therefrom, may be used against it or its subsidiaries. In addition, the defendant unconditionally waives its right to challenge the use of such evidence in any such further prosecution, notwithstanding the protections of Fed. R. Evid. 410.

#### **ENTIRETY OF AGREEMENT**

23. This Plea Agreement and Attachment A constitute the entire agreement between the United States and the defendant concerning the disposition of the criminal charge in this case. This Plea Agreement cannot be modified except in writing, signed by the United States and the defendant.

24. The undersigned is authorized to enter this Plea Agreement on behalf of the defendant as evidenced by the Resolution of the Board of Directors of the defendant attached to, and incorporated by reference in, this Plea Agreement.

25. The undersigned attorneys for the United States have been authorized by the Attorney General of the United States to enter this Plea Agreement on behalf of the United States.



26. A facsimile or PDF signature will be deemed an original signature for the purpose of executing this Plea Agreement. Multiple signature pages are authorized for the purpose of executing this Plea Agreement.

DATED: December 29, 2014

Respectfully submitted,

BY: 大西 徳昭  
Naruaki Onishi  
General Manager  
Nippon Yusen Kabushiki Kaisha

BY: Richard A. Hellings, Jr.  
Richard A. Hellings, Jr.  
Jon B. Jacobs  
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NIPPON YUSEN KABUSHIKI KAISHA  
BOARD RESOLUTIONS

FILED  
U.S. DISTRICT COURT  
DISTRICT OF MARYLAND

2015 MAR 11 PM 4:11

At the Meeting of the Board of Directors of NIPPON YUSEN KABUSHIKI KAISHA ("NYK Line") held on December 25, 2014, the Board:

CLERK'S OFFICE  
AT BALTIMORE

BY \_\_\_\_\_ DEPUTY

RESOLVED, that the execution, delivery and performance of the Plea Agreement between the United States Department of Justice and NYK Line, in substantially the form attached hereto, is hereby approved;

RESOLVED, that Mr. Naoya Tazawa, Representative Director & Senior Managing Corporate Officer of NYK Line, Mr. Yoshiyuki Yoshida, Corporate Officer of NYK Line, Mr. Naruaki Onishi, General Manager of NYK Line, and Mr. Takaaki Hashimoto, Manager of NYK Line, are authorized, empowered and directed to execute and deliver the Plea Agreement in the name and on behalf of NYK Line; and

RESOLVED, that Mr. Naoya Tazawa, Representative Director & Senior Managing Corporate Officer, Mr. Yoshiyuki Yoshida, Corporate Officer, Mr. Naruaki Onishi, General Manager, and Mr. Takaaki Hashimoto, Manager, are authorized, empowered and directed to represent NYK Line before any court or governmental agency in order to make statements and confirmations in accordance with the Plea Agreement, including entering a guilty plea on behalf of NYK Line.

CERTIFICATE

I, Yasumi Kudo, President & President Corporate Officer of NYK Line, a company organized and existing under the laws of Japan, do hereby certify that the foregoing resolutions adopted by the Board of Directors of NYK Line, at a meeting of the Board of Directors held in Tokyo, Japan, on December 25, 2014, are true, correct and complete and that said resolutions have not been amended, modified or repealed, and remain in full force and effect, as of the date hereof.

Signed in Tokyo, Japan this 25th day of December, 2014



Yasumi Kudo

President, President Corporate Officer  
NIPPON YUSEN KABUSHIKI KAISHA

# **Exhibit 7**

IN THE UNITED STATES DISTRICT COURT  
FOR THE DISTRICT OF MARYLAND

UNITED STATES OF AMERICA

VS.

CRIMINAL NO. GLR-14-0100

COMPANIA SUD AMERICANA DE  
VAPORES S.A.

DEFENDANT

Baltimore, Maryland

May 1, 2014

The above-entitled case came on for a guilty plea  
and sentencing before the Honorable George Levi  
Russell, III, United States District Judge

A P P E A R A N C E S

For the Government:

Jon B. Jacobs, Esquire  
Carsten M. Reichel, Esquire

For the Defendant:

Steven F. Cherry, Esquire  
Todd F. Braunstein, Esquire

Gail A. Simpkins, RPR  
Official Court Reporter

P R O C E E D I N G S

THE COURT: Mr. Jacobs, call the case for me, please.

MR. JACOBS: Yes, Jon Jacobs for the United States. With me, my co-counsel, Carsten Reichel, and our case agent, Rob Guynn from the FBI.

THE COURT: Good morning.

MR. REICHEL: Good morning, Your Honor.

MR. CHERRY: Your Honor, I'm Steve Cherry. I'm with the law firm of Wilmer Cutler Pickering Hale and Dorr, and representing Compania Sud Americana de Vapores. With me is the company's representative, the general counsel, Pablo Bauer, and my colleague, Todd Braunstein.

THE COURT: Good morning to you.

MR. CHERRY: Thank you.

THE COURT: I know that the paper submitted, there is an initial appearance, arraignment, guilty plea on the information, as well as moving right to sentencing if the Court agrees with the parties' recommended sentence of the \$8.9 million fine, to be divided in four annual payments.

The last payment would be \$2.15 million, and the other payments, the total amount would be for 2.25 million for the first three years, and then 2.15

1 million for the fourth year.

2 The parties are seeking to have the Court depart  
3 from the guideline range of the fine to get to the 8.9  
4 million based upon the reasons submitted in the Joint  
5 Sentencing Memoranda. I will address those later on  
6 in the proceeding, but the Court is at this point in  
7 time willing to accept the recommendations by the  
8 parties, made by the parties, and bind itself to the  
9 recommended sentence in the case.

10 It seems to me that we have to put the corporate  
11 representative, Mr. Bauer, under oath, and he would  
12 answer the questions pursuant to the plea colloquy as  
13 any other defendant would.

14 The Court certainly understands that Mr. Bauer  
15 is not accused of, or for making representations of  
16 his own individual criminal culpability in the events  
17 giving rise to this; but nevertheless, he is speaking  
18 on behalf of the corporation and he has to acknowledge  
19 and waive the very important trial rights, as well as  
20 appellate rights associated with a rearraignment or  
21 arraignment in this case.

22 So if we could, I will have Mr. Bauer placed  
23 under oath, and we can proceed.

24 THE CLERK: You can stand right there. That's  
25 fine. Just raise your right hand for me, please.

1 (The defendant was duly sworn.)

2 THE CLERK: Please state your full name for the  
3 record.

4 THE DEFENDANT: It's Pablo Felipe Bauer Novoa.

5 THE CLERK: You can put your hand down.

6 What is your capacity with the corporation?

7 THE DEFENDANT: Remain standing?

8 THE COURT: Yes, please.

9 THE CLERK: You can remained standing. Yes,  
10 please.

11 What is your capacity with the corporation?

12 THE DEFENDANT: I am the General Counsel.

13 THE CLERK: Okay. What is your age?

14 THE DEFENDANT: I'm 44 years old.

15 THE CLERK: The year you were born?

16 THE DEFENDANT: 1969.

17 THE CLERK: Have you been furnished with a copy  
18 of the information in the case of USA versus Compania  
19 Sud Americana de Vapores?

20 THE DEFENDANT: Yes, I have.

21 THE CLERK: Do you understand the charges placed  
22 against the corporation?

23 THE DEFENDANT: Yes, I do.

24 THE CLERK: Mr. Cherry, you have been retained  
25 to represent said corporation. Are you satisfied that

1 Mr. Bauer understands the charges against said  
2 corporation?

3 MR. CHERRY: Yes, I am.

4 THE CLERK: Mr. Bauer, having read the  
5 information and understanding the charges against said  
6 corporation, how do you wish to plead on behalf of  
7 said corporation?

8 THE DEFENDANT: I wish to plead guilty.

9 THE CLERK: The plea is guilty as to Count 1,  
10 and not guilty to any other pending count; is that  
11 correct?

12 THE DEFENDANT: Yes.

13 THE CLERK: Thank you.

14 THE COURT: All right. Mr. Bauer, let me ask  
15 you, I first have before me a waiver of indictment in  
16 this case. You agree as the duly-authorized  
17 representative of Compania, which is --

18 I'll let you know when you can sit.

19 As the duly-authorized representative of  
20 Compania, and I will use in reference to the  
21 defendant, Compania, for the purpose of brevity in  
22 this proceeding, you do agree to waive your right to  
23 proceed by prosecution by indictment and consent for  
24 the purposes of this plea to proceeding by way of  
25 information on behalf of Compania, the corporation.



1 Is that correct?

2 THE DEFENDANT: Yes, Your Honor.

3 THE COURT: Very good. Okay. You can go ahead  
4 and be seated.

5 Now, Mr. Bauer, before I can ask you, or before  
6 I can accept the guilty plea of the defendant in this  
7 case, I have got to decide whether or not this plea is  
8 being entered on behalf of you -- being entered in  
9 this case in both a knowing and voluntary manner.

10 So in the event that you do not understand a  
11 question that I ask, or you need some clarity, please  
12 do not hesitate to let me know.

13 Also, in the event that you need to speak with  
14 your attorneys, please do not hesitate to let me know  
15 and I will give you the opportunity to do so. In  
16 fact, I will put this noise button on to give you and  
17 your attorneys some additional privacy with regard to  
18 any discussions that you want to end up having.

19 Now do you understand that you are speaking on  
20 behalf of the corporation, and you understand if you  
21 answer any of my questions falsely, your answers may  
22 be later used against the corporation in another  
23 prosecution for perjury or for making a false  
24 statement?

25 THE DEFENDANT: Yes, Your Honor.

1           THE COURT: Now I understand that there is a  
2 plea agreement in this case, which will be marked as  
3 Government's Exhibit Number 1.

4           I would like to turn your attention --

5           Do you have a copy of that plea agreement in  
6 front of you, Mr. Bauer?

7           THE DEFENDANT: Yes, Your Honor, I do.

8           THE COURT: I would like to turn your attention  
9 to page 17 of that plea agreement, which is the last  
10 page of the plea agreement. Let me know when you are  
11 there.

12          THE DEFENDANT: I'm there, Your Honor.

13          THE COURT: In the middle of the page or near  
14 the top of the page there's a typed name. The typed  
15 name reads Pablo Bauer, General Counsel, Compania Sud  
16 Americana de Vapores Corporation. Above that name  
17 appears to be a signature. Is that your signature,  
18 sir?

19          THE DEFENDANT: Yes, Your Honor.

20          THE COURT: And you have read each and every  
21 word of this plea agreement, understand it, and agree  
22 to it?

23          THE DEFENDANT: Yes, Your Honor.

24          THE COURT: You signed your name prior to or  
25 subsequent to reading it and discussing it with your

1 attorneys; is that correct?

2 THE DEFENDANT: Yes, Your Honor.

3 THE COURT: All right. I note for the record  
4 that the original plea is signed by all counsel in the  
5 case.

6 Now do you agree that this Government's Exhibit  
7 Number 1, which represents the plea agreement,  
8 represents the entire agreement that your company or  
9 the company has made with the government, and that  
10 there are no other promises or agreements that have  
11 been made to you or the company?

12 THE DEFENDANT: Yes, Your Honor.

13 THE COURT: No one has expressed any force or  
14 expressed violence against you or the company, or  
15 someone close to the company in order to persuade you  
16 on behalf of the company to accept the agreement; is  
17 that correct?

18 THE DEFENDANT: That's correct.

19 THE COURT: Under the terms of the plea  
20 agreement, it is my understanding that Compania has  
21 agreed to plead guilty to the one count information  
22 now pending against it. As pursuant to the  
23 recommendation of both parties, a fine in the total  
24 amount of \$8.9 million is the agreed-upon punishment  
25 in this case.

1           Let me ask you, is that your general  
2 understanding of the terms of the plea agreement?

3           THE DEFENDANT: Yes, Your Honor.

4           THE COURT: Now as I indicated to you earlier,  
5 this is a plea agreement pursuant to Rule 11(c)(1)(C),  
6 in which the parties seek to bind this Court to the  
7 terms and conditions of any sentence that they  
8 recommended to be imposed.

9           I have indicated to you at the beginning of this  
10 proceedings that the Court is willing to bind itself  
11 to the terms of the sentence in this case. But you  
12 understood, and you understand that the Court is not a  
13 party to the agreement?

14          THE DEFENDANT: Yes, I understand, Your Honor.

15          THE COURT: You also understood that to the  
16 extent that the terms of the plea agreement allow the  
17 parties to make sentencing recommendations, which they  
18 have, that I could have rejected those  
19 recommendations, without permitting you to withdraw  
20 your guilty plea on behalf of the company? Do you  
21 understand that, sir?

22          THE DEFENDANT: Yes, Your Honor.

23          THE COURT: But you understand that I have  
24 agreed to impose the sentence in this case, and had I  
25 not agreed to impose the sentence, then you would have

1       been entitled to withdraw your guilty plea and enter  
2       into a not guilty plea? Do you understand that, sir?

3               THE DEFENDANT: Yes, Your Honor.

4               THE COURT: Just to make sure that the record is  
5       clear, all of your answers are made on behalf of the  
6       company. So when I ask you whether or not you  
7       understand it, you are speaking on behalf of the  
8       company. Do you understand that, sir?

9               THE DEFENDANT: Yes, Your Honor.

10              THE COURT: Now the offense to which Compania is  
11       pleading guilty is a felony offense. If I accept your  
12       guilty plea, you're going to be adjudged guilty of  
13       that offense, and that adjudication may end up  
14       depriving Compania of valuable civil rights in this  
15       case, such as the right to obtain or keep certain  
16       benefits or licenses.

17              You understand that Compania may end up losing  
18       certain rights in the event that I accept your guilty  
19       plea?

20              THE DEFENDANT: Yes, I understand, Your Honor.

21              THE COURT: Of course, those rights, and the  
22       consequences of the guilty plea are outlined in  
23       specific detail in the plea agreement.

24              Let me ask counsel for the government, could you  
25       outline for the Court and for Compania the maximum

1 possible penalties for the offense to which he is  
2 pleading guilty?

3 MR. JACOBS: Yes, Your Honor. The maximum  
4 penalty has several components, first the fine.

5 The maximum fine is in an amount equaled to the  
6 greatest of \$100 million, or twice the gain the  
7 conspirators derived from the crime, or twice the loss  
8 caused to the victims by the conspirators.

9 There is a mandatory special assessment of \$400  
10 per count.

11 The Court may impose restitution to the victims,  
12 and the Court may also impose probation for up to five  
13 years.

14 THE COURT: Okay. Thank you.

15 Mr. Bauer, do you understand the maximum  
16 possible penalties for the offense to which Compania  
17 is pleading guilty?

18 THE DEFENDANT: Yes, Your Honor.

19 THE COURT: Of course, you understand that the  
20 Court may end up ordering that the company provide  
21 notice of the conviction to certain third parties,  
22 including victims, if the guilty plea is accepted?

23 THE DEFENDANT: Yes, Your Honor.

24 THE COURT: Now, do you understand all the  
25 possible consequences of a guilty plea?

1 THE DEFENDANT: Yes, I do, Your Honor.

2 THE COURT: Now your sentence or the sentence is  
3 determined by the Court after consulting with the  
4 United States Sentencing Guidelines, which are  
5 advisory, and after considering possible departures  
6 from those guidelines, as permitted by the Federal  
7 Sentencing Law, and after considering other sentencing  
8 factors, as set out in Title 18, United States Code,  
9 3553(a).

10 Have you and your attorney talked about the  
11 sentencing guidelines, and how they may apply in this  
12 case?

13 THE DEFENDANT: Yes, Your Honor.

14 THE COURT: You understand that I won't, well, I  
15 won't be able to make a final determination as to the  
16 guideline range until a presentence report has been  
17 completed?

18 Now we understand, and I understand in this  
19 case, that in lieu of a formal presentence report, the  
20 parties submitted a Joint Memoranda outlining the  
21 facts and circumstances of this case -- including the  
22 facts and circumstances of this case, and a proposed  
23 guideline stipulation in this matter.

24 Have you had the opportunity to review that  
25 Joint Memorandum prior to today in this proceeding?

1 THE DEFENDANT: Yes, Your Honor.

2 THE COURT: I take it you, on behalf of the  
3 company, agree to the proposed guideline range as  
4 outlined in that memoranda?

5 THE DEFENDANT: Yes, Your Honor.

6 THE COURT: I'll now call upon the Assistant  
7 United -- I'm sorry. I'll now call upon counsel for  
8 the government to articulate for me, and summarize for  
9 me the guideline range and stipulation in this case.

10 MR. JACOBS: Yes, Your Honor.

11 The guidelines base fine, as determined under  
12 2R1.1, is \$12,731,614. The culpability score is five.  
13 The fine range is, the minimum is 12,731,614, and the  
14 top of the range is \$25,463,228.

15 We are recommending a cooperation discount of 30  
16 percent from the bottom of the range because of  
17 defendant's early cooperation and assistance it has  
18 provided us in our ongoing investigation, and that  
19 results in a final fine of \$8.9 million.

20 THE COURT: Okay. Thank you.

21 Is that your understanding of the guideline  
22 range in this case?

23 THE DEFENDANT: Yes, Your Honor.

24 THE COURT: You understand that under some  
25 circumstances, you would have the right to appeal the



1 conviction in the case, and you and the government may  
2 end up being entitled to appeal any sentence that I  
3 impose?

4 But you also understand on behalf of Compania  
5 that if you enter into this plea agreement, and if  
6 your guilty plea is accepted by me, you will have  
7 waived or given up your right to appeal your  
8 conviction? Do you understand that, sir?

9 THE DEFENDANT: Yes, Your Honor.

10 THE COURT: Are there any additional appellate  
11 rights that the government believes that are waived  
12 that should be put on the record in this case?

13 MR. JACOBS: Not that are already included in  
14 the plea agreement.

15 THE COURT: Very good.

16 Now you understand on behalf of Compania that  
17 you are not required to plead guilty, that Compania  
18 has the right to plead not guilty to any offense  
19 against it, and to persist in that not guilty plea?

20 THE DEFENDANT: Yes, Your Honor.

21 THE COURT: You also understand that if Compania  
22 pled not guilty, it then would have the right to a  
23 trial by jury, in which your attorneys, as well as the  
24 government's attorneys, would assist me in selecting  
25 12 people to come in here from the community to sit

1 and serve as the jury for Compania? Do you understand  
2 that?

3 THE DEFENDANT: Yes, Your Honor.

4 THE COURT: Do you also understand that at  
5 trial, Compania would be presumed innocent, and that  
6 the government would be required to prove Compania's  
7 guilt beyond a reasonable doubt, to the unanimous  
8 satisfaction of a jury, before Compania could be  
9 convicted in this case? Do you understand that?

10 THE DEFENDANT: Yes, Your Honor.

11 THE COURT: Do you also understand that at  
12 trial, and at every other critical stage of the  
13 proceedings, Compania is entitled to the assistance of  
14 competent counsel to assist you, advise you, represent  
15 you, and to advocate for you?

16 You understand that in the event that for some  
17 reason Compania could not otherwise afford counsel,  
18 there may be circumstances in which counsel could be  
19 appointed for Compania? Do you understand that?

20 THE DEFENDANT: Yes, Your Honor.

21 THE COURT: Now you also understand that during  
22 the trial you would have the right to see and hear all  
23 of the evidence and witnesses testifying against you,  
24 and you would have the right to challenge that  
25 evidence and cross-examine those witnesses testifying

1       against Compania? Do you understand that, sir?

2               THE DEFENDANT: Yes, Your Honor.

3               THE COURT: You also understand that Compania  
4       would have the right to present the testimony of its  
5       own witnesses, and if those witnesses wouldn't come to  
6       court voluntarily, your lawyers could subpoena those  
7       witnesses? And if they wouldn't come to court  
8       pursuant to a subpoena, your attorneys could request  
9       that I instruct law enforcement officers, if  
10      necessary, to go out into the community and bring them  
11      here in handcuffs, if necessary, to testify on  
12      Compania's behalf? Do you understand, sir?

13              THE DEFENDANT: Yes, Your Honor.

14              THE COURT: You also understand that you, as a  
15      representative of Compania or a corporate designee of  
16      Compania, would have the right to testify during the  
17      course of the trial; but if Compania, for whatever  
18      reason, decided that they did not want to testify  
19      during the course of the proceedings, the fact that  
20      Compania did not testify could not be held against the  
21      company in any way whatsoever? It could not be  
22      considered by the jury in determining Compania's guilt  
23      or innocence. Do you understand that, sir?

24              THE DEFENDANT: Yes, Your Honor.

25              THE COURT: In fact, Compania, you understand

1       that Compania is under no obligation to present any  
2       defense whatsoever, because ultimately it's the  
3       government's burden of proof to prove Compania guilty  
4       beyond a reasonable doubt, to a unanimous satisfaction  
5       of a jury? Do you understand that?

6               THE DEFENDANT: Yes, Your Honor.

7               THE COURT: Now you understand that if Compania  
8       was convicted at trial, it could appeal that  
9       conviction to a higher court?

10              But you also understand that after a guilty plea  
11       is entered, and if it's accepted by this Court, there  
12       will be no trial, and Compania will have waived or  
13       given up its right to a trial, as well as the other  
14       rights associated with the trial, as I have described  
15       them? Do you understand?

16              THE DEFENDANT: Yes, Your Honor.

17              THE COURT: I will now call upon the government  
18       to articulate for me the essential elements of the  
19       offense to which you are pleading guilty.

20              MR. JACOBS: Your Honor, there are three  
21       elements to the offense.

22              First, that the charged conspiracy existed at or  
23       about the time alleged; second, the defendant  
24       knowingly joined the charged conspiracy; and third,  
25       the charged conspiracy either substantially affected

1 interstate or foreign commerce, or occurred within the  
2 flow of interstate or foreign commerce.

3 THE COURT: Thank you.

4 You understand, Mr. Bauer, on behalf of Compania  
5 that the government would have to prove each and every  
6 one of those elements beyond a reasonable doubt, to  
7 the unanimous satisfaction of a jury before Compania  
8 could be convicted in this case?

9 THE DEFENDANT: Yes, Your Honor.

10 THE COURT: Now before I can accept your guilty  
11 plea, I have got to be satisfied that there is a  
12 factual basis for it. I would like to turn your  
13 attention to paragraph 4 of Government's Exhibit  
14 Number 1, specifically located on pages three and  
15 four.

16 Let me know when you are there.

17 THE DEFENDANT: I'm there.

18 THE COURT: Paragraph 4, specifically  
19 subsections (a), (b), (c) and (d), outline the factual  
20 basis for the offense charged.

21 Have you and your attorneys reviewed and read  
22 each and every word of that factual basis, as  
23 contained in Government's Exhibit Number 1?

24 THE DEFENDANT: Yes, Your Honor.

25 THE COURT: Do you agree that Compania did in

1 fact do the things as outlined in Government's Exhibit  
2 Number 1?

3 THE DEFENDANT: Yes I do, Your Honor.

4 THE COURT: I will now call upon the government  
5 to summarize for me the factual basis for the offense  
6 charged.

7 MR. JACOBS: Yes, Your Honor.

8 From at least as early as January 2000 and  
9 continuing until September 2012, the defendant  
10 participated in a conspiracy among ocean carriers of  
11 roll-on, roll-off cargo, the primary purpose of which  
12 was to suppress and eliminate competition by  
13 allocating customers and routes, rigging bids, and  
14 fixing prices for international ocean shipping  
15 services for roll-on, roll-off cargo, such as cars and  
16 trucks, to and from the United States and elsewhere,  
17 in violation of the Sherman Antitrust Act, 15 U.S.C.,  
18 Section 1.

19 In furtherance of the conspiracy, the defendant,  
20 through certain employees, engaged in discussions and  
21 attended meetings with representatives of other ocean  
22 carriers of roll-on, roll-off cargo. During these  
23 discussions and meeting, agreements were reached to  
24 allocate customers and routes, rig certain bids, and  
25 to fix, stabilize and maintain the prices for certain

1 international ocean shipping services for roll-on,  
2 roll-off cargo to and from the United States and  
3 elsewhere. After affected customers included certain  
4 U.S.-based manufacturers of cars and trucks.

5 During the relevant period, roll-on, roll-off  
6 cargo shipped by one or more of the conspirator firms,  
7 as well as payments for international ocean shipping  
8 services of such cargo, traveled in interstate and  
9 foreign commerce. The business activities of the  
10 defendant and its co-conspirators in connection with  
11 the international ocean shipping services for roll-on,  
12 roll-off cargo to and from the United States were  
13 within the flow of, and substantially affected,  
14 interstate and foreign trade and commerce.

15 Acts in furtherance of this conspiracy were  
16 carried out within the District of Maryland, Baltimore  
17 Division. The Port of Baltimore is one of the largest  
18 ports in the United States for the import and export  
19 of new automobiles. During the relevant period, the  
20 defendant or its co-conspirators exported roll-on,  
21 roll-off cargo affected by the conspiracy from the  
22 Port of Baltimore.

23 Finally, during the relevant period the  
24 defendant had more than 50 employees, and its sales  
25 for international ocean shipping services for new cars

1 and trucks exported from the United States that were  
2 affected by the conspiracy were \$63,658,074.

3 THE COURT: Thank you.

4 Do you agree, Mr. Bauer, that had the case gone  
5 to trial, the government could prove those facts  
6 beyond a reasonable doubt, to the unanimous  
7 satisfaction of a jury?

8 THE DEFENDANT: Yes, Your Honor.

9 THE COURT: Counsel, is it necessary at this  
10 point to close and seal the next portion of the  
11 proceedings? If you would like, you can come up. Why  
12 don't you come on up.

13 Mr. Bauer, there's a headset there that you can  
14 listen to if you would like.

15 THE CLERK: It looks like this.

16 THE COURT: Right in front of you.

17 (Counsel approached the bench for a sealed bench  
18 conference.)

19 (Counsel returned to the trial tables and the  
20 sealed portion concluded.)

21 THE COURT: Now understand, Mr. Bauer, that the  
22 Court has already reviewed the Joint Sentencing  
23 Memoranda that was submitted by the parties in this  
24 case and that was attached to, a part of, and included  
25 and incorporated into the presentence report. So I



1 have already agreed to bind myself to the sentence in  
2 this case.

3 Let me ask counsel for the government, do you  
4 believe that Compania has been properly advised?

5 MR. JACOBS: Yes, I do, Your Honor.

6 THE COURT: Okay. Let me ask counsel, Mr.  
7 Cherry, whether or not you believe your client has  
8 been properly advised?

9 MR. CHERRY: Yes, Your Honor, I do.

10 THE COURT: Finally, Mr. Bauer, I'm going to ask  
11 you on behalf of Compania, do you have any questions  
12 regarding the very important constitutional rights  
13 that Compania is giving up by entering into this  
14 guilty plea?

15 THE DEFENDANT: No, Your Honor.

16 THE COURT: Very good. How does Compania plead  
17 to Count 1 of the criminal information currently  
18 pending against it?

19 THE DEFENDANT: Guilty, Your Honor.

20 THE COURT: It's the finding of this Court in  
21 United States of America versus Compania Sud Americana  
22 de Vapores that the defendant is fully competent and  
23 capable of entering an informed plea, that the  
24 defendant is aware of the nature of the charges and  
25 the consequences of the guilty plea, and that the

1 guilty plea is both knowing and voluntary, and  
2 supported by an independent basis in fact, containing  
3 each of the essential elements of the offense. The  
4 plea is, therefore, accepted in this case, and  
5 Compania is now adjudged guilty of that offense in  
6 this case.

7 We will now proceed to sentencing in this matter  
8 pursuant to the request of the parties, unless there  
9 is anything else that counsel needs to address as far  
10 as the agreement is concerned. Okay?

11 Let the record reflect there is no response.

12 All right. We will proceed directly into  
13 sentencing.

14 Let me ask you, Mr. Bauer, have you, on behalf  
15 of the Compania company, reviewed the Joint Sentencing  
16 Memoranda that was submitted in this case?

17 THE DEFENDANT: Yes, Your Honor.

18 THE COURT: You read each and every word of it;  
19 is that correct?

20 THE DEFENDANT: Yes, Your Honor.

21 THE COURT: You do agree on behalf of Compania  
22 Corporation that you agree with the joint  
23 recommendation, the sentencing guideline range and  
24 calculation, as well as all the other additional  
25 information included therein?

1           THE DEFENDANT:   Yes Your Honor.

2           THE COURT:   There are no factual disputes that  
3           need to be resolved.   There are no legal disputes that  
4           need to be resolved.

5           The parties, it's my understanding that the base  
6           offense level in this case is five, pursuant to United  
7           States Sentencing Guideline 8C2.5(a).

8           Because of a specific offense characteristic,  
9           namely, the size of the corporation, pursuant to  
10          8C2.5(b)(4), two additional levels are added.

11          Because of the corporation's timely and thorough  
12          cooperation in this matter, pursuant to 8C2.5(g)(2),  
13          two offense levels are reduced, bringing it to an  
14          offense level of five.

15          There is no dispute that this company does not  
16          have any criminal history, so the Criminal History  
17          Category would be a I in this matter.

18          Pursuant to a discounted rate -- well, that  
19          would put our range at 12 million, a fine range of  
20          \$12,731,614 to \$25,228,463.

21          The parties are seeking an additional 30 percent  
22          discount from that range, which would be the  
23          equivalent of how many offense levels?   And would it  
24          be, also the cooperation be pursuant to 5K1.1?

25          MR. JACOBS:   It would, Your Honor.

1 THE COURT: Okay.

2 MR. JACOBS: I'm not sure how many levels that  
3 would equate to.

4 THE COURT: Okay. For the sake of having  
5 everyone get together as far as research is concerned,  
6 what we can do is, the parties agree and stipulate  
7 that although the guideline range is above the -- is  
8 below the 12.7 million, that all sides agree to the 30  
9 percent discount, which would put, at least by way of  
10 variance, in which the Court could find a variance  
11 and/or a departure equivalent to a range of 8.9  
12 million.

13 Is that everyone's understanding?

14 MR. JACOBS: Yes, Your Honor.

15 MR. CHERRY: Yes, Your Honor.

16 THE COURT: Okay.

17 Now this next portion of the proceedings is  
18 going to be a sealed proceeding. As a result, I will  
19 close the courtroom. So if there is anyone that is  
20 not affiliated with this individual case, I will ask  
21 that you step out from the courtroom now, and I will  
22 place this portion of the proceeding under seal, and  
23 it will remain sealed until I order otherwise.

24 Counsel, if you could turn around, and if you  
25 see anyone who should not be here or is not affiliated

1 with the case, then they should excuse themselves.

2 I promise as soon as we finish with this  
3 proceeding, I am going to ask our fine probation officer,  
4 Ms. Swillo, to go out and bring people back in.

5 (The sealed proceedings ensued.)

6 (The sealed proceedings concluded.)

7 THE COURT: All right. In handling this  
8 sentencing, I am now going to call on the government  
9 to make any statements that they would like with  
10 regard to the sentence in this case.

11 MR. JACOBS: Other than the recommended  
12 sentence, which is in the plea agreement, the United  
13 States has nothing further to add.

14 THE COURT: Let me ask you this, can you give me  
15 a little bit of history about this company? Because  
16 one of the factors that I have to consider, the  
17 company has no record of any wrongdoing previously.

18 Could you give me, and maybe I could ask Mr.  
19 Cherry to discuss this a little bit further, but to  
20 give me an idea potentially about this company, and  
21 the seriousness of this offense.

22 MR. JACOBS: Yes. Well, with respect to the  
23 seriousness of the offense, Your Honor, as you can  
24 tell from the relevant time period that the defendant  
25 is charged with participating in the conspiracy, and

1 the volume of commerce involved, and the nature of the  
2 conspiracy and the cargo it affects, we consider it to  
3 be a very serious conspiracy and a very serious crime.  
4 But we think the recommended sentence reflects the  
5 seriousness of the offense.

6 With respect to the company, the United States  
7 is not aware of any other offenses that the company  
8 has committed, certainly no other antitrust offenses.

9 With respect to further background or history of  
10 the company, I would call on Mr. Cherry or Mr. Bauer  
11 to provide those details.

12 THE COURT: Okay. All right. Thank you.

13 Mr. Cherry, Mr. Bauer.

14 MR. CHERRY: Yes. The company is obviously a  
15 Chilean company. Most of its operations are in Latin  
16 America. This aspect of its business is actually a  
17 relatively very small part of its business. It's a  
18 very small player in this industry.

19 This is the first offense that it has been  
20 subject to, and I believe it has reacted very promptly  
21 and effectively to make sure that nothing like this  
22 ever happens again. It put in place very effective  
23 compliance procedures and training, and has taken it  
24 very seriously, Your Honor.

25 THE COURT: Thank you. I will hear from Mr.

1 Bauer if you would like to speak on behalf of  
2 Compania. You don't have to say anything, but I will  
3 certainly hear from you before I impose a sentence in  
4 the case.

5 THE DEFENDANT: Yes, Your Honor.

6 THE COURT: Stand up when you address the Court.

7 THE DEFENDANT: On behalf of CSAV, I would like  
8 to apologize and take full responsibility for our  
9 conduct, which we deeply regret. CSAV takes its legal  
10 obligations very seriously, and we are strongly  
11 committed to taking all steps necessary to rectify the  
12 situation. That commitment includes our continued and  
13 complete cooperation with the government's ongoing  
14 investigation.

15 THE COURT: Thank you very much.

16 Applying Section 3553(a) factors in this case,  
17 the defendant, Compania, presents as a corporation,  
18 Chilean corporation, who has no criminal history or  
19 there has been no evidence presented to this Court of  
20 any malfeasance or improper conduct that has occurred  
21 certainly within the United States.

22 Certainly the nature and circumstances of the  
23 offense, namely, the suppression or the attempt to  
24 eliminate competition for the sale of international  
25 ocean shipping services for roll-on, roll-off cargo is

1 a serious offense, and it undermines the fair and open  
2 and honest competition that international businesses  
3 and, quite frankly, national businesses need to engage  
4 in.

5 I believe that a sentence of a fine of the \$8.9  
6 million will serve as an adequate deterrent to  
7 Compania from engaging in this kind of behavior in the  
8 future, and will also deter other companies like  
9 Compania from engaging in this type of behavior.

10 As far as the other factors are concerned, I do  
11 not find them particularly applicable.

12 The sentencing guideline in this case, as I  
13 indicated earlier regarding this, is approximately the  
14 \$12 million to \$25 million.

15 Based upon the defendant's substantial and  
16 prompt and ongoing cooperation, as outlined in the  
17 Joint Sentencing Memoranda, as well in open court here  
18 today, I believe that a sentence, the recommended  
19 sentence of \$8.9 million, with four installments,  
20 starting 15 days from the date of this judgment, is  
21 appropriate in this case.

22 The first three installments will be \$2.25  
23 million for the first three years, and then \$2.15  
24 million in year four. I believe that based upon the  
25 company's financial circumstance, that this fine will



1 run without interest being raised.

2 Further, although restitution is not being  
3 ordered directly, based upon the representations of  
4 the parties, there are numerous civil cases related to  
5 the same conduct, and that the disposition of those  
6 civil cases is being handled appropriately, without  
7 the necessity for a specific order of restitution.

8 There will be a special assessment in the amount  
9 of \$400.

10 Forfeiture in this case, there is no issue of  
11 forfeiture; is that correct?

12 MR. JACOBS: No, there is not, Your Honor.

13 THE COURT: This Court finds that the sentence  
14 doesn't fall within the guideline range in this case;  
15 but nonetheless, it is appropriate in light of the  
16 findings under 3553(a), its factors and its purposes.

17 As a result, I indicated earlier that a downward  
18 departure pursuant to 5K1.1 is appropriate to bring it  
19 within a range where the 8.9 million is there.

20 However, since we cannot pinpoint the exact  
21 level of departure that would be necessary to bring it  
22 into 8.9 million, the Court, pursuant to the agreement  
23 of the parties, is going to vary the fine to the \$8.9  
24 million in this case.

25 There are no counts to dismiss; is that correct?

1 MR. JACOBS: That's right, Your Honor.

2 THE COURT: All right.

3 Mr. Bauer, you understand that you've got the  
4 right to appeal your guilty plea if somehow you  
5 believe it was unlawful or involuntary, or there is  
6 some other fundamental defect in this proceeding that  
7 wasn't waived by your guilty plea?

8 You also can appeal your sentence if you believe  
9 that it was unlawful in this case, and, of course, you  
10 end up retaining any appellate rights that you had  
11 under the plea agreement. You would have 14 days to  
12 file a notice of appeal in this case.

13 It is not necessarily applicable, but the  
14 defendant, Compania, will continue on the same  
15 conditions it was under prearrestment.

16 I am going to create a Judgment and Commitment  
17 Order and a Statement of Reasons, which will be  
18 completed very quickly in this case, and for the  
19 purposes of the file.

20 Let me ask counsel, is there anything else that  
21 we need to address?

22 MR. JACOBS: I don't think there is, Your Honor.

23 MR. CHERRY: I agree, Your Honor.

24 THE COURT: Okay. Thank you very much.

25 (The proceedings concluded.)

REPORTER'S CERTIFICATE

I hereby certify that the foregoing transcript in the matter of United States of America vs. Compania Sud Americana de Vapores S.A., Defendant, Criminal Action No. GLRB-14-0100, before the Honorable George Levi Russell, III, United States District Judge, on May 1, 2014 is true and accurate.

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Gail A. Simpkins

Official Court Reporter

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# **Exhibit 8**

1                   IN THE UNITED STATES DISTRICT COURT  
2                   FOR THE DISTRICT OF MARYLAND/NORTHERN DIVISION  
3

4           UNITED STATES OF AMERICA

5                                           CRIMINAL NO.

6           v.

GLR 14-0449

7           KAWASAKI KISEN KAISHA,  
8           LTD.

9                                           Defendant

November 5, 2014

10                                           \_\_\_\_\_/

11                                           TRANSCRIPT OF PROCEEDINGS

12                                           BEFORE THE HONORABLE GEORGE LEVY RUSSELL, III

13                                           UNITED STATES DISTRICT JUDGE

14           APPEARANCES:

15           On behalf of the United States:

16           Carsten M. Reichel, AUSA

17           Emma Burnham, AUSA

18

19           On behalf of the defendant:

20           Jeremy Calsyn, Esquire

21

22

23           Reported By:

24           Jacqueline Sovich, RPR, CM, CRR

25           Official Court Reporter

1 (PROCEEDINGS)

2 THE COURT: Good morning. Counsel, do you want to  
3 call the case for me, please?

4 MR. REICHEL: I have here today United States of  
5 America versus Kawasaki Kisen Kaisha, Limited, case number  
6 14-0449.

7 THE COURT: Who's seated with you at the trial table?

8 MR. REICHEL: I'm Carsten Reichel for the United  
9 States.

10 MS. BURNHAM: I'm Emma Burnham for the United States.

11 MR. WEILAND: Jeff Weiland on behalf of the FBI.

12 THE COURT: Thank you.

13 MR. CALSYN: Good morning, Your Honor. Jeremy Calsyn  
14 from the law firm of Cleary, Gottlieb, Steen and Hamilton for  
15 the defendant Kawasaki Keisen.

16 With me at the desk, table is Mr. Makoto Arai,  
17 Executive Officer and Corporate Representative for the company  
18 and interpreter Mika Vaules.

19 THE COURT: Okay. Thank you. Good morning to  
20 everyone. We're going to go ahead and have the interpreter  
21 sworn in.

22 THE CLERK: Madam interpreter, if you'll raise your  
23 right hand.

24 (Oath administered.)

25 THE CLERK: Please state your name for the record.

1 THE INTERPRETER: Mika Vaules.

2 THE CLERK: Thank you.

3 THE COURT: All right. And it's my understanding  
4 based upon joint correspondence with counsel that the  
5 interpreter is appropriately certified and qualified to  
6 interpret these proceedings; is that correct?

7 MR. CALSYN: Yes, Your Honor.

8 MR. REICHEL: Yes, Your Honor.

9 THE COURT: Okay. We're here for the purposes of an  
10 initial arraignment and arraignment on an information of  
11 one-count criminal information that is pending. I will note  
12 that I have a waiver of indictment. Let me ask Mr. Arai; is  
13 that correct?

14 MR. CALSYN: Yes, sir.

15 THE COURT: All right. Mr. Arai, it's my  
16 understanding that you are the corporate representative for  
17 Kawasaki in this case; is that correct?

18 THE DEFENDANT: Yes, Your Honor.

19 THE COURT: All right. Very well. I'm going to have  
20 Mr. Arai sworn, if we could.

21 THE CLERK: Mr. Arai, if you'll raise your right  
22 hand.

23 (Oath administered.)

24 THE CLERK: State your name for the record.

25 THE DEFENDANT: Makoto Arai.

1 THE CLERK: Thank you.

2 THE COURT: All right. Now, I have here before me a  
3 waiver of indictment. Mr. Arai, have you had the opportunity  
4 to review the waiver of indictment in this case?

5 THE DEFENDANT: Yes, Your Honor.

6 THE COURT: And you have signed that waiver of  
7 indictment in your capacity as executive officer of Kawasaki;  
8 is that correct?

9 THE DEFENDANT: Yes, Your Honor.

10 THE COURT: And you've agreed to proceed by way of  
11 information instead of by indictment; is that correct?

12 THE DEFENDANT: Yes, Your Honor.

13 THE COURT: And I also have here -- and I will go  
14 ahead and sign that waiver of indictment. We also have here an  
15 acknowledgment of information as well that was signed by you;  
16 is that correct, Mr. Arai?

17 THE DEFENDANT: Yes, Your Honor.

18 THE COURT: All right. And you acknowledge that you  
19 have received the one-count information and received notice of  
20 the charges against you as well as the maximum penalties in  
21 this case; is that correct?

22 THE DEFENDANT: Yes, Your Honor.

23 THE COURT: All right. Very well. I will go ahead  
24 and have him formally arraigned on the charge.

25 THE CLERK: Mr. Arai, you've been charged in a

1     one-count information. How do you wish to plead?

2             THE DEFENDANT: Yes, Your Honor. Guilty. Guilty,  
3     Your Honor.

4             THE CLERK: Thank you.

5             THE COURT: And you're speaking obviously on behalf  
6     of the corporation Kawasaki, as executive of Kawasaki, and that  
7     you are pleading guilty to the one-count information currently  
8     pending against the company; is that correct?

9             THE DEFENDANT: Yes, Your Honor.

10            THE COURT: All right. If you could, you certainly  
11     can go ahead and have a seat, sir. And I need if you could to  
12     bend the microphone in front of you close to you.

13            Now, you do you understand, Mr. Arai, as executive  
14     officer of the Kawasaki Company, that before I can accept your  
15     guilty plea, I've got to ask you a number of questions and  
16     consider the answers to those questions, because I need to make  
17     a determination that you're entering into this plea on behalf  
18     of Kawasaki in a both and knowing and voluntary manner.

19            Do you understand, sir?

20            THE DEFENDANT: Yes, Your Honor.

21            THE COURT: Okay. And do you understand that you're  
22     now under oath testifying in your capacity as executive officer  
23     of Kawasaki, and that if you answer any of my questions  
24     falsely, your answers may be later used against you in another  
25     prosecution for perjury or for making a false statement?

1 THE DEFENDANT: Yes, Your Honor.

2 THE COURT: It's my understanding that there is a  
3 plea agreement in this case. It will be marked and received by  
4 this Court as government's exhibit number 1.

5 I'd like to turn your attention, Mr. Arai, to the  
6 signature page of the plea agreement located at page 17.

7 THE DEFENDANT: Yes, Your Honor.

8 THE COURT: In the middle of the page is a typed  
9 name, Makoto Arai, Executive Officer of Kawasaki Limited  
10 Corporation. And above that name appears to be a signature.

11 Is that your signature, sir?

12 THE DEFENDANT: Yes, Your Honor.

13 THE COURT: And you're signing that signature in your  
14 capacity as Executive Officer of Kawasaki; is that correct?

15 THE DEFENDANT: Yes, Your Honor.

16 THE COURT: Have you had the opportunity to read or  
17 had actually have interpreted for you what has been marked as  
18 government's exhibit number 1?

19 THE DEFENDANT: Yes, Your Honor.

20 THE COURT: Have you had opportunity subsequent to  
21 reading it to speak with your attorney about that document?

22 THE DEFENDANT: Yes, Your Honor.

23 THE COURT: Do you have any questions at all about  
24 that document?

25 THE DEFENDANT: No, Your Honor.



1           THE COURT: And of course, you read, reviewed it, and  
2   discussed it with your attorney or had it interpreted and  
3   reviewed it with your attorney prior to signing it; is that  
4   correct?

5           THE DEFENDANT: Yes, Your Honor.

6           THE COURT: I will note that on page 3 of  
7   government's exhibit number 1 including page 4 presents the  
8   factual basis for the offense charged.

9           Again, I will ask you, do you agree that in fact  
10   Kawasaki Corporation did the things as outlined in paragraph 4  
11   of government's exhibit number 1?

12          THE DEFENDANT: Yes, Your Honor.

13          THE COURT: Under the terms of the plea agreement,  
14   the parties seek to have this Court bind itself pursuant to  
15   Criminal Rule 11(c)(1)(C). The parties have sought to have  
16   this Court bind itself to a recommended sentence of \$67.7  
17   million as a fine to Kawasaki as a result of its alleged  
18   criminal conduct.

19          Is that your understanding of the terms of the plea  
20   agreement?

21          THE DEFENDANT: Yes, Your Honor.

22          THE COURT: I have had opportunity to review the  
23   joint sentencing memoranda that was submitted in this case as a  
24   substitute by agreement for a presentence report that was  
25   generated. Having reviewed that document, the Court will go

1 ahead and agree to bind itself to the agreed-upon fine as  
2 indicated within the sentencing memoranda.

3 Let me ask you, Mr. Arai, has anyone made any  
4 promises or assurances to you that are not in the plea  
5 agreement or any sealed supplement to persuade you to accept  
6 this agreement?

7 THE DEFENDANT: Yes, Your Honor.

8 (Defendant conferring with counsel.)

9 THE DEFENDANT: No, Your Honor.

10 THE COURT: Okay. Mr. Arai, by the way, in the event  
11 that you do not understand a question that I ask, or you need  
12 to speak with your attorney, please don't hesitate to let me  
13 know, and I'll be more than happy to clarify my question and of  
14 course speak to your attorney.

15 And also, by the way, in the event that did you need  
16 some additional privacy with regard to any conversation with  
17 your attorney, I will put this noise button on to give you and  
18 your attorney some additional privacy with regard to any  
19 conversation that you want to have, okay?

20 THE DEFENDANT: Okay. Yes, Your Honor.

21 THE COURT: Has anyone made any threats or used force  
22 or violence against you or someone close to you in order to  
23 persuade you to accept this agreement?

24 THE DEFENDANT: No, Your Honor.

25 THE COURT: Okay. I have already indicated that I'm

1 going to bind myself to the terms of the agreement. So as a  
2 result, although I'm not technically a party to the agreement,  
3 I've nevertheless agreed to bind myself.

4 Do you understand?

5 THE DEFENDANT: Yes, Your Honor.

6 THE COURT: Do you understand that the offense to  
7 which Kawasaki is pleading guilty is a felony offense, and it  
8 may deprive Kawasaki of valuable rights in this case?

9 Do you understand pursuant to the plea agreement that  
10 Kawasaki may lose certain rights that it has by pleading  
11 guilty?

12 THE DEFENDANT: Yes, Your Honor.

13 THE COURT: Let me ask the government whether or not  
14 the government seeks to provide the Court with any additional  
15 clarification with regarding the very important rights that  
16 Kawasaki may be giving up as a result of pleading guilty?

17 I'm going to go through the colloquy of course  
18 regarding the ability to try and have a trial, but certainly  
19 any additional rights.

20 MR. REICHEL: No, Your Honor. I think the colloquy  
21 will suffice. I would only note they also waive appeal here,  
22 so that would be the last one.

23 THE COURT: Do you understand that you've waived the  
24 right to appeal, I'll get to that a little bit later on in this  
25 colloquy.

1 Do you understand, sir?

2 THE DEFENDANT: Yes, Your Honor.

3 THE COURT: Let me ask counsel, what is the maximum  
4 possible penalty for this particular offense?

5 MR. REICHEL: Your Honor, maximum penalty for  
6 violation of 15 UCS (1), Sherman Act for a corporation is a  
7 fine in the amount equal to the greatest of \$100 million, or  
8 twice the gain the conspirators derived from the crime, or  
9 twice the loss caused to the victims by the conspirators.

10 Also, the penalty includes a special assessment  
11 mandatory of \$400 per count. The Court may also impose  
12 restitution to the victims and a period of probation up to five  
13 years.

14 THE COURT: And of course there's no minimum  
15 mandatory fine?

16 MR. REICHEL: No, Your Honor.

17 THE COURT: Okay. Do you also understand that the  
18 Court may order that you provide notice of your conviction, the  
19 conviction to certain third parties including victims if the  
20 guilty plea is accepted?

21 THE DEFENDANT: Yes, Your Honor.

22 THE COURT: Okay. Now, do you understand all the  
23 possible consequences of the guilty plea?

24 THE DEFENDANT: Yes, Your Honor.

25 THE COURT: Now, your sentence or sentence of

1     Kawasaki is determined by the Court after consulting with the  
2     United States Sentencing Guidelines, which are advisory, and  
3     after considering possible departures from those guidelines as  
4     permitted by the federal sentencing laws and after considering  
5     other sentencing factors that are set out in Title 18 United  
6     States Code, Section 3553(a).

7             Have you and your attorney talked about the  
8     sentencing guidelines and how they may apply in Kawasaki's  
9     case?

10            THE DEFENDANT: Yes, Your Honor.

11            THE COURT: Okay. Since I've bound myself to the  
12     particular sentence and the parties have waived a presentence  
13     report, you have effectively waived any challenge to the  
14     computation or the reported facts or proposed application of  
15     the guidelines; is that correct, sir?

16            THE DEFENDANT: Yes, Your Honor.

17            THE COURT: Okay. Now, do you understand that in  
18     addition to considering the sentencing guidelines, any  
19     departures from those guidelines, that under 18 United States  
20     Code, Section 3553(a), the Court will apply additional factors  
21     set out therein and may end up imposing a sentence that is  
22     either greater or lesser than that specified by the sentencing  
23     guidelines and any departures thereunder.

24            Do you understand also that I've already agreed to  
25     bind myself to the particular sentence that will be imposed?

1 Do you understand, sir?

2 THE DEFENDANT: Yes, Your Honor.

3 THE COURT: Okay. I'd like to turn your attention to  
4 paragraph 2 located on -- paragraphs 2 and 3 located on pages 2  
5 and 3 of government's exhibit number 1, which is the plea  
6 agreement in the case. This particular provision sets out the  
7 agreement to plead guilty and waive certain rights.

8 Have you and your attorney talked about the very  
9 important rights that Kawasaki is waiving as a result of  
10 pleading guilty here today?

11 THE DEFENDANT: Yes, Your Honor.

12 THE COURT: Do you have any questions about them?

13 THE DEFENDANT: No, Your Honor.

14 THE COURT: Okay. Do you understand that Kawasaki is  
15 not required to plead guilty in this case. Do you understand  
16 that the corporation has the right to plead not guilty to any  
17 offense charged against it and to persist in that not guilty  
18 plea?

19 THE DEFENDANT: Yes, Your Honor.

20 THE COURT: Do you also understand in your capacity  
21 as executive officer of Kawasaki, that if Kawasaki persisted in  
22 a not guilty plea, it would then have the right to a trial by  
23 jury. Kawasaki understands that its lawyer, as well as the  
24 government's lawyers, would assist me in selecting 12 members  
25 of the community who would be brought into this courtroom and

1     who would sit in the jury box and serve as your jury.

2             Do you understand, sir?

3             THE DEFENDANT: Yes, Your Honor.

4             THE COURT: Do you also understand that at trial,  
5     Kawasaki would be presumed innocent and that the government  
6     would be required to prove its guilt beyond a reasonable doubt  
7     to the unanimous satisfaction of a jury.

8             And if the government could not do that, Kawasaki  
9     could not be convicted in this case?

10            THE DEFENDANT: Yes, Your Honor.

11            THE COURT: Do you understand at trial, Kawasaki, at  
12     every critical stage of the proceedings, is entitled to the  
13     assistance of competent counsel to assist, advise it, represent  
14     it, and to advocate for it?

15            THE DEFENDANT: Yes, Your Honor.

16            THE COURT: Do you also understand that during the  
17     course of the trial, Kawasaki would have the right to see and  
18     hear all the witnesses and evidence being presented against it,  
19     and Kawasaki would have the right to cross-examine those  
20     witnesses and challenge that evidence?

21            Do you understand, sir?

22            THE DEFENDANT: Yes, Your Honor.

23            THE COURT: Do you also understand in your capacity  
24     as executive official or officer for Kawasaki that you would  
25     have the right to present testimony of Kawasaki's own

1 witnesses, and if those witnesses would not come to court  
2 voluntarily, they could be subpoenaed. And if they would not  
3 come to court pursuant to a subpoena, your counsel would  
4 undoubtedly request that law enforcement officers be sent out  
5 into the community and have those folks brought here in  
6 handcuffs if necessary to testify in Kawasaki's behalf?

7 THE DEFENDANT: Yes, Your Honor.

8 THE COURT: Do you also understand that you as  
9 executive officer of Kawasaki would have the right to testify  
10 on behalf of Kawasaki at trial?

11 Do you understand, sir?

12 THE DEFENDANT: Yes, Your Honor.

13 THE COURT: Do you also understand that in the event  
14 that Kawasaki chose not to have a representative testify in its  
15 behalf, the fact that there was no representative to testify on  
16 behalf of Kawasaki could not be used against it in any way  
17 whatsoever for the purpose of determining guilt or innocence of  
18 the corporation or the company.

19 Do you understand, sir?

20 THE DEFENDANT: Yes, Your Honor.

21 THE COURT: In fact, Kawasaki could elect to present  
22 no defense whatsoever. Do you understand?

23 THE DEFENDANT: Yes, Your Honor.

24 THE COURT: Because ultimately, it's the government's  
25 burden of proof to prove Kawasaki's guilt beyond a reasonable



1     doubt to the unanimous satisfaction of a jury before Kawasaki  
2     could be convicted in this case.

3             Do you understand that, sir?

4             THE DEFENDANT: Yes, Your Honor.

5             THE COURT: Now, do you understand that if Kawasaki  
6     was convicted after trial, they could appeal that conviction to  
7     a higher court. But you also understand that because you've  
8     entered into a plea on Kawasaki's behalf, and of course that  
9     plea will ultimately be accepted by me, there will be no trial,  
10    and Kawasaki will have waived or given up its right to a trial  
11    as well as the other rights associated with the trial as I  
12    describe them.

13            Do you understand that, sir?

14            THE DEFENDANT: Yes, Your Honor.

15            THE COURT: Kawasaki has indicated that it intends to  
16    plead guilty to Count 1 of the criminal information currently  
17    pending against it.

18            I'll now request that the government outline for me  
19    the essential elements of the offense to which the defendant is  
20    pleading guilty.

21            MR. REICHEL: The elements of the Sherman Act of the  
22    defense, 15 USC(1) are three-part: First, if the charged  
23    conspiracy in the information existed at or about the time  
24    alleged.

25            Second, that the defendant knowingly joined the

1 charged conspiracy.

2 And, third, that the charged conspiracy either  
3 substantially affected interstate or foreign commerce or  
4 occurred within the flow of interstate or foreign commerce.

5 THE COURT: Thank you. Do you understand that the  
6 government would have to prove each and every one of those  
7 elements beyond a reasonable doubt to unanimous satisfaction of  
8 a jury before you could be convicted in this case?

9 Do you understand, sir?

10 THE DEFENDANT: Yes, Your Honor.

11 THE COURT: Now, before I can accept your guilty  
12 plea, I've got to be satisfied that there's a factual basis  
13 for it. Again, turning your attention to paragraph 4 of  
14 government's exhibit number 1, which outlines the factual basis  
15 for the offense charged, you, in your capacity as executive  
16 officer of Kawasaki, agree that the facts contained within  
17 paragraph 4 are true and accurate and that the government could  
18 prove those facts beyond a reasonable doubt to the unanimous  
19 satisfaction of a jury in the event that this case were to go  
20 to trial?

21 THE DEFENDANT: Yes, Your Honor.

22 THE COURT: I'll now call upon the government to  
23 summarize for me the facts supporting the guilty plea in this  
24 case.

25 MR. REICHEL: Yes, Your Honor. From at least as

1 early as February 1997 continuing until at least September  
2 2012, the defendant, through certain employees in both Japan  
3 and United States, participated in a conspiracy among ocean  
4 carriers for roll-on/roll-off cargo. The primary purpose of  
5 which was to suppress and eliminate competition by allocating  
6 customers and routes, rigging bids, and fixing prices for  
7 international ocean shipping services for roll-on/roll-off  
8 cargo, such as cars and trucks, to and from the United States  
9 and elsewhere in violation of the Sherman Antitrust Act 15 USC,  
10 Section 1.

11 In furtherance of the conspiracy the defendant  
12 through certain employees engaged in discussions and attended  
13 meetings with representatives of other ocean air carriers of  
14 roll-on/roll-off cargo.

15 During these discussions and meetings, agreements  
16 were reached to allocate certain customers and routes, rig  
17 certain bids, and to fix, stabilize, and maintain the prices  
18 for certain international ocean shipping services for  
19 roll-on/roll-off cargo from to and from the United States and  
20 elsewhere. Affected customers included certain U.S. based  
21 manufacturers of cars and trucks.

22 During the relevant period, roll-on/roll-off cargo  
23 shipped by one more of the conspirator firms as well as  
24 payments for international shipping services of such cargo  
25 traveled in interstate and foreign commerce.

1           The business activities of the defendant and his  
2 co-conspirators in connection with the international ocean  
3 shipping services for roll-on/roll cargo to and from the United  
4 States were within the flow and substantially affected  
5 interstate and foreign trade or commerce.

6           Acts in furtherance of this conspiracy were carried  
7 out in Maryland, in Baltimore. Port of Baltimore, is one of  
8 the largest ports in the United States for the import and  
9 export of new automobiles.

10           THE COURT: Thank you. Do you agree that the  
11 Kawasaki Cooperation did in fact do the things as outlined by  
12 the government in this case?

13           THE DEFENDANT: Yes, Your Honor.

14           THE COURT: And you do agree that that's an accurate  
15 summary of the fact contained in government's exhibit number 1?

16           THE DEFENDANT: Yes, Your Honor.

17           THE COURT: Counsel, could I see you up at the bench  
18 very quickly?

19           Mr. Arai, you can use a headset that we're going to  
20 provide you as well as the interpreter.

21           (It is the policy of this Court that every guilty  
22 plea and sentencing include a bench conference whether or not a  
23 defendant is cooperating.)

24           (Open court)

25           This will conclude the sealed portion of the record,

1     that this portion of the record will be sealed and shall remain  
2     sealed until I order otherwise.

3             Can you go ahead and let them back in?

4             All right. For the record, our court security has  
5     allowed members of the public to come back in.

6             Now, most importantly, Mr. Arai, do you have any  
7     questions regarding the very important constitutional rights  
8     that Kawasaki is giving up by entering into this guilty plea?

9             THE DEFENDANT: No, Your Honor.

10            THE COURT: Let me ask counsel for government, do you  
11     believe that Kawasaki the defendant and Mr. Arai as executive  
12     officer have been properly advised?

13            MR. REICHEL: Yes, Your Honor.

14            A few things just not in Rule 11 that I would add,  
15     the plea agreement provides no insulation from civil penalties  
16     or lawsuits, tax liability, and in addition to the right to be  
17     charged by indictment, Kawasaki Kisen, as a Japanese  
18     corporation, would have a right to contest your station in this  
19     matter as well.

20            THE COURT: Do you understand those very important  
21     rights as outlined by the government?

22            THE DEFENDANT: Yes, Your Honor.

23            THE COURT: With that caveat, counsel for the  
24     defendant, do you agree your client has been properly advised?

25            MR. CALSYN: Yes, Your Honor.

1           THE COURT: Okay. Thank you.

2           Mr. Arai, how do you plead to Count 1 of the criminal  
3 information in this case on behalf of Kawasaki, guilty or not  
4 guilty?

5           THE DEFENDANT: Guilty, Your Honor.

6           THE COURT: It's the finding of this Court in the  
7 case of United States of America versus Kawasaki Kisen, LTD,  
8 that the defendant is fully competent and capable of entering  
9 an informed plea, the defendant is aware of the nature of the  
10 charges and the consequences of a guilty plea, and the guilty  
11 plea is both knowing and voluntary supported by an independent  
12 basis in fact containing each of the essential elements of the  
13 offense. The plea is therefore accepted and the defendant is  
14 now adjudged guilty of that offense.

15           As the parties have waived a presentence report in  
16 this case and have joint submissions to this Court regarding  
17 the sentencing memoranda, absent any objection from the  
18 parties, we'll proceed directly into sentencing in this case.

19           MR. REICHEL: No objection, Your Honor.

20           THE COURT: Okay. We are proceeding now to the  
21 sentencing portion of this case. Obviously, both the  
22 government and the defense are ready to proceed.

23           Let me ask you, Mr. Arai, have you had the  
24 opportunity to review the joint sentencing memoranda that was  
25 submitted by the parties in this case?

1 THE DEFENDANT: Yes, Your Honor.

2 THE COURT: Actually, have you had the opportunity to  
3 have it interpreted for you?

4 THE DEFENDANT: Yes, Your Honor.

5 THE COURT: Have you had the opportunity to speak  
6 with your attorney about that sentencing memoranda and the  
7 scope of the fine and the basis for the fine that that will be  
8 imposed in this case?

9 THE DEFENDANT: Yes, Your Honor.

10 THE COURT: Having previously found that the Court  
11 will bind itself to the sentence in this case, and having  
12 formally found the defendant Kawasaki has pled guilty, I find  
13 that the guidelines have been established pursuant to United  
14 States Sentencing Guideline Section 8C2.7 with a range, fine  
15 range of 52 to \$104 million in this case.

16 Counsel, do you agree that that is the agreed-upon  
17 guideline range in this matter?

18 MR. REICHEL: Yes, Your Honor.

19 MR. CALSYN: Yes, Your Honor.

20 THE COURT: Okay. All right. This portion of the  
21 proceeding will also be placed under seal and shall remain  
22 sealed until I order otherwise. So we are going to -- again, I  
23 apologize to members of the public, you'll have to step out  
24 very quickly, and we will proceed, and we'll let you know very  
25 shortly when you can come back in.

1 (Courtroom cleared)

2 (It is the policy of this Court that every guilty plea and  
3 sentencing include a conference whether or not a defendant is  
4 cooperating.)

5 THE COURT: All right. This will conclude the sealed  
6 segment of the transcript. At this point, I will certainly  
7 hear from the Department of Justice with regard to any  
8 statement related to the sentencing in this case.

9 Is this the first offense for this particular  
10 corporation?

11 MR. REICHEL: In this industry, yes, Your Honor.

12 THE COURT: All right. Well, I'll hear from you with  
13 regard to sentencing.

14 MR. REICHEL: The sentencing recommendation we have  
15 outlined we believe is appropriate as I indicated consistent  
16 with the factors the Court must consider under 18 USC, 3553(a).

17 As we've discussed, the Court has before it the  
18 guidelines analysis, which is accepted, but we recommend the  
19 sentence be accepted as indicated.

20 If there's anything else I can tell you, I'll be  
21 happy to do that. You'll note because of the existence of  
22 numerous civil actions involving the defendant here, as any  
23 party to those, we do not call for restitution if it's  
24 appropriate to leave that to the civil litigants.

25 We also do not seek any term of form of probation in



1     this matter. Obviously, we previously mentioned the \$400  
2     special assessment, but other than that, I think the  
3     sentencing, I'm happy to answer any of your questions.

4             THE COURT: Okay. Thank you. Counsel.

5             MR. CALSYN: On behalf of the company, Your Honor, we  
6     also ask the Court enter the sentence as provided in the plea  
7     agreement.

8             I just note that the carrier business is a relatively  
9     small business of Kawasaki, and they've taken steps since the  
10    investigation to promptly cooperate with the government's  
11    investigation, and also they've taken many steps to improve  
12    their compliance going forward, so hopefully this issue does  
13    not arise again.

14            THE COURT: Okay. I'd be more than happy to hear  
15    from Mr. Arai speaking on behalf of the corporation if you  
16    would like to say anything to the Court before the imposition  
17    of sentencing.

18            THE DEFENDANT: Since we already the accept the  
19    actions that were read related to today's proceedings, we have  
20    thoroughly reviewed our corporate compliance organizations and  
21    cooperated with the investigation by the Department of Justice.  
22    We take full responsibility for the conduct that is the subject  
23    of our plea agreement. We respectfully request that the Court  
24    impose the sentence set forth in the plea agreement.

25            THE COURT: Okay. Thank you very much.

1           Applying the 3553(a) factors, looking at the history  
2   and characteristics of the defendant corporation, certainly  
3   it's a large corporation with no history at least in this  
4   aspect of prior criminal behavior. I will accept the  
5   expressions of remorse by its executive officer, Mr. Arai, and  
6   believe that they are sincere.

7           Further, I appreciate the immediate and swift  
8   compliance with the law to prevent this action from happening  
9   in the future.

10          The nature and circumstances of the offense were  
11   quite serious. Those intentional and willful suppressing and  
12   attempt to suppress competition for the sale of international  
13   ocean shipping services for roll-on and roll-off cargo. It's  
14   an extremely serious offense and was appropriately prosecuted  
15   by the government.

16          I do believe that the sentence that the Court is  
17   going to bind itself to will hopefully deter the defendant and  
18   others like the defendant from committing further or future  
19   crimes.

20          I don't believe that protection of the public is a  
21   factor, nor do I believe based upon the corrected measures that  
22   the defendant has put in place that any sort of training is  
23   necessary.

24          The advisory guideline range is 52 to \$104 million.  
25   A sentence that is sufficient but not greater than necessary to

1     comply with the purposes set out in 18 United States Code  
2     3553(a)(2) is that \$67.7 million in a fine to be paid in 15  
3     days after the date of judgment in this case.

4             Is there an issue with regard to interest? Is there  
5     a waiver of interest?

6             MR. REICHEL: No, Your Honor, there is not a request  
7     for that today. I believe I can defer to Mr. Calsyn, but I  
8     believe the company intends to pay the amount in full.

9             THE COURT: With interest?

10            MR. REICHEL: No interest, Your Honor.

11            THE COURT: No interest. Okay.

12            MR. CALSYN: Yes. My understanding is that if we pay  
13     within 15 days, interest does not begin to run. That's our  
14     plan.

15            THE COURT: Okay. Thank you. I'm not going to  
16     impose restitution despite the fact that there are victims in  
17     this case because of, as indicated, the pending litigation for  
18     similar conduct in this case, so I will honor the parties'  
19     request.

20            There is a special assessment in the amount of \$400  
21     in this case. The sentence falls within the sentencing  
22     guidelines and is appropriate in light of the sentencing  
23     guidelines and all other factors set out in Title 18 United  
24     States Code 3553(a). There are no additional counts that need  
25     to be dismissed.

1           Of course, Mr. Arai, Kawasaki can appeal its  
2 conviction if they believe that the guilty plea was somehow  
3 unlawful or involuntary, or if there's some other fundamental  
4 defect of the proceedings that was not waived by your guilty  
5 plea.

6           Also, of course, you can appeal your sentence if you  
7 believe that it was unlawful, but, of course, you sought to  
8 have the Court bind itself to this sentence so the likelihood  
9 of a successful appeal would be low.

10          A judgment and commitment order will be prepared. A  
11 statement of reasons will be prepared, and these records along  
12 with all of the other appropriate records of this sentencing  
13 will be filed with the United States Sentencing Commission and  
14 the United States Bureau of Prisons in this case.

15          Let me ask counsel, is there anything additional that  
16 we can productively accomplish today?

17          MR. CALSYN: No, Your Honor.

18          MR. REICHEL: I think essentially we're good.

19          One thing, Your Honor, I think counsel for the record  
20 has the board resolution authorizing Mr. Arai as the corporate  
21 representative.

22          THE COURT: Oh, yes, why we don't do that? We will  
23 enter that in as part of the record both as part of the  
24 arraignment in the case as well as the sentencing in this  
25 matter, and it will be marked as defense exhibit, why don't we

1 say defense exhibit 1, and I will ask that you deposit it with  
2 our clerk here.

3 MR. CALSYN: That's fine.

4 THE COURT: Is there anything else?

5 MR. REICHEL: No, Your Honor.

6 THE COURT: Thank you very much.

7 (Proceedings adjourned)

8  
9 I, Jacqueline Sovich, RPR, RMR, CRR, Official Court  
10 Reporter, do hereby certify that the foregoing is a correct  
11 transcript from the stenographic record of proceedings in the  
12 above-entitled matter.

13 \_\_\_\_\_  
14 Jacqueline Sovich  
15 Official Court Reporter

DATE

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# **Exhibit 9**



IN THE UNITED STATES DISTRICT COURT  
FOR THE DISTRICT OF MARYLAND  
NORTHERN DISTRICT

----- x  
UNITED STATES OF AMERICA : Criminal No. 14-00612-GLR  
v. :  
NIPPON YUSEN KABUSHIKI KAISHA, :  
Defendant. : Baltimore, Maryland  
----- x March 11, 2015

**HEARING**

BEFORE: THE HONORABLE GEORGE LEVI RUSSELL, III, Judge

APPEARANCES:

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Proceeding recorded by electronic sound recording,  
transcript produced by transcription service.

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| <u>EXHIBITS:</u>           | <u>FOR IDENTIFICATION</u> | <u>IN EVIDENCE</u> |
| <u>For the Government:</u> |                           |                    |

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KEYNOTE: "----" Indicates inaudible in transcript.

"\*" Indicates phonetic spelling in transcript.

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P R O C E E D I N G S

THE COURT: Initial appearance and arraignment that the Defendant Corporation, Kaisha Corporation, through its representative Mr. Ohnishi\* is going to plead guilty pursuant to Rule 11(c)(1)(C). Let me ask Counsel, I note that we have an interpreter here. Does Mr. Ohnishi speak and understand English?

MR. FORNACIARI: Yes, Your Honor, he has got an MBA from Emory.

THE COURT: Okay. Very good. So, we probably didn't need to pay for the services of an interpreter then.

MR. FORNACIARI: He is a lot more comfortable in a legal proceeding if he has to ask for --

THE COURT: That is perfectly fine. So, that is good. I just want to make sure that we are clear on that. And I can speak probably a little bit more quickly than I would otherwise speak. Yes.

Before we begin, Mr. Ohnishi, you are a representative of the Kaisha Corporation.

MR. OHNISHI: NYK.

THE COURT: NYK.

MR. OHNISHI: Yes, Your Honor.

THE COURT: So, I will refer to the Defendant as NYK from here on out, all right?

MR. OHNISHI: Yes, Your Honor.

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1 THE COURT: All right. And as a representative of  
2 NYK you have the authority in your capacity as a manager to  
3 enter into agreements and speak on the company's behalf at  
4 criminal proceedings, is that correct?

5 MR. OHNISHI: Yes, Your Honor.

6 THE COURT: I have here in front of me a Waiver of  
7 an Indictment that was signed you, Mr. Ohnishi, and I take it  
8 you signed all the documents here including the Plea  
9 Agreements in your capacity as a representative and/or  
10 manager or -- counsel of -- general manager or counsel of  
11 NYK, is that correct?

12 MR. OHNISHI: Yes, Your Honor.

13 THE COURT: All right. I have a Waiver of  
14 Indictment that was signed by you, is that correct?

15 MR. OHNISHI: Yes, Your Honor.

16 THE COURT: And by signing that document you have  
17 agreed to waive your right to proceed by way of Indictment  
18 and agree to proceed by way of Information. Is that correct,  
19 sir?

20 MR. OHNISHI: Yes, Your Honor.

21 THE COURT: And I also have an Acknowledgment of  
22 the Information that you have received a copy of the Criminal  
23 Information that has been filed against you, that you have  
24 read it, consulted with your attorney and that you understand  
25 it, is that correct, sir?

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1 MR. OHNISHI: Yes, Your Honor.

2 THE COURT: Thank you. I will go ahead and sign  
3 the Waiver of Indictment in this case before we proceed.

4 I have also here a -- Board Resolutions in this  
5 case. Counsel, I don't believe that I had this particular  
6 document as part of the plea package in this case. I could  
7 be wrong. But what is this document that I have in front of  
8 me? That was signed by Mr. Acudo\*.

9 MR. FORNACIARI: Your Honor, that is a Board  
10 Resolution authorizing Mr. Ohnishi to represent them in this  
11 proceedings and giving him the authority to do so.

12 THE COURT: Okay. Very well.

13 MR. FORNACIARI: And enter a plea.

14 THE COURT: Okay. Thank you very much. That  
15 actually goes to the first set of questions that I ended up  
16 having.

17 MR. FORNACIARI: Yes, Your Honor.

18 THE COURT: I am going to go ahead and have this  
19 marked and received and be part of the Plea Agreement in this  
20 case which would be marked and received by the Government as  
21 -- by this Court as Government's Exhibit No. 1 in this case.

22 (The document referred to was  
23 marked for identification as  
24 Government's Exhibit 1 and was  
25 received in evidence.)

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1 THE COURT: Now, under the terms of the Plea  
2 Agreement it is my understanding that the parties request  
3 that this Court bind itself to a plea arrangement in this  
4 case and in imposition of a fine in the amount of  
5 \$59.4 million to be paid within the 15th -- on the 15th day  
6 after judgment in this case. That there be no imposition of  
7 probation, restitution -- or any other supervised release  
8 that will be imposed.

9 Let me ask Counsel, is that your understanding of  
10 what you are asking the Court to do?

11 MR. : That is correct, Your Honor.

12 THE COURT: Okay. I have had the opportunity to  
13 review the Sentencing Memoranda as well as the Plea Agreement  
14 that was sent in this case. And having reviewed those  
15 documents, and with the understanding that there -- of all  
16 parties, that there was no need to have a Presentence Report  
17 in this case, I will go ahead and accept the agreed upon plea  
18 in this matter.

19 So, with that, Mr. Ohnishi, I am going to ask that  
20 you stand up and raise your right hand on behalf of NYK, the  
21 Corporation, and the oath will be administered to you.

22 MR. OHNISHI: Yes, Your Honor.

23 (Whereupon, the representative of NYK, Mr. Ohnishi,  
24 was sworn.)

25 THE BAILIFF: State your name for the record.

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1 MR. OHNISHI: --- Onishi.

2 THE BAILIFF: Your age.

3 MR. OHNISHI: Fifty-four.

4 THE BAILIFF: You can put your hand down. The year  
5 of your birth.

6 MR. OHNISHI: 1960.

7 THE BAILIFF: 1960?

8 MR. OHNISHI: Sixty. Six, zero.

9 THE BAILIFF: Have you been furnished with a copy  
10 of the Information by the -- US Department of Justice?

11 MR. OHNISHI: I am sorry, say that --

12 THE BAILIFF: Have you been furnished with a copy  
13 of the Information by the US Department of Justice?

14 MR. OHNISHI: Let me ---.

15 THE BAILIFF: Sure.

16 THE INTERPRETER: Would you repeat that, sorry?

17 THE BAILIFF: Have you been furnished with a copy  
18 of the Information by the US Department of Justice?

19 MR. OHNISHI: Yes, I did. Thank you.

20 THE BAILIFF: Have you read the Information?

21 MR. OHNISHI: Yes, I did.

22 THE BAILIFF: Do you understand what you have been  
23 charged -- what your Corporation has been charged with?

24 MR. OHNISHI: Yes, I do.

25 THE BAILIFF: And Mr. Fornaciari, you have been

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1 retained to represent the Corporation?

2 MR. FORNACIARI: Yes, sir.

3 THE BAILIFF: Are you satisfied that the  
4 Corporation understands what they have been charged with?

5 MR. FORNACIARI: Yes, sir.

6 THE BAILIFF: I go back to Mister -- if I can get  
7 his name right this time.

8 MR. OHNISHI: Onishi.

9 THE BAILIFF: Onishi.

10 MR. OHNISHI: Yes, yes, sir.

11 THE BAILIFF: You have been charged in the one  
12 count Information, how do you wish to plead?

13 MR. OHNISHI: Guilty.

14 THE BAILIFF: Thank you.

15 THE COURT: All right. Mr. Ohnishi, you can go  
16 ahead and have a seat, sir.

17 MR. OHNISHI: Thank you.

18 THE COURT: And I will -- ask that you pull that  
19 microphone in front of you. And speak clearly into it.

20 Now, before I can accept NYC's guilty plea, I have  
21 got to ask you a number of questions as a representative of  
22 NYC Corporation, because I need to ask you these questions  
23 and consider the answers, because I need to make a  
24 determination that you, in your capacity as a manager and  
25 representative of the Corporation, are entering into in this



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1 guilty plea on behalf of the Corporation in both a knowing  
2 and voluntarily manner. Do you understand, sir?

3 MR. OHNISHI: Yes, Your Honor.

4 THE COURT: If at any point in time you don't  
5 understand a question that I ask, just like you have done in  
6 the past, simply let me know and I will certainly allow you  
7 with your attorneys and, of course, consult with the  
8 interpreter. Do you understand, sir?

9 MR. OHNISHI: Yes, Your Honor.

10 THE COURT: Also, in the event that you do need to  
11 have those discussions, I am going to put this noise button  
12 on (White Noise) to give you and your attorney as well as the  
13 interpreter some additional -- attorneys and your interpreter  
14 some additional privacy with regard to any discussions you  
15 want to have. Okay?

16 MR. OHNISHI: Yes, Your Honor.

17 THE COURT: Now, it is my understand that there is  
18 a Plea Agreement in this case. As I indicated to you earlier  
19 that the Plea Agreement would be marked and received by this  
20 Court as Government's Exhibit No. 1. I would like to turn  
21 your attention to -- do you have a copy of the signed Plea  
22 Agreement in front of you, Mr. Ohnishi? You do?

23 MR. OHNISHI: Yes, Your Honor.

24 THE COURT: I will turn your attention to page 17.

25 MR. OHNISHI: Yes, I have.

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1 THE COURT: Near the top of page 17, is a typed  
2 name and above what appears to be your name is a signature.  
3 Is that your signature, sir?

4 MR. OHNISHI: Yes, Your Honor.

5 THE COURT: And by signing that document you agree  
6 that you have each and every word of Government's Exhibit  
7 No. 1, which is the Plea Agreement, you understand it and  
8 you have had the opportunity to discuss it with your  
9 attorney?

10 MR. OHNISHI: Yes, Your Honor.

11 THE COURT: Was it necessary for you to have this  
12 particular interpreted for you from English to Japanese?

13 MR. OHNISHI: Yes, Your Honor.

14 THE COURT: Okay. So, you were able to review both  
15 the English version as well as the Japanese version, is that  
16 correct?

17 MR. OHNISHI: Yes, Your Honor.

18 THE COURT: And I note that you have signed the  
19 English version. Counsel, I take it that the Japanese  
20 version that Mr. Ohnishi signed on behalf of the Corporation  
21 and the English version -- and the Japanese version which I  
22 don't have a copy of, and the English version which he has  
23 signed, mirror one another or accurate?

24 MR. FORNACIARI: That is correct, Your Honor.

25 THE COURT: Okay. Thank you. Under the terms of

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1 the Plea Agreement as I indicated, the parties seek to have  
2 this Court bind itself and the Court will bind itself to an  
3 agreed upon fine in the total amount \$59,400,000.00 to be  
4 paid on the fifteenth day after the date of the judgment in  
5 this case.

6 Other than -- is that your understanding of what  
7 the Plea Agreement is, Mr. Ohnishi? Is that your  
8 understanding?

9 (Whereupon, the representative of NYK, Mr. Ohnishi,  
10 consults with interpreter.)

11 MR. OHNISHI: Thank you. Yes, Your Honor.

12 THE COURT: Okay. Do you agree that Government's  
13 Exhibits No. 1 in this case, which is the Plea Agreement,  
14 sets out the entire agreement that NYC has made with the  
15 Government, and that there are no other promises or  
16 agreements that have been made to the Corporation?

17 MR. OHNISHI: Yes, Your Honor.

18 THE COURT: Okay. Has anyone made any threats or  
19 used force or violence against the Corporation or you or  
20 somebody close to the Corporation in order to persuade the  
21 Corporation to enter into this Plea Agreement?

22 MR. OHNISHI: No, Your Honor.

23 THE COURT: Okay. You understand that the Court  
24 is not a party to the agreement. In other words, it is  
25 your agreement along with the Government, do you understand

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1 that, sir?

2 MR. OHNISHI: Yes, Your Honor.

3 THE COURT: Now, I have already indicated that I am  
4 going to go ahead and bind myself to the terms of this  
5 individual Plea Agreement in this case. You understand the  
6 offense to which the NYC is pleading guilty, or the  
7 Corporation is pleading guilty is a felony offense. And if I  
8 accept the guilty plea the Corporation will be adjudged  
9 guilty of that offense, and that -- and adjudication may  
10 deprive the Corporation of certain rights, including the  
11 right to obtain certain permits and licenses in this country  
12 and its ability to do business in this country. Do you  
13 understand that, sir?

14 MR. OHNISHI: Yes, Your Honor.

15 THE COURT: Counsel, what is the maximum possible  
16 penalty for this offense for the Corporation?

17 MR. : Your Honor, the maximum penalty for  
18 the charge Title 15, Section 1 Count is a fine in the amount  
19 equal to the greatest of \$100 million, twice the gain of the  
20 conspirators derived from the crime, or twice the loss caused  
21 to the victims by the conspiracy. A special assessment of  
22 \$400.00. The imposition of restitution to the victims and  
23 probation for up to five years.

24 THE COURT: Okay. Thank you. Is that your  
25 understanding of what the maximum penalties are, Mr. Ohnishi?

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1 MR. OHNISHI: Yes, Your Honor.

2 THE COURT: All right. You understand that -- if  
3 in fact -- I find or make a determination that the  
4 Corporation is in fact guilty of this offense, you may be  
5 ordered to provide notice of your conviction to certain third  
6 parties, including victims, do you understand that, sir?

7 MR. OHNISHI: Let me clarify real quick.

8 THE COURT: Sure.

9 (Whereupon, the representative of NYK, Mr. Ohnishi,  
10 consults with Interpreter.)

11 MR. OHNISHI: Yes, Your Honor. Thank you.

12 THE COURT: Okay. Now, your sentence is going to be  
13 determined by the Court after talking with the United States  
14 Sentencing Guidelines, which are advisory, and after  
15 considering possible departures from those guidelines is  
16 permitted in the Federal Sentencing Law, and after  
17 considering other sentencing factors that are set out in  
18 Title 18 USC 3553(a). Have you and your attorney talked --  
19 attorneys talked about how the Sentencing Guidelines might  
20 apply in your case?

21 MR. OHNISHI: Yes, Your Honor.

22 THE COURT: All right. Counsel, could you have for  
23 me the Guidelines stipulation, that the parties have come up  
24 with?

25 MR. : Certainly, Your Honor.

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1 Your Honor, pursuant to Section 2R1.1, Subsection D1 of the  
2 Sentencing Guidelines, twenty percent of the affective --- of  
3 commerce here a total number of \$171,750,064.00 resulted in a  
4 base line calculation of \$34,350,013.00.

5 Now, under the Sentencing Guideline NYK's  
6 culpability score is a seven and it was calculated in the  
7 following manner. Five is NYK's base culpability score.  
8 Four was added because NYK is a corporation with more than  
9 one thousand employees. And an individual with a substantial  
10 authority personnel participated in that conspiracy.

11 Then two points were deducted because NYK fully  
12 cooperated with the Government's investigation and clearly  
13 demonstrated recognition and affirm of acceptance of  
14 responsibility.

15 Now, Your Honor, that resulted in a fine range of  
16 approximately \$48 million to \$96.1 million.

17 The recommended fine of sentence is ninety percent  
18 up from the bottom of this range. And that is due to NYK's  
19 substantial imports into the United States. Which results in  
20 a fine of approximately \$91.4 million. Prior to any  
21 cooperation discount.

22 THE COURT: Got you. All right. Is that your  
23 understanding of the Sentencing Guidelines and how they apply  
24 in this case?

25 MR. OHNISHI: Yes, Your Honor.

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1 THE COURT: All right. Now, I am not going to be  
2 able to make a final determination on the Guideline range in  
3 your case until I have actually moved on further in this  
4 proceeding and made certain determinations based upon motions  
5 for potential departures that are going to be made by the  
6 Government in this matter.

7 Now, you understand that under some circumstances  
8 you could have the right to appeal the company's conviction  
9 in this case and you understand that you as well as the  
10 Government may be entitled to appeal any sentence that I  
11 impose. But you also understand that by entering into this  
12 guilty plea on behalf of the Corporation, and if that guilty  
13 plea is accepted by me, the Corporation may have waived or  
14 given up its right to appeal all or part of the sentence or  
15 conviction in this case. Do you understand that, sir?

16 MR. OHNISHI: Yes, Your Honor.

17 THE COURT: Now, you understand that the  
18 Corporation is not required to plead guilty. You understand  
19 that the Corporation has the right to plead not guilty to any  
20 offense charged against it and to persist in that not guilty  
21 plea. You understand that if the Corporation pled not guilty  
22 it would have the right to a trial by jury. And you  
23 understand your attorneys as well as the Government's  
24 attorneys would assist me in selecting twelve members of the  
25 community who would come in here, sit in that jury box and

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1       serve as the company's jury. Do you understand that, sir?

2               MR. OHNISHI: Yes, Your Honor.

3               THE COURT: You also understand that at trial the  
4       company would be presumed innocent and that the Government  
5       would be required to prove the company's guilt beyond a  
6       reasonable doubt to the unanimous satisfaction of a jury.  
7       And if the company could not do that the Corporation -- I am  
8       sorry, if the Government could not do that the Corporation  
9       could not be convicted in this case. Do you understand that,  
10      sir?

11              MR. OHNISHI: Yes, Your Honor.

12              THE COURT: You also understand that at trial NYK  
13      is entitled to the assistance of competent counsel to assist  
14      you, to assist it, advise it, represent it and to advocate  
15      for it. You understand that -- it is my understanding that  
16      counsel has been retained by the Corporation. Do you  
17      understand that, sir?

18              MR. OHNISHI: Yes, Your Honor.

19              THE COURT: You also understand that during the  
20      course of trial the company or Corporation or have the right  
21      to see and hear all of the witnesses and evidence being  
22      presented against it. And of course, NYC would be entitled  
23      to cross-examine those witnesses and challenge that evidence.  
24      Do you understand, sir?

25              MR. OHNISHI: Yes, Your Honor.



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1 THE COURT: Of course, the Corporation could call  
2 its own witnesses. But if those witnesses would not come to  
3 court voluntarily your attorneys could request that I  
4 instruct law enforcement officers to go out into the  
5 community and bring those folks here in handcuffs, if  
6 necessary, to testify on behalf of the Corporation. You  
7 understand, sir?

8 MR. OHNISHI: Yes, Your Honor.

9 THE COURT: Of course, you as a preventative and  
10 manager, general manager of the Corporation would have the  
11 right to testify yourself during the course of the trial on  
12 behalf of the company. Now understand that if the  
13 Corporation decided that it did not want a representative to  
14 testify on its behalf, the fact that no one testified on its  
15 behalf could not be used against it whatsoever. In fact, it  
16 could not even be considered by the jury in determining the  
17 Corporation's guilt or innocence. Do you understand that,  
18 sir?

19 MR. OHNISHI: Yes, Your Honor.

20 THE COURT: In fact, NYC could present no defense  
21 whatsoever because ultimately it is the Government's burden  
22 to prove -- to prove your guilt beyond a reasonable doubt in  
23 this case. Do you understand that, sir?

24 MR. OHNISHI: Yes, Your Honor.

25 THE COURT: Of course, if the Corporation was

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1 convicted after trial you could appeal that conviction to a  
2 higher court. But you also understand that after it enters  
3 the plea of guilty, and if that plea is accepted by the  
4 Court, there will be no trial and the Corporation will waive  
5 or given up its right to a trial as well as the other rights  
6 associated with a trial, as I just described. You understand  
7 that, sir?

8 MR. OHNISHI: Yes, Your Honor.

9 THE COURT: I will now call upon counsel for the  
10 Government to outline for me the essential elements of the  
11 Criminal Information.

12 MR. : Your Honor, had this matter gone to  
13 trial the Government would have proved beyond a reasonable  
14 doubt the following elements of the charge Title 15,  
15 Section 1 offense.

16 First, the charge of Conspiracy existed at or  
17 about the time alleged. Second, Defendant knowingly joined  
18 the charged Conspiracy. And third, that the Conspiracy  
19 did substantially affected interstate of foreign commerce  
20 or occurred within the twelve interstate of foreign  
21 commerce.

22 THE COURT: Thank you very much. You understand,  
23 Mr. Ohnishi, that the Government would have to prove each and  
24 every one of those elements beyond a reasonable doubt to the  
25 unanimous satisfaction of a jury before the Corporation could

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1 be convicted in this case. Do you understand?

2 MR. OHNISHI: Yes, Your Honor.

3 THE COURT: Now, before I can accept your guilty  
4 plea I got to be satisfied that there is a factual basis for  
5 it. So, if you could, I would like to turn your attention to  
6 your copy of Government's Exhibit No. 1, specifically  
7 paragraph four and that would run through A through --  
8 Paragraphs A through D. Located on pages three and four.  
9 Let me know when you are there, on page three?

10 MR. OHNISHI: We are, Your Honor.

11 THE COURT: You are there? Have you had the  
12 opportunity as indicated to read each and every word of the  
13 factual basis for the offense charged located on pages three  
14 and four. And you do in fact agree that the Corporation did  
15 the things outlined in Paragraph 4?

16 MR. OHNISHI: Yes, Your Honor.

17 THE COURT: And you do agree that the Government  
18 could prove those facts contained within Government's  
19 Exhibit No. 1 beyond a reasonable doubt in the event that  
20 this case went to trial?

21 MR. OHNISHI: Let me clarify this.

22 THE COURT: Sure.

23 (Whereupon, the Representative of NYK, Mr. Ohnishi,  
24 consults with Interpreter.)

25 MR. OHNISHI: Yes, Your Honor. Thank you.

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1 THE COURT: Okay. I will now call upon the  
2 Government to summarize the facts supporting the guilty plea  
3 in this case.

4 MR. : Your Honor, as you have noted the  
5 factual basis for the plea is outlined in significant detail  
6 in Paragraph 4 of the Plea Agreement. As well I will just  
7 summarize it for the Court this afternoon.

8 From at least February 1997 and continuing until  
9 September of 2012 NYK knowingly participated in a conspiracy  
10 to suppress and eliminate competition by allocating  
11 customers and routes, rigging bids and fixing prices for  
12 international ocean shipping services, for roll-on/roll-off  
13 cargo such as cars and trucks to and from the United States  
14 and elsewhere.

15 Now, NYK participated in this conspiracy through  
16 certain employees including an individual in a high level  
17 personnel position and other individuals with substantial  
18 authority within the company, which affected customers  
19 including certain U.S. based manufacturers of cars and  
20 trucks.

21 During the relevant period roll-on/roll-off cargo  
22 was shipped one or more of the co-conspirators as well as  
23 payments for those shipments traveled in interstate and  
24 foreign commerce. And the business activities of the  
25 conspirators in connection with the shipping services of this

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1 cargo to and from the United States are within the flow and  
2 substantially affected interstate and foreign commerce.

3 Now, the acts and furtherance of this conspiracy  
4 were carried out with the District of Maryland, the  
5 Baltimore District and during the relevant period NYK or its  
6 co-conspirators exported roll-on/roll-off cargo affected by  
7 the conspiracy into the Port of Baltimore.

8 And finally, Your Honor, during the relevant period  
9 NYK had more than one thousand employees and its sales were  
10 international ocean shipping services for new cars and trucks  
11 exported from the United States that were affected by the  
12 conspiracy exceeded \$171 million.

13 THE COURT: Thank you. Mr. Ohnishi, is that an  
14 accurate summary of the facts contained within Paragraph 4?

15 MR. OHNISHI: Yes, Your Honor.

16 THE COURT: Okay. And you do agree again that the  
17 Government could prove those facts in the event that the case  
18 went to trial?

19 MR. OHNISHI: Yes, Your Honor.

20 THE COURT: Okay.

21 (Pause)

22 THE COURT: All right. Let me ask you this,  
23 Counsel, do you agree that your client has been properly  
24 advised?

25 MR. FORNACIARI: Yes, Your Honor.

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1 THE COURT: All right. Counsel for the Government,  
2 agree that the Defendant has been properly advised?

3 MR. : Yes, Your Honor.

4 THE COURT: All right. Most importantly,  
5 Mr. Ohnishi, do you have any additional questions whatsoever  
6 about the very important Constitutional Rights that you are  
7 waiving on behalf of the Corporation, NYC, before I formally  
8 accept your guilty plea?

9 (Whereupon, the representative of NYK, Mr. Ohnishi,  
10 consults with Interpreter.)

11 MR. OHNISHI: No, I don't have any further  
12 questions, Your Honor.

13 THE COURT: Okay. Very good. On behalf of NYC  
14 Corporation how do you plead as to Count 1 of the Criminal  
15 Information in this case, guilty or not guilty?

16 MR. OHNISHI: Guilty, Your Honor.

17 THE COURT: All right. It is the finding of this  
18 Court in the case of United States of America versus NYC that  
19 the Defendant is fully competent and capable of entering an  
20 informed plea, that the Defendant through Mr. Ohnishi is  
21 aware of the nature of the charges and the consequences of  
22 the guilty plea, that the guilty plea is both knowing and  
23 voluntary supported by an independent basis in fact, contain  
24 each of the essential elements of the offense, the plea is  
25 therefore accepted and the Defendant, NYC, is now adjudged

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1 guilty of that offense in this case.

2 Counsel, is there anything else that we need to  
3 address regarding this Arraignment and can we go -- move  
4 right into sentencing?

5 MR. : Nothing from the Government,  
6 Your Honor.

7 MR. FORNACIARI: I have nothing.

8 THE COURT: All right. Very well. We are going to  
9 go into the sentencing in this case. I note that the -- a  
10 Presentence Report has been waived by all sides, all parties  
11 are prepared to proceed. I have had the opportunity to read  
12 the joint Sentencing Memoranda in this case.

13 As I indicated in the previous proceeding I am  
14 binding myself to the agreed upon sentence and to the extent  
15 that there is now a formal guilty plea entered, one is being  
16 entered now as to Count 1 of the Information. Mr. Ohnishi is  
17 representing in his capacity as general manager of NYC and is  
18 speaking on the Corporation's behalf.

19 It is my understanding, based upon the  
20 presentations by the parties that the basis offense level in  
21 this case is five. You add four because of the number of  
22 employees. The Government is moving for a two level  
23 departure based upon acceptance of responsibility. Is that  
24 correct?

25 MR. : That is correct, Your Honor.

1           THE COURT: All right. That will reduce the  
2 amount of the offense level to seven in this case. All  
3 parties are agreeing to an upward departure pursuant to  
4 8C2.8. I believe that an upward departure is appropriate.  
5 Is that correct?

6           MR.           : That is correct, Your Honor.

7           THE COURT: And the amount of the upward departure  
8 would take the amount of the fine, according to the  
9 Sentencing Guidelines, to \$91.4 million. Is that correct?  
10 Right.

11           At this point in time we are going to -- the next  
12 portion of the proceeding will be under seal. And we are  
13 going to go ahead and clear the courtroom. To the extent  
14 that you are not affiliated with any of the parties in this  
15 case, I would ask that you will step out. I will have the  
16 Court Security Officer grab you or let them know that they  
17 can come back in when they come back in.

18           THE BAILIFF: Actually you all can stay.

19           THE COURT: You all can stay.

20           THE BAILIFF: We need everybody else to step  
21 outside. We need everybody else to step outside.

22           THE COURT: Whoever is not affiliated with the  
23 parties. Okay.

24           (Whereupon, the hearing is off the public  
25 record.)



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1 (Whereupon, the hearing is back on the public  
2 record.)

3 THE COURT: Okay. Certainly I have reviewed the  
4 Sentencing Memoranda that has been submitted by the  
5 Government. Is there anything additional that the Government  
6 would like to add prior to the imposition of sentencing in  
7 the case?

8 MR. : Your Honor, just one more note for  
9 the record, I just wanted to clarify that the Defendant did  
10 in fact waive the reading of the Information in open court.  
11 It was unclear whether or not that was part of the waiver  
12 which the Defendant signed.

13 THE COURT: Let us see. Was it --  
14 (Pause)

15 THE COURT: Okay. Correct. There wasn't a formal  
16 -- I don't believe there was a formal waiver. But I think  
17 Counsel and Mr. Ohnishi, did you waive the formal reading of  
18 the Information in this case?

19 MR. FORNACIARI: Yes, we did, Your Honor.

20 THE COURT: Okay. Very good. All right. Thank  
21 you. All right. Counsel for the Defense, is there  
22 anything that you would like to add before the Court imposes  
23 sentence?

24 MR. FORNACIARI: No, Your Honor. During the sealed  
25 portion I --- where I wanted to -- my client would like to

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1 address the Court.

2 THE COURT: Of course. Mr. Ohnishi, I will be more  
3 than happy to hear from you, sir.

4 MR. OHNISHI: Thank you. Your Honor, it is with  
5 deepest regret for NYK to face the fact that the employees  
6 made a -- serious misconducts and violated the Antitrust Law.  
7 NYK takes full responsibility for the conduct in violation of  
8 the US law. NYK had deeply and sincerely committed itself to  
9 try its best to make the best -- make every effort to educate  
10 all of our management and the stuff ---. To strictly  
11 encourage them to comply with Antitrust laws and other U.S.  
12 laws in the future.

13 NYK will do its best not to allow any violations of  
14 U.S. law in the future. Thank you, Your Honor.

15 THE COURT: Thank you, Mr. Ohnishi. All right.  
16 Applying the Section 3553(a) factors in this case, I do  
17 believe that this Corporation accepted responsibility early  
18 for its misdeeds. There is no history of infractions by this  
19 Corporation. And Mr. Ohnishi, on behalf of the Corporation,  
20 has expressed sincere remorse for the Corporation's misdeeds  
21 and behavior.

22 Certainly the nature and circumstances of the  
23 offense, the suppression and elimination of competition  
24 regarding shipping services for roll-on/roll-off cargo  
25 through price fixing and bid rigging is quite serious. It

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1    hurts competitors, it hurts U.S. manufacturers, it hurts our  
2    economy and is very costly. The damage that was done and the  
3    losses that were suffered were significant. And that is  
4    reflected in the penalty that is being paid by the  
5    Corporation.

6            I think there is a need for deterrence. I think  
7    based upon this case and others like it, some of -- folks are  
8    losing their freedom and away from their families for not  
9    short periods of time because of engaging in this type of  
10   behavior.

11           I think this sort of monetary penalty sends a  
12   message to other corporations that should not -- that they  
13   should think twice about engaging in this sort of behavior.  
14   Because it is not only the finances that are affected, but  
15   also the future restrictions that are affected and the  
16   mistrust that is had by this. And the close scrutiny. This  
17   is not a case where the public needs to be protected as such.  
18   But nevertheless I do believe that the public will be  
19   protected because the Defendant will be deterred from  
20   engaging in this conduct.

21           Also the sentence prevents unwarranted sentencing  
22   disparities among other co-defendants or similarly situated  
23   defendants in this case.

24           The Guideline range in this case is 48 to 96.1  
25   months. I am going to impose -- an agreed upon fine which

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1 happens to be within -- in that range of -- I just had it  
2 here -- of \$59.4 million to paid on the fifteenth day of --  
3 after entry of judgment in this case.

4 There will be no supervised release or probation.  
5 Restitution is not an issue because that is being handled as  
6 part of a separate matter. There is no forfeiture issue  
7 here. And there will be a Special Assessment in the amount  
8 of \$400.00.

9 The sentence does fall within the Guideline range  
10 and is appropriate in light of the Sentencing Guidelines and  
11 all the factors set out in Title 18 United States Code  
12 Section 3553(a).

13 Certainly, Mr. Ohnishi, you have fourteen days to  
14 file an appeal on behalf of the Corporation. If you believe  
15 somehow this guilty plea is unlawful or involuntary or if you  
16 believe that the sentence that I imposed is somehow unlawful  
17 in this case. And of course, you reserve any rights to  
18 appeal that weren't otherwise waived by the actual guilty  
19 plea.

20 A Judgment and Commitment Order will be prepared.  
21 A Statement of Reasons will be prepared. And these records,  
22 along with the other appropriate records of the sentencing  
23 will be filed with the United States Sentencing Commission in  
24 this case.

25 Counsel, is there anything else that we can address

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1 productively today?

2 MR. : Nothing, Your Honor.

3 THE COURT: All right.

4 MR. FORNACIARI: No, Your Honor.

5 THE COURT: All right. All right. Thank you very  
6 much.

7 (Pause)

8 THE COURT: Fifteen days from the date of judgment  
9 to pay the fine of the fifty-nine -- right. It is a  
10 corporation so the \$59.4 million. Okay. Great. Thank you  
11 very much.

12 THE BAILIFF: All rise. This Court now stands  
13 adjourned.

14 (Whereupon, the hearing was concluded.)  
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C E R T I F I C A T E

I certify that the foregoing is correct transcript  
from the electronic sound recording of the proceedings in the  
above-entitled matter.

Karen Morganelli      03-16-2015

Karen Morganelli      Date  
Certified Transcriber  
Certificate No.: CET\*\*D-577

# **Exhibit 10**

## CORPORATE LENIENCY POLICY

This document is available in two formats: this web page (for browsing content), and [PDF](#) (comparable to original document formatting). To view the PDF you will need Acrobat Reader, which may be downloaded from the [Adobe site](#) .



# Department of Justice

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### CORPORATE LENIENCY POLICY

The Division has a policy of according leniency to corporations reporting their illegal antitrust activity at an early stage, if they meet certain conditions. “Leniency” means not charging such a firm criminally for the activity being reported. (The policy also is known as the corporate amnesty or corporate immunity policy.)

#### **A. Leniency Before an Investigation Has Begun**

Leniency will be granted to a corporation reporting illegal activity before an investigation has begun, if the following six conditions are met:

1. At the time the corporation comes forward to report the illegal activity, the Division has not received information about the illegal activity being reported from any other source;
2. The corporation, upon its discovery of the illegal activity being reported, took prompt and effective action to terminate its part in the activity;
3. The corporation reports the wrongdoing with candor and completeness and provides full, continuing and complete cooperation to the Division throughout the investigation;
4. The confession of wrongdoing is truly a corporate act, as opposed to isolated confessions of individual executives or officials;
5. Where possible, the corporation makes restitution to injured parties; and
6. The corporation did not coerce another party to participate in the illegal activity and clearly was not the leader in, or originator of, the activity.

#### **B. Alternative Requirements for Leniency**

If a corporation comes forward to report illegal antitrust activity and does not meet all six of the conditions set out in Part A, above, the corporation, whether it comes forward before or after an investigation has begun, will be granted leniency if the following seven conditions are met:

1. The corporation is the first one to come forward and qualify for leniency with respect to the illegal activity being reported;
2. The Division, at the time the corporation comes in, does not yet have evidence against the company that is likely to result in a sustainable conviction;
3. The corporation, upon its discovery of the illegal activity being reported, took prompt and effective action to terminate its part in the activity;



4. The corporation reports the wrongdoing with candor and completeness and provides full, continuing and complete cooperation that advances the Division in its investigation;
5. The confession of wrongdoing is truly a corporate act, as opposed to isolated confessions of individual executives or officials;
6. Where possible, the corporation makes restitution to injured parties; and
7. The Division determines that granting leniency would not be unfair to others, considering the nature of the illegal activity, the confessing corporation's role in it, and when the corporation comes forward.

In applying condition 7, the primary considerations will be how early the corporation comes forward and whether the corporation coerced another party to participate in the illegal activity or clearly was the leader in, or originator of, the activity. The burden of satisfying condition 7 will be low if the corporation comes forward before the Division has begun an investigation into the illegal activity. That burden will increase the closer the Division comes to having evidence that is likely to result in a sustainable conviction.

**C. Leniency for Corporate Directors, Officers, and Employees**

If a corporation qualifies for leniency under Part A, above, all directors, officers, and employees of the corporation who admit their involvement in the illegal antitrust activity as part of the corporate confession will receive leniency, in the form of not being charged criminally for the illegal activity, if they admit their wrongdoing with candor and completeness and continue to assist the Division throughout the investigation.

If a corporation does not qualify for leniency under Part A, above, the directors, officers, and employees who come forward with the corporation will be considered for immunity from criminal prosecution on the same basis as if they had approached the Division individually.

**D. Leniency Procedure**

If the staff that receives the request for leniency believes the corporation qualifies for and should be accorded leniency, it should forward a favorable recommendation to the Office of Operations, setting forth the reasons why leniency should be granted. Staff should not delay making such a recommendation until a fact memo recommending prosecution of others is prepared. The Director of Operations will review the request and forward it to the Assistant Attorney General for final decision. If the staff recommends against leniency, corporate counsel may wish to seek an appointment with the Director of Operations to make their views known. Counsel are not entitled to such a meeting as a matter of right, but the opportunity will generally be afforded.

*Issued August 10, 1993*

*Updated July 29, 2015*

# **Exhibit 11**



# DEPARTMENT OF JUSTICE

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**"FREQUENTLY ASKED QUESTIONS  
REGARDING THE ANTITRUST DIVISION'S LENIENCY  
PROGRAM AND MODEL LENIENCY LETTERS  
(November 19, 2008)"**

**By:**

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Antitrust Division  
U.S. Department of Justice

**FREQUENTLY ASKED QUESTIONS  
REGARDING THE ANTITRUST DIVISION'S LENIENCY PROGRAM  
AND MODEL LENIENCY LETTERS  
(November 19, 2008)**

The Antitrust Division first implemented a leniency program in 1978 and substantially revised the program with the issuance of a Corporate Leniency Policy in 1993 and a Leniency Policy for Individuals in 1994.<sup>1</sup> Through the Division's leniency program, a corporation can avoid criminal conviction and fines, and individuals can avoid criminal conviction, prison terms, and fines, by being the first to confess participation in a criminal antitrust violation, fully cooperating with the Division, and meeting other specified conditions.

The Division has issued several speeches providing guidance on how the leniency program is implemented. It has also adopted model conditional leniency letters for both corporate and individual applicants to memorialize the agreement made with a leniency applicant.<sup>2</sup> The vast majority of the information in this paper restates what is available in prior policy statements. Therefore, this paper is meant to be a comprehensive and updated resource, and to provide guidance, on recurring issues regarding the implementation of the Division's Corporate Leniency Policy and Individual Leniency Policy. This paper discusses: (1) leniency application procedures; (2) the criteria for obtaining leniency under the Corporate Leniency Policy; (3) the criteria for obtaining leniency under the Individual Leniency Policy; (4) the conditional leniency letter; (5) the final, unconditional leniency letter and potential revocation of conditional leniency; and (6) confidentiality regarding leniency applications.

The Division's implementation of its leniency program has been greatly influenced by the views and input of the private bar and business community. The Division will continue to solicit their suggestions on how to make the program fair, transparent, and predictable. Therefore, we expect that we will periodically update and reissue these Frequently Asked Questions. Updated versions will be identified by a new posting date in the title of the paper.

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<sup>1</sup> The Division's Corporate Leniency Policy and Leniency Policy for Individuals are available at <http://www.justice.gov/atr/public/criminal/leniency.html>.

<sup>2</sup> The model conditional leniency letters are available at <http://www.justice.gov/atr/public/criminal/leniency.html>.

## **I. Leniency Application Procedures**

### **Application Contact Information**

#### ***1. Who does counsel for a potential applicant contact to apply for leniency?***

The Division's Deputy Assistant Attorney General for Criminal Enforcement ("Criminal DAAG") reviews all requests for leniency.<sup>3</sup> An applicant's counsel may contact the Criminal DAAG directly at 202-514-3543 to apply for leniency. However, counsel is not required to call the Criminal DAAG to initiate an application, but instead may contact any one of the Division's five specific criminal investigative offices.<sup>4</sup> For example, if there is an existing investigation involving the subject matter of the application, it likely will be more expeditious for counsel to contact the investigating staff. In such cases, Division staff will promptly alert the Criminal DAAG of the application.

### **Securing a Marker**

The Division understands that when corporate counsel first obtains indications of a possible criminal antitrust violation, authoritative personnel for the company may not have sufficient information to know for certain whether the corporation has engaged in such a violation, an admission of which is required to obtain a conditional leniency letter.<sup>5</sup> Counsel should understand, however, that time is of the essence in making a leniency application. The Division grants only one corporate leniency per conspiracy, and in applying for leniency, the company is in a race with its co-conspirators and possibly its own employees who may also be preparing to apply for individual leniency. On a number of occasions, the second company to inquire about a leniency application has been beaten by a prior applicant by only a matter of hours. Thus, the Division has established a marker system to hold an applicant's place in the line for leniency while the applicant gathers more information to support its leniency application.

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<sup>3</sup> Note that the Corporate Leniency Policy, which was issued in 1993, states that the Director of Operations reviews corporate leniency applications, and the Leniency Policy for Individuals, which was issued in 1994, states that the Deputy Assistant Attorney General for Litigation reviews individual leniency applications. Both of the leniency policies were written before the Division created the Criminal DAAG position and gave that position oversight of the Division's criminal enforcement program, including the Division's leniency program.

<sup>4</sup> The phone numbers for making leniency applications to specific criminal investigative offices in the Division are: Chicago Office 312-984-7219; New York Office 212-335-8019; San Francisco Office 415-934-5319; Washington Criminal I Section 202-307-1166; and Washington Criminal II Section 202-616-5949.

<sup>5</sup> See discussion at question 5 below.

## ***2. What is a marker, and how is it used in the leniency application process?***

The Division frequently gives a leniency applicant a “marker” for a finite period of time to hold its place at the front of the line for leniency while counsel gathers additional information through an internal investigation to perfect the client’s leniency application. While the marker is in effect, no other company can “leapfrog” over the applicant that has the marker.

To obtain a marker, counsel must: (1) report that he or she has uncovered some information or evidence indicating that his or her client has engaged in a criminal antitrust violation; (2) disclose the general nature of the conduct discovered; (3) identify the industry, product, or service involved in terms that are specific enough to allow the Division to determine whether leniency is still available and to protect the marker for the applicant; and (4) identify the client.<sup>6</sup> As noted above, when corporate counsel first obtains indications of a possible criminal antitrust violation, authoritative personnel for the company may not have sufficient information to enable them to admit definitively to such a violation. While confirmation of a criminal antitrust violation is not required at the marker stage, in order to receive a marker counsel must report that he or she has uncovered information or evidence suggesting a possible criminal antitrust violation, e.g. price fixing, bid rigging, capacity restriction, or allocation of markets, customers, or sales or production volumes. With respect to the product or service involved in the violation, in some cases, an identification of the industry will be sufficient for the Division to determine whether leniency is available. For example, there may be no pending investigations of any products or services in that particular industry. In other cases, an identification of the specific product or service or other identifying information, such as the geographic location of affected customers or one or more of the subject companies, may be necessary in order for the Division to determine whether leniency is available.

Because companies are urged to seek leniency at the first indication of wrongdoing, the evidentiary standard for obtaining a marker is relatively low, particularly in situations where the Division is not already investigating the wrongdoing. For example, if an attorney gave a compliance presentation and after the presentation an employee reported to the attorney a conversation the employee had overheard about his employer’s potential price-fixing activities, this information would be sufficient to obtain a marker. However, the burden is higher when the Division already is in possession of information about the illegal activity. For example, it is not enough for counsel to state merely that the client has received a grand jury subpoena or has been searched during a

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<sup>6</sup> It is also possible in limited circumstances for counsel to secure a very short-term “anonymous” marker without identifying his or her client. An anonymous marker is given when counsel wants to secure the client’s place first in line for leniency by disclosing the other information listed above, but needs more time to verify additional information before providing the client’s name. For example, the Division might give counsel two or three days to gather additional information and to report the client’s identity to the Division.

Division investigation and that counsel wants a marker to investigate whether the client has committed a criminal antitrust violation.

A marker is provided for a finite period. The length of time an applicant is given to perfect its leniency application is based on factors such as the location and number of company employees counsel needs to interview, the amount and location of documents counsel needs to review, and whether the Division already has an ongoing investigation at the time the marker is requested. A 30-day period for an initial marker is common, particularly in situations where the Division is not yet investigating the wrongdoing. If necessary, the marker may be extended at the Division's discretion for an additional finite period as long as the applicant demonstrates it is making a good-faith effort to complete its application in a timely manner.

## **II. Corporate Leniency Criteria**

### ***3. What are the criteria for obtaining corporate leniency, and is corporate leniency available both before and after an investigation has begun?***

Leniency is available for corporations either before or after a Division investigation has begun. The Corporate Leniency Policy includes two types of leniency, Type A Leniency and Type B Leniency. Type A Leniency is available only before the Division has received any information about the activity being reported from any source, while Type B is available even after the Division has received information about the activity. Detailed below are the criteria for each type of leniency.

#### **Leniency Before an Investigation Has Begun ("Type A Leniency")**

Leniency will be granted to a corporation reporting illegal antitrust activity before an investigation has begun if the following six conditions are met:

- (1) At the time the corporation comes forward, the Division has not received information about the activity from any other source.
- (2) Upon the corporation's discovery of the activity, the corporation took prompt and effective action to terminate its participation in the activity.
- (3) The corporation reports the wrongdoing with candor and completeness and provides full, continuing, and complete cooperation to the Division throughout the investigation.
- (4) The confession of wrongdoing is truly a corporate act, as opposed to isolated confessions of individual executives or officials.
- (5) Where possible, the corporation makes restitution to injured parties.
- (6) The corporation did not coerce another party to participate in the activity and clearly was not the leader in, or the originator of, the activity.

If the corporation does not meet all six of the Type A Leniency conditions, it may still qualify for leniency if it meets the conditions of Type B Leniency.

**Alternative Requirements for Leniency ("Type B Leniency")**

A company will qualify for leniency even after the Division has received information about the illegal antitrust activity, whether this is before or after an investigation is formally opened, if the following conditions are met:

- (1) The corporation is the first to come forward and qualify for leniency with respect to the activity.
- (2) At the time the corporation comes in, the Division does not have evidence against the company that is likely to result in a sustainable conviction.
- (3) Upon the corporation's discovery of the activity, the corporation took prompt and effective action to terminate its part in the activity.
- (4) The corporation reports the wrongdoing with candor and completeness and provides full, continuing, and complete cooperation that advances the Division in its investigation.
- (5) The confession of wrongdoing is truly a corporate act, as opposed to isolated confessions of individual executives or officials.
- (6) Where possible, the corporation makes restitution to injured parties.
- (7) The Division determines that granting leniency would not be unfair to others, considering the nature of the activity, the confessing corporation's role in the activity, and when the corporation comes forward.

**The "First-in-the-Door" Requirement**

***4. Can more than one company qualify for leniency?***

No. Under both Type A and Type B, only the first qualifying corporation may be granted leniency for a particular antitrust conspiracy. Condition 1 of Type A leniency requires that the Division has not yet received information about the illegal antitrust activity being reported from any other source, and Condition 1 of Type B leniency requires that the company is the first to come forward and qualify for leniency. Under the policy that only the first qualifying corporation receives conditional leniency,<sup>7</sup> there have been dramatic differences in the disposition of the criminal liability of corporations

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<sup>7</sup> The conditional nature of the Division's leniency letters is discussed in Section IV below.



whose respective leniency applications to the Division were very close in time. Thus, companies have a huge incentive to make a leniency application as quickly as possible.

### Criminal Violation

#### ***5. Does a leniency applicant have to admit to a criminal violation of the antitrust laws before receiving a conditional leniency letter?***

Yes. The Division's leniency policies were established for corporations and individuals "reporting their illegal antitrust activity," and the policies protect leniency recipients from criminal conviction. Thus, the applicant must admit its participation in a criminal antitrust violation involving price fixing, bid rigging, capacity restriction, or allocation of markets, customers, or sales or production volumes before it will receive a conditional leniency letter. Applicants that have not engaged in criminal violations of the antitrust laws have no need to receive leniency protection from a criminal violation and will receive no benefit from the leniency program.

When the model corporate conditional leniency letter was first drafted, the Division did not employ a marker system. Thus, companies received conditional leniency letters far earlier in the process, often before the company had an opportunity to conduct an internal investigation. However, the Division's practice has changed over time. The Division now employs a marker system, and the Division provides the company with an opportunity to investigate thoroughly its own conduct. While the applicant may not be able to confirm that it committed a criminal antitrust violation when it seeks and receives a marker, by the end of the marker process, before it is provided with a conditional leniency letter, it should be in a position to admit to its participation in a criminal violation of the Sherman Act. The Division may also insist on interviews with key executives of the applicant who were involved in the violation before issuing the conditional leniency letter. A company that argues that an agreement to fix prices, rig bids, restrict capacity, or allocate markets might be inferred from its conduct but that cannot produce any employees who will admit that the company entered into such an agreement generally has not made a sufficient admission of criminal antitrust violation to be eligible for leniency. A company that, for whatever reason, is not able or willing to admit to its participation in a criminal antitrust conspiracy is not eligible for leniency. Previously the model conditional leniency letters referred to the conduct being reported as "*possible* [. . . price fixing, bid rigging, market allocation] or other conduct violative of Section 1 of the Sherman Act." (emphasis added). Because applicants must report a criminal violation of the antitrust laws before receiving a conditional leniency letter, the word "possible" has been deleted from the model letter, and a reference to "or other conduct constituting a criminal violation of Section 1 of the Sherman Act" has been added to the model letters.<sup>8</sup>

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<sup>8</sup> Model Corporate Conditional Leniency Letter, introductory paragraph and paragraph #1; see also Model Individual Conditional Leniency Letter, introductory paragraph and paragraph #1.

## Non-Antitrust Crimes

### *6. Does the Division's leniency program apply to any non-antitrust crimes?*

As explained below, in some instances, the Division's leniency program provides some protection for non-antitrust violations, and in some instances, it does not. The model corporate conditional leniency letter provides leniency from the Antitrust Division "for any act or offense [the applicant] may have committed [time period covered] in connection with the anticompetitive activity being reported." Thus, this language provides leniency from the Antitrust Division not only for a criminal antitrust violation, but also for other offenses committed in connection with the antitrust violation. For example, conduct that is usually integral to the commission of a criminal antitrust violation, such as mailing, faxing, or emailing bids agreed upon with competitors, can constitute other offenses, such as mail or wire fraud violations or conspiracies to defraud. On occasion, other types of offenses may also occur in connection with a criminal antitrust violation. A cartel may bribe a purchasing agent to steer contracts to the designated winning bidders in connection with a bid-rigging scheme, or payoffs received in connection with a bid-rigging scheme may not be reported as income to the Internal Revenue Service. As stated above, the protections of a conditional leniency letter apply to such additional offenses that are committed in connection with the antitrust violation.

The conditional leniency letter, however, only binds the Antitrust Division, and not other federal or state prosecuting agencies. For example, if a qualifying leniency applicant participated in a bid-rigging conspiracy and also bribed a foreign public official in return for steering contracts in violation of the Foreign Corrupt Practices Act ("FCPA"), the Antitrust Division would not prosecute the leniency applicant for either the bid-rigging conspiracy or the FCPA violation if the FCPA violation was committed in connection with the bid rigging. If the FCPA violation was not committed in connection with the bid rigging, the leniency letter would provide no protection from the Antitrust Division with respect to the FCPA violation. Moreover, the leniency letter would not prevent the Criminal Division of the U.S. Justice Department or any other prosecuting agency from prosecuting the applicant for a FCPA violation regardless of whether that violation was committed in connection with the antitrust offense. If the applicant has exposure for an antitrust and non-antitrust violation, the applicant may seek non-prosecution protection for the non-antitrust violation in a separate agreement in return for self-reporting that violation to the relevant prosecuting agency pursuant to the Department's Principles of Federal Prosecution of Business Organizations.<sup>9</sup> The factors that will be weighed in deciding whether to prosecute a company for non-antitrust conduct can be found at U.S.A.M. 9-28.300. To date, in situations where the additional offense has consisted of conduct that is usually integral to the commission of any criminal antitrust violation, such as mail or wire fraud or conspiracy to defraud resulting from the mailing or wire transmission of announcements of fixed prices, there have been

<sup>9</sup> U.S. Attorney's Manual ("U.S.A.M.") 9-28.000, available at [http://www.justice.gov/usao/eousa/foia\\_reading\\_room/usam/title9/28mcrrm.htm](http://www.justice.gov/usao/eousa/foia_reading_room/usam/title9/28mcrrm.htm).

no instances where a separate prosecuting agency has elected to prosecute such conduct by a leniency applicant.

#### **Expanding Leniency Protection for Subsequently Discovered Conduct**

*7. If during the course of its internal investigation, an applicant discovers evidence that the anticompetitive activity was broader than originally reported, for example, in terms of its geographic scope or the products covered by the conspiracy, will the applicant's leniency protection be expanded to include the newly discovered conduct?*

Yes, under the conditions discussed below. Companies frequently apply for leniency before completing their own internal investigations in order to ensure their place at the front of the line. As a result, the Division may learn from one of the applicant's employees of anticompetitive activity that is more extensive than the conduct originally reported and thus that falls outside the scope of the conditional leniency letter. For example, an applicant's executives may report evidence showing that the anticompetitive activity was broader in terms of its geographic scope or the products covered by the conspiracy. In such cases, assuming that the applicant has not tried to conceal the conduct, that it is providing full, continuing, and complete cooperation, and that the applicant can meet the criteria for leniency on the newly discovered conduct it reported, the leniency coverage will be expanded to include such conduct. If the newly discovered conduct is part of the original conspiracy reported, the leniency protection for the expanded conduct typically will be accomplished by issuing an addendum to the original leniency letter. However, if the newly discovered conduct constitutes a separate conspiracy, the new leniency protection will be provided in a separate corporate conditional leniency letter.

#### **"Amnesty Plus"**

*8. If a company is under investigation for one antitrust conspiracy but is too late to obtain leniency for that conspiracy, can it receive any benefits in its plea agreement for that conspiracy by reporting its involvement in a separate antitrust conspiracy?*

Yes. A large percentage of the Division's investigations have been initiated as a result of evidence developed during an investigation of a completely separate conspiracy. This pattern has led the Division to take a proactive approach to attracting leniency applications by encouraging subjects and targets of investigations to consider whether they may qualify for leniency in other markets where they compete. For example, consider the following hypothetical fact pattern.

*As a result of cooperation received pursuant to a leniency application in the widgets market, a grand jury is investigating the other four producers in that market, including XYZ, Inc., for their participation in an international cartel. As part of its internal investigation, XYZ, Inc., uncovers information of its executives' participation not only in a widgets cartel but also in a separate conspiracy in the sprockets market. The*

*government has not detected the sprockets cartel because the leniency applicant was not a competitor in that market and no other investigation has disclosed the cartel activity. XYZ, Inc. is interested in cooperating with the Division's widgets investigation and seeking leniency by reporting its participation in the sprockets conspiracy. Assuming XYZ, Inc. qualifies for leniency with respect to the sprockets conspiracy, what benefits can XYZ, Inc. receive by following this path?*

XYZ, Inc. can obtain what the Division refers to as "Amnesty Plus." In such a case, the Division would grant leniency to XYZ, Inc. in the sprockets investigation, meaning that XYZ, Inc. would pay zero dollars in fines for its role in the sprockets conspiracy and none of its officers, directors, and employees who admitted to the Antitrust Division their knowledge of, or participation in, the sprockets conspiracy and fully and truthfully cooperated with the Division would receive prison terms or fines in connection with the sprockets conspiracy. *Plus*, the Division would recommend to the sentencing court that XYZ, Inc. receive a substantial additional discount in its fine for its participation in the widgets cartel-- *i.e.*, a discount that takes into consideration the company's cooperation in both the widgets and sprockets investigations,<sup>10</sup> and would, therefore, be greater than the discount it would have received for cooperation in the widgets investigation alone. Consequently, XYZ, Inc. would receive dual credit for coming forward and cooperating in the sprockets investigation both in terms of obtaining leniency in that matter and in terms of receiving a greater reduction in the recommended widgets fine.

#### **9. *How is the Amnesty Plus discount calculated?***

The size of the Amnesty Plus discount depends on a number of factors, including: (1) the strength of the evidence provided by the cooperating company in the leniency product; (2) the potential significance of the violation reported in the leniency application, measured in such terms as the volume of commerce involved, the geographic scope, and the number of co-conspirator companies and individuals; and (3) the likelihood the Division would have uncovered the additional violation absent the self-reporting, *i.e.*, if there were little or no overlap in the corporate participants and/or the culpable executives involved in the original cartel under investigation and the Amnesty Plus matter, then the credit for the disclosure would be greater. Of these three factors, the first two are given the most weight.<sup>11</sup>

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<sup>10</sup> See United States Sentencing Guidelines §8C4.1 (substantial assistance departure), available at <http://www.ussc.gov/guidelin.htm>.

<sup>11</sup> For a fuller discussion of the Division's Amnesty Plus program as well as the benefits generally of providing "second-in-the-door" cooperation, see Scott D. Hammond, Measuring the Value of Second-In Cooperation in Corporate Plea Negotiations, Speech Before the ABA Antitrust Section 2006 Spring Meeting (March 29, 2006), available at <http://www.justice.gov/atr/public/speeches/215514.pdf>.

**10. *If the leniency applicant is a subject or target of, or a defendant in, a separate investigation, will the applicant's conditional leniency letter contain any changes from the model corporate conditional leniency letter?***

Yes. An additional paragraph will be included when necessary in the model corporate conditional leniency letter to make clear that the protection afforded to the company and its executives pursuant to the letter, as well as their cooperation obligations, extend only to the activity reported pursuant to the leniency application and not to the separate investigation. In so doing, the letter will detail the company's acknowledgement of its status and that of its directors, officers, and employees as subjects, targets, or defendants in the separate investigation; the lack of effect of the conditional leniency letter on the ability of the United States to prosecute it and its directors, officers, and employees in that separate investigation; and the lack of effect of the separate investigation on the cooperation obligations of the company and its directors, officers, and employees under the conditional leniency letter. Specifically, the model paragraph for such a situation is as follows:

**5. Gadget Investigation:** Applicant acknowledges that it is a [subject/target of] [defendant in] a separate investigation into [price-fixing, bidding-rigging, and market-allocation] activity, or other conduct constituting a criminal violation of Section 1 of the Sherman Act, 15 U.S.C. § 1, [and related statutes,] in the gadget industry [insert geographic scope--e.g. in the United States and elsewhere] and that some of its current and former directors, officers, or employees are, or may become, subjects, targets, or defendants in that separate investigation. Nothing in this Agreement limits the United States from criminally prosecuting Applicant or any of its current or former directors, officers, or employees in connection with the gadget investigation. The status of Applicant or any of its current or former directors, officers, or employees as a subject, target, or defendant in the gadget investigation does not abrogate, limit, or otherwise affect Applicant's cooperation obligations under paragraph 2 above, including its obligation to use its best efforts to secure the ongoing, full, and truthful cooperation of covered employees, or the cooperation obligations of covered employees under paragraph 4 above. A failure of a covered employee to comply fully with his or her obligations described in paragraph 4 above includes, but is not limited to, regardless of any past or proposed cooperation, not making himself or herself available in the United States for interviews and testimony in trials, grand jury, or other proceedings upon the request of attorneys and agents of the United States in connection with the anticompetitive activity being reported because he or she has been, or anticipates being, charged, indicted, or arrested in the United States for violations of federal antitrust [and related statutes] involving the gadget industry. Such a failure also includes, but is not limited to, not responding fully and truthfully to all inquiries of the United States in connection with the anticompetitive activity being reported because his or her responses may also relate to, or tend to incriminate him or her in, the gadget investigation. Failure to comply fully with his or her cooperation obligations further includes,

but is not limited to, not producing in the United States all documents, including personal documents and records, and other materials requested by attorneys and agents of the United States in connection with the anticompetitive activity being reported because those documents may also relate to, or tend to incriminate him or her in, the gadget investigation. The cooperation obligations of paragraph 4 above do not apply to requests by attorneys and agents of the United States directed at [price-fixing, bid-rigging, or market-allocation] activity in the gadget industry if such requests are not, in whole or in part, made in connection with the anticompetitive activity being reported. The Antitrust Division may use any documents, statements, or other information provided by Applicant or by any of its current or former directors, officers, or employees to the Division at any time pursuant to this Agreement against Applicant or any of its current or former directors, officers, or employees in any prosecution arising out of the gadget investigation, as well as in any other prosecution.<sup>12</sup>

In addition, directors, officers and employees of the applicant who are subjects, targets, or defendants in the separate investigation but who are interviewed by the Division in connection with his or her employer's leniency application will be given a separate letter in which the individual acknowledges his or her status in the separate investigation and acknowledges that the leniency letter governs the conditions of the individual's eligibility for leniency protection with respect to the anticompetitive activity being reported pursuant to the leniency letter. Specifically, the model letter for these acknowledgements states:

Dear [Name]:

On\_\_\_\_, 20XX the Antitrust Division of the United States Department of Justice and [Generic Company, Ltd. ("Applicant")] entered into an agreement granting Applicant conditional leniency for its participation in [price fixing, bid rigging, and market allocation] or other conduct constituting a criminal violation of Section 1 of the Sherman Act, 15 U.S.C. § 1, in the widget industry [insert geographic scope: e.g., in the United States and elsewhere] ("Applicant Agreement"). A copy of the Applicant Agreement is attached. You are a "covered employee" as defined in paragraph 2(c) of the Applicant Agreement. You are also a [subject/target of] [defendant in] the Antitrust Division's gadget investigation as referenced in paragraph 5 of the Applicant Agreement.

The Applicant Agreement governs the terms and conditions of your eligibility for leniency protection in the widget investigation. Your signature below signifies that you have read, understood, and will comply with the terms

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<sup>12</sup> Paragraph #5, Model Dual Investigations Leniency Letter, *available at* <http://www.justice.gov/atr/public/criminal/leniency.html>.

and conditions of the Applicant Agreement. Please sign, and have your attorney sign, below in acknowledgment.<sup>13</sup>

**Meaning of "Discovery of the Illegal Activity"**

***11. Both Type A and Type B leniency require that "[t]he corporation, upon its discovery of the illegal activity being reported, took prompt and effective action to terminate its part in the activity." How does the Division interpret "discovery of the illegal activity being reported," especially when high-level officials of the company participated in the cartel?***

Questions have arisen about what it means for the corporation to "discover" the illegal activity being reported. More specifically, in cases (usually involving small, closely held corporations) where the top executives, board members, or owners participated in the conspiracy, it has been suggested that the corporation may not be eligible for leniency because the corporation's "discovery" of the activity arguably occurred when those participants joined the conspiracy.

The Division, however, generally considers the corporation to have discovered the illegal activity at the earliest date on which either the board of directors or counsel for the corporation (either inside or outside) was first informed of the conduct at issue. Thus, the fact that top executives, individual board members, or owners participated in the conspiracy does not necessarily bar the corporation from eligibility for leniency. The purpose of this interpretation is to ensure that as soon as the authoritative representatives of the company for legal matters -- the board or counsel representing the corporation -- are advised of the illegal activity, they take action to cease that activity. In the case of a small closely held corporation in which the board of directors is never formally advised of the activity, because all members of the board are conspirators, the corporation still may qualify under this provision if the activity is terminated promptly after legal counsel is first informed of the activity.

<sup>13</sup> Model Dual Investigations Acknowledgement Letter for Employees, available at <http://www.justice.gov/atr/public/criminal/leniency.html>.

**12. Does the grant of conditional leniency always cover activity up until the date of the conditional leniency letter?**

The grant of conditional leniency usually protects the applicant for any activity committed in connection with a criminal antitrust violation prior to the date of the conditional leniency letter. This is because, in the vast majority of cases, leniency applicants approach the Division promptly after discovery of the anticompetitive activity in order to enhance the likelihood that they are the first applicant and that a co-conspirator or an employee does not beat them in the race to obtain leniency. In such cases, paragraph #3 of the Division's model corporate conditional leniency letter provides that "[T]he Antitrust Division agrees not to bring any criminal prosecution against Applicant for any act or offense it may have committed prior to the date of this letter in connection with the anticompetitive activity being reported." In rare cases in which there is a significant lapse in time between the date the applicant discovered the anticompetitive activity being reported and the date the leniency application was made, and hence there is a significant lapse in time between the date the applicant was required to take prompt and effective action to terminate its participation in the conspiracy and the date the applicant reported the activity to the Division, the Division reserves the right to grant conditional leniency only up to the date the applicant represents it terminated its participation in the activity. Thus, in such cases, the Division also likely will insist on insertion of a discovery date and a termination date in paragraph #1 of the corporate conditional leniency letter. The discovery date and termination date representations would be that the applicant "discovered the anticompetitive activity being reported in or about [month/year] and terminated its participation in the activity in or about [month/year]."<sup>14</sup> The applicant bears the burden of proving the accuracy of this representation.<sup>15</sup>

**Termination of Participation in Anticompetitive Activity**

**13. What constitutes "prompt and effective action to terminate [the applicant's] participation in the anticompetitive activity being reported upon discovery of the activity?"**

The model corporate conditional leniency letter requires a leniency applicant to promptly terminate its participation in the anticompetitive activity being reported upon

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<sup>14</sup> See n.2, Model Corporate Conditional Leniency Letter.

<sup>15</sup> Model Corporate Conditional Leniency Letter, paragraph #1. ("Applicant agrees that it bears the burden of proving its eligibility to receive leniency, including the accuracy of the representations made in this paragraph and that it fully understands the consequences that might result from a revocation of leniency as explained in paragraph 3 of this Agreement.") Logically, the applicant, as the party seeking leniency and representing that it is eligible, has the burden of establishing its eligibility for leniency.



discovering the illegal conduct.<sup>16</sup> This prerequisite to obtaining leniency exists because, as a matter of good public policy, the Division does not believe that it would be appropriate to provide leniency to a company that discovers illegal conduct but then elects to continue engaging in that conduct. What constitutes prompt and effective action will, of course, depend on the particular circumstances in each leniency matter. A primary consideration is what steps are taken by management in response to the discovery of the anticompetitive activity being reported. For example, a company must not use managers or executives who were involved in the anticompetitive activity to investigate the activity, to formulate the company's response to the discovery of such activity, or to determine the appropriate disciplinary action against employees who participated in the activity. Other considerations are the size of the applicant corporation, its corporate structure, the complexity of its operations involved in the reported activity (including its geographic scope), and the nature of the reported activity.

A company terminates its part in anticompetitive activity by stopping any further participation in that activity, unless continued participation is with Division approval in order to assist the Division in its investigation. The Division will not disqualify a leniency applicant whose illegal conduct ended promptly after it was discovered merely because the applicant did not take some particular action. Moreover, as an exercise of prosecutorial discretion, if the Division was persuaded that the company and its high-level management had done everything that could reasonably be expected of them to terminate the company's involvement in the anticompetitive activity being reported, the Division would not revoke a company's conditional acceptance into the leniency program because a lower-level employee in one of the company's remote offices continued for some short period of time to have conspiratorial contacts with his or her counterpart. On the other hand, if any of the applicant's executives or high-level managers who were members of the conspiracy prior to discovery, continue to act in furtherance of the conspiracy despite that company's remedial actions, then the company should recognize that the Division may decide that the applicant did not promptly and effectively end its participation in the conspiracy.

A company that seeks a marker from the Division immediately after discovering anticompetitive conduct, and that effectively terminates its involvement in that activity at about the same time, will be viewed by the Division as having taken prompt and effective action. To date, almost every company that has sought leniency from the Division has done so shortly after discovering the anticompetitive activity being reported. On the other hand, an applicant that discovers anticompetitive activity but, instead of reporting the activity to the Division, keeps the culpable employees in the same positions with no repercussions or inadequate supervision and fails to prevent those employees from continuing to engage in the anticompetitive activity, can expect the Division to decline to grant it conditional leniency. As with the discovery representation, the applicant has the

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<sup>16</sup> *Id.* ("Applicant represents . . . that . . . it . . . took prompt and effective action to terminate its participation in the anticompetitive activity being reported upon discovery of the activity.")

burden of proving that it took prompt and effective action, and will not receive final leniency unless it satisfies its burden of proof.<sup>17</sup>

Leniency applicants most commonly effectuate termination by reporting the anticompetitive activity to the Division and refraining from further participation - unless continued participation is with Division approval. Applicants may be asked to assist the Division in the conduct of a covert investigation, by, for example, participating in consensually monitored discussions with other members of the conspiracy.<sup>18</sup> Whether the Division's investigation is overt or covert, however, there is a risk of obstruction resulting from unauthorized disclosures about the application or the investigation. Therefore, at the outset of the leniency application, the applicant should discuss with the Division staff who within the company can be told about the leniency application as well as when and how they should be informed.

#### **Not the Leader or Originator of the Activity**

Part A of the Corporate Leniency Policy, section A6, requires that "[t]he corporation did not coerce another party to participate in the illegal activity and clearly was not the leader in, or originator of, the activity." Similarly, Part B of the Corporate Leniency Policy, section B7, requires that:

The Division determine[] that granting leniency would not be unfair to others, considering the nature of the illegal activity, the confessing corporation's role in it, and when the corporation comes forward.

The model corporate conditional leniency letter incorporates this requirement in paragraph #1, which requires the applicant to represent that it "did not coerce any other party to participate in the anticompetitive activity being reported and was not the leader in, or the originator of, the activity." As with the discovery and termination representations, the applicant bears the burden of proving the accuracy of this representation.<sup>19</sup>

#### ***14. How does the Division define what it means to be "the leader in, or originator of, the activity"?***

The leniency policy refers to "*the leader*" and "*the originator of the activity*," rather than "*a*" leader or "*an*" originator. Applicants are disqualified from obtaining

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<sup>17</sup> *Id.*, *supra* note 15.

<sup>18</sup> When an applicant's employees are participating in cartel meetings and communications at the direction of the Antitrust Division to assist with a covert investigation, the employees are deemed to be agents of the Antitrust Division under U.S. law and are no longer deemed co-conspirators.

<sup>19</sup> Model Corporate Conditional Leniency Letter, paragraph #1, *supra* note 15.

leniency only if they were clearly the single organizer or single ringleader of a conspiracy. If, for example, there are two ringleaders in a five-firm conspiracy, then all of the firms, including the two leaders, are potentially eligible for leniency. Or, if in a two-firm conspiracy, each firm played a decisive role in the operation of the cartel, both firms may qualify for leniency. In addition, an applicant will not be disqualified under this condition just because it is the largest company in the industry or has the greatest market share if it was not clearly the single organizer or single ringleader of the conspiracy. Wherever possible, the Division has construed or interpreted its program in favor of accepting an applicant into the leniency program in order to provide the maximum amount of incentives and opportunities for companies to come forward and report their illegal activity.

### **Cooperation Obligations**

#### ***15. What are the corporate applicant's cooperation obligations?***

Type A leniency requires that "[t]he corporation reports the wrongdoing with candor and completeness and provides full, continuing and complete cooperation to the Division throughout the investigation." Type B leniency requires that "[t]he corporation reports the wrongdoing with candor and completeness and provides full, continuing and complete cooperation that advances the Division in its investigation." Both Type A and Type B leniency require that "[t]he confession of wrongdoing is truly a corporate act, as opposed to isolated confessions of individual executives or officials." Paragraph #2 of the model corporate conditional leniency letter describes specific cooperation obligations of the applicant, such as provision of documents, information, and materials wherever located; using its best efforts to secure the cooperation of its current directors, officers, and employees;<sup>20</sup> and paying restitution to victims.

### **Production of Attorney-Client or Work-Product Privileged Communications or Documents**

#### ***16. As part of the applicant's cooperation obligations, will the applicant be required to provide communications or documents protected by the attorney-client privilege or work-product doctrine?***

Paragraphs #2 and #4 of the model corporate conditional leniency letter state that the applicant and its directors, officers, and employees are not required to produce communications or documents protected by the attorney-client privilege or work-product doctrine as part of their cooperation. Moreover, as stated in the introductory paragraph of the model leniency letter, the Division does not consider disclosures made by counsel in furtherance of the leniency application to constitute a waiver of the attorney-client privilege or the work-product privilege. While the Division does not require or request

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<sup>20</sup> In specific cases, the Division, in its discretion, may also agree to cover former employees. See discussion at question 19 below.

the production of privileged communications or documents and does not refuse to grant leniency because a corporation has not produced such privileged information, some corporations, after consulting its counsel, have concluded that a voluntary disclosure of privileged communications and/or documents was in the best interest of the corporation.

#### **Effect of Refusal of Individual Executives to Cooperate**

***17. If one or more individual corporate executives refuse to cooperate, will the corporate applicant be barred from leniency on the basis that the confession is no longer a "corporate act" or that the corporation is not providing "full, continuing, and complete" cooperation?***

In order for the confession of wrongdoing to be a "corporate act" and in order for the cooperation to be considered "full, continuing, and complete," the corporation must, in the Division's judgment, be taking all legal, reasonable steps to cooperate with the Division's investigation. The model corporate conditional leniency letter requires the company to use "its best efforts to secure the ongoing, full, and truthful cooperation of [its] directors, officers and employees."<sup>21</sup> If the corporation is unable to secure the full and truthful cooperation of one or more individuals, that would not necessarily prevent the Division from granting the leniency application. However, the number and significance of the individuals who fail to cooperate, and the steps taken by the company to secure their cooperation, would be relevant to the Division's determinations of whether there is a corporate confession, whether the corporation's cooperation is truly "full, continuing, and complete," and whether the Division is receiving the benefit of the bargain if certain key executives are not cooperating. Of course, in such situations, the non-cooperating individuals would lose the protection given to cooperating employees under the corporate conditional leniency letter, and the Division would be free to prosecute such individuals for the antitrust crime and any related offenses.

#### **Definition of Current Employees**

***18. How is "current director, officer, or employee" defined for purposes of the cooperation obligations and leniency protection of the corporate conditional leniency letter?***

Status as a "current director, officer, or employee" is defined at the time the corporate conditional leniency letter is signed. Thus, leniency coverage for individuals who are directors, officers and employees of the applicant at the time the letter is signed will continue even if they leave their employment as long as they satisfy the obligations of the corporate conditional leniency letter.

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<sup>21</sup> Model Corporate Conditional Leniency Letter, paragraph #2(c).

### Coverage of Former Employees

**19. *Can an applicant's former directors, officers, and employees be included in the scope of the conditional leniency letter?***

The Corporate Leniency Policy does not refer to former directors, officers or employees, so the Division is under no obligation to grant leniency to those former representatives. However, the Division has the authority to agree not to prosecute former directors, officers and employees who come forward to cooperate and often reaches such agreements. It is therefore possible, and in many cases advisable, for the applicant to seek to include in the corporate conditional leniency letter protection for former directors, officers or employees or certain named former directors, officers, or employees on the same basis as current ones. The model letter provides optional language for the inclusion of former directors, officers or employees in paragraphs #2(c)-(f), #3, and #4. As noted in footnote 3 of the model corporate conditional leniency letter, whether the Division includes former directors, officers, or employees in the agreement depends on a number of factors, such as whether the applicant is interested in protecting these persons and, most importantly, whether it has the ability to secure the cooperation of key former directors, officers, and employees.

### Restitution

**20. *What is the meaning of the qualifier in the Corporate Leniency Policy that "[w]here possible, the corporation makes restitution to injured parties"?***

There is a strong presumption in favor of requiring restitution in leniency situations. Restitution is excused only where, as a practical matter, it is not possible. Examples of situations in which an applicant might be excused from making restitution include situations where the applicant is in bankruptcy and is prohibited by court order from undertaking additional obligations, or where there was only one victim of the conspiracy and it is now defunct. Another example of a situation where the Division will not require the applicant to pay full restitution is if doing so will substantially jeopardize the organization's continued viability. Paragraph #2(g) of the model letter requires that the applicant make "all reasonable efforts, to the satisfaction of the Antitrust Division, to pay restitution." Thus, the applicant must demonstrate to the Division that it has satisfied its obligation to pay restitution before it will be granted final leniency. Restitution is normally resolved through civil actions with private plaintiffs. Under the Antitrust Criminal Penalty Enhancement and Reform Act of 2004, Pub. L. No. 108-237, Title 2, §§ 211-214, 118 Stat. 661, 666-668, a leniency applicant may qualify for detrebling of damages if the applicant cooperates with plaintiffs in their civil actions while the applicant's former co-conspirators will remain liable for treble damages on a joint and several basis.

### **No Criminal Case**

#### ***21. What are the applicant's restitution obligations if the Division ultimately brings no criminal case?***

In certain cases where a corporation has otherwise met the requirements for leniency and has agreed to pay restitution, the Division may ultimately determine that either (1) the leniency applicant has not engaged in any criminal antitrust conduct or (2) even though the leniency applicant has engaged in criminal antitrust conduct, prosecution of the other conspiracy participants is not justified under the Principles of Federal Prosecution given the weakness of the evidence or other problems with the case. The issue has arisen as to whether, in such cases, the leniency applicant still has to pay restitution as agreed in the corporate conditional leniency letter.

If the Division's investigation ultimately reveals that the leniency applicant has not engaged in any criminal antitrust conduct, the Division will not grant leniency because it is unnecessary. Obligations placed on the applicant by the Leniency Policy or the applicant's conditional leniency letter with the Division no longer apply once the Division determines there is no underlying criminal antitrust conduct. In such cases, the Division will so advise the applicant in writing and the applicant will have no duty to pay restitution. If the leniency applicant has already paid restitution or is in the process of doing so, the applicant must resolve the matter with the recipient. Once the Division decides not to grant leniency, the applicant has no duty toward the Division, nor does the Division have any duty to help "reverse" any steps taken by the applicant to make restitution. Due to the Division's use of a marker system, however, this situation is much less likely to occur today. Through the marker system, the applicant has the opportunity to conduct a thorough internal investigation and the Division has the opportunity to interview key corporate executives before a conditional leniency letter is issued. Thus, any issues regarding whether a criminal antitrust violation occurred should be resolved during the marker stage.

If, on the other hand, the Division concludes that the leniency applicant has engaged in criminal antitrust activity and conditionally grants the leniency application, but later closes the investigation without charging any other entity in the conspiracy, the obligation to pay restitution will remain in effect. In such a case, the Division will notify the leniency applicant and the subjects of the investigation in writing that the investigation has been closed. In such cases, the leniency applicant may withdraw its application if it so chooses, and, if it does, the obligations undertaken by the applicant pursuant to the conditional leniency letter - including the payment of restitution - will no longer be in effect. If the applicant withdraws its application, the Division, for its part, will technically no longer be prohibited from prosecuting the applicant and will not provide any additional assurances of non-prosecution. Again, the Division will not assist in restoring any restitution already paid if the leniency application is withdrawn. Moreover, if the applicant chooses to withdraw its leniency application, it will not qualify for detrebling of civil damages under the Antitrust Criminal Penalty Enhancement and Reform Act of 2004. Also, once an applicant has fulfilled all of the conditions for

leniency and the Division has issued a final leniency letter, the Division does not permit the leniency recipient to withdraw its leniency application.

### **Foreign Parties**

#### ***22. What are the applicant's restitution obligations to foreign parties in international conspiracies?***

The 2008 revisions to the model corporate conditional leniency letter explicitly recognize the holdings of F. Hoffmann-La Roche Ltd. v. Empagran S.A., 542 U.S. 155 (2004) and Empagran S.A. v. F. Hoffmann-La Roche Ltd., 417 F.3d 1267 (D.C. Cir. 2005), that damages for violations of the Sherman Antitrust Act do not include foreign effects independent of and not proximately caused by any adverse domestic effect. Paragraph #2(g) of the model letter now states: "However, Applicant is not required to pay restitution to victims whose antitrust injuries are independent of any effects on United States domestic commerce proximately caused by the anticompetitive activity being reported."

### **Leniency for Corporate Directors, Officers, and Employees**

#### ***23. What are the conditions for leniency protection for the applicant's directors, officers, and employees?***

If a corporation qualifies for Type A leniency, all directors, officers, and employees of the corporation who admit their involvement in the criminal antitrust violation as part of the corporate confession will also receive leniency if they admit their wrongdoing with candor and completeness and continue to assist the Division throughout the investigation. In addition, the applicant's directors, officers, and employees who did not participate in the conspiracy but who had knowledge of the conspiracy and cooperate with the Division are also covered by the conditional leniency letter, as detailed below. If their corporation qualifies for Type B leniency, the Corporate Leniency Policy states that individuals who come forward with the corporation will still be considered for immunity from criminal prosecution on the same basis as if they had approached the Division individually. In practice, however, the Division ordinarily provides leniency to all qualifying current employees of Type B applicants in the same manner that it does for Type A applicants.

Paragraph #4 of the corporate conditional leniency letter details the specific conditions for leniency protection for the applicant's directors, officers, and employees who had knowledge of, or participated in, the anticompetitive activity being reported by the applicant. The conditions are: (1) verification of the applicant's representations in paragraph #1 of the corporate conditional leniency letter; (2) the applicant's full, continuing, and complete cooperation as defined in paragraph #2 of the letter; (3) admission by the pertinent director, officer, or employee of his or her knowledge of, or participation in, the anticompetitive activity being reported; and (4) the individual's full and truthful cooperation with the Division in its investigation of the activity. The specific

cooperation obligations of the individuals are also defined in paragraph #4 of the corporate conditional leniency letter, such as the provision of documents, records and other materials and information; participation in interviews; and the provision of testimony. As noted below, the Division reserves the right to revoke the conditional protections of the corporate conditional leniency letter with respect to any director, officer, or employee who the Division determines caused the corporate applicant to be ineligible for leniency, who continued to participate in the anticompetitive activity being reported after the corporation took action to terminate its participation in the activity and notified the individual to cease his or her participation in the activity, or who obstructed or attempted to obstruct an investigation of the anticompetitive activity at any time, whether the obstruction occurred before or after the date of the corporate conditional leniency letter.<sup>22</sup>

### **III. Criteria under the Leniency Policy for Individuals**

#### ***24. What are the criteria for leniency under the Leniency Policy for Individuals?***

An individual who approaches the Division on his or her own behalf to report illegal antitrust activity may qualify for leniency under the Leniency Policy for Individuals. As with a corporate applicant, an individual leniency applicant is required to admit to his or her participation in a criminal antitrust violation.<sup>23</sup> The individual must not have approached the Division previously as part of a corporate approach seeking leniency for the same conduct. Once a corporation attempts to qualify for leniency under the Corporate Leniency Policy, individuals who come forward and admit their involvement in the criminal antitrust violation as part of the corporate confession will be considered for leniency solely under the provisions of the Corporate Leniency Policy. They may not be considered for leniency under the Leniency Policy for Individuals.

Leniency will be granted to an individual reporting illegal antitrust activity before an investigation has begun if the following three conditions are met.<sup>24</sup>

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<sup>22</sup> See Section V below and Model Corporate Conditional Leniency Letter, paragraph #4.

<sup>23</sup> See also discussion at question 6 above regarding the Division's policy regarding coverage of non-antitrust crimes, which applies to individual leniency applicants as well as to corporate applicants.

<sup>24</sup> As with the model corporate conditional leniency letter, the model individual conditional leniency letter provides that the leniency protection applies to "any act or offense [the applicant] may have committed prior to the date of this letter in connection with the anticompetitive activity being reported." Model Individual Conditional Leniency Letter, paragraph #3. With respect to an individual leniency applicant, if a significant lapse in time occurs between the applicant's termination of his or her participation in the anticompetitive activity being reported and the date the applicant reported the activity to the Division, the Division reserves the right to grant conditional



- (1) At the time the individual comes forward to report the activity, the Division has not received information about the activity being reported from any other source.
- (2) The individual reports the wrongdoing with candor and completeness and provides full, continuing, and complete cooperation to the Division throughout the investigation.
- (3) The individual did not coerce another party to participate in the activity and clearly was not the leader in, or the originator of, the activity.

Any individual who does not qualify for leniency under the individual or corporate leniency policies may still be considered for statutory or informal immunity.

Paragraph #2 of the model individual conditional leniency letter describes specific cooperation obligations of the individual applicant, such as the production of documents, records and other materials and information; participation in interviews; and provision of testimony. As is the case with a corporate applicant, an individual applicant is not required, and will not be asked, to produce communications or documents privileged under the attorney-client privilege or work-product doctrine.<sup>25</sup>

Regarding the leadership condition, an individual leniency applicant is required to represent in his or her leniency letter that, "in connection with the anticompetitive activity being reported, [he/she] did not coerce any other party to participate in the activity and was not the leader in, or the originator of, the activity" in order to establish his or her eligibility for leniency. The applicant bears the burden of proving the accuracy of this representation.<sup>26</sup> As with a corporate applicant, an individual applicant would only be disqualified from obtaining leniency based on leadership role if he or she is clearly the single organizer or single ringleader of a conspiracy. Accordingly, in situations where the conspirators are viewed as co-equals or where there are two or more conspirators that

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leniency only up to the date applicant terminated his or her participation in the activity. Model Individual Conditional Leniency Letter, n.2.

<sup>25</sup> Model Individual Conditional Leniency Letter, paragraph #2(a), (d). Of course, as with a corporate applicant, an individual, after consulting with counsel, may conclude that a voluntary disclosure of privileged communications or documents is in his or her best interest.

<sup>26</sup> Model Individual Conditional Leniency Letter, paragraph #1 ("Applicant agrees that [he/she] bears the burden of proving [his/her] eligibility to receive leniency, including the accuracy of the representations made in this paragraph and that [he/she] fully understands the consequences that might result from a revocation of leniency as explained in paragraph 3 of this Agreement.").

are viewed as leaders or originators, any of the participants may qualify under the Individual Leniency Policy.

#### **IV. The Conditional Leniency Letter**

##### ***25. What is the conditional leniency letter, and why is it conditional?***

The conditional leniency letter is the initial leniency letter given to a leniency applicant. The Division has a model corporate conditional leniency letter and a model individual conditional leniency letter.<sup>27</sup> The initial grant of leniency pursuant to the letters is conditional because a final grant of leniency depends upon the applicant performing certain obligations over the course of the criminal investigation and any resulting prosecution of co-conspirators, such as establishment of its eligibility; its full, truthful and continuing cooperation; and its payment of restitution to victims, as set forth in the letter, and the final grant also depends on the Division verifying the applicant's representations regarding its eligibility. Only those who qualify for leniency should receive its rewards. After all of the applicant's obligations have been satisfied (usually after the investigation and prosecution of co-conspirators have been concluded) and the Division has verified the applicant's representations regarding eligibility, the Division will issue the applicant a final leniency letter confirming that the conditions of the conditional leniency letter have been satisfied and that the leniency application has been granted.

The conditional nature of the leniency initially granted is reflected in the model leniency letters. The introductory paragraph of the model corporate and individual conditional leniency letters states that the agreement "is conditional." Further, the letters state in paragraph #3 that, "[s]ubject to verification of Applicant's representations in paragraph 1 above, and subject to [Applicant's/its] full, continuing, and complete cooperation, as described in paragraph 2 above, the Antitrust Division agrees conditionally to accept Applicant into [Part A/Part B of the Corporate Leniency Program/the Individual Leniency Program]." The letters also state in the introductory paragraph that the agreement "depends upon Applicant (1) establishing that [it/he or she] is eligible for leniency as [it/he or she] represents in paragraph 1 of [the] Agreement, and (2) cooperating in the Antitrust Division's investigation as required by paragraph 2 of [the] Agreement." As noted above, the applicant, as the party seeking leniency, has the burden of establishing its eligibility for leniency.<sup>28</sup> The introductory paragraph further notes that, "[a]fter Applicant establishes that [it/he or she] is eligible to receive leniency and provides the required cooperation, the Antitrust Division will notify Applicant in writing that [it/he or she] has been granted unconditional leniency."

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<sup>27</sup> Both model conditional letters are available at <http://www.justice.gov/atr/public/criminal/leniency.html>.

<sup>28</sup> See *supra* n.15.

Although many of the leniency requirements are fulfilled during the criminal investigation, the Division understands that applicants want assurances up front, even if conditional, that they will receive non-prosecution protection at the conclusion of the investigation if they fulfill the requirements of the leniency program. The Division's conditional leniency letters address that need. In contrast, many voluntary disclosure programs of other prosecuting agencies do not provide any upfront assurances regarding non-prosecution. Thus, the alternative to the conditional letter would be for the Division to give no assurances until the conclusion of the investigation and prosecution of co-conspirators. The conditional leniency letters, however, provide companies and their executives with a transparent and predictable disclosure program, and have been very effective both for the Division in setting forth the requirements of leniency and for applicants in meeting those requirements.

## **V. The Final Leniency Letter**

### ***26. How and when does an applicant receive a final, unconditional leniency letter?***

As noted above and in the model corporate and individual conditional leniency letters, after the applicant "establishes that [it/he/she] is eligible to receive leniency," as represented in paragraph #1 of the conditional leniency letter, "and provides the required cooperation," as set forth in paragraph #2 of the conditional leniency letter, "the Antitrust Division will notify Applicant in writing that [it/he/she] has been granted unconditional leniency."<sup>29</sup> Normally this would occur after the investigation and any resulting prosecutions of the applicant's co-conspirators are completed.

### ***27. Before an applicant is granted final, unconditional leniency, under what circumstances can the Division revoke an applicant's conditional leniency, and will the Division provide the applicant with any advance notice of a staff recommendation to revoke conditional leniency?***

If the Division determines, before it grants an applicant a final, unconditional leniency letter, that the applicant "(1) contrary to [its/his/her] representations in paragraph 1 of [the conditional leniency letter], is not eligible for leniency or (2) has not provided the cooperation required by paragraph 2 of [the conditional leniency letter]," the Division may revoke the applicant's conditional acceptance into the leniency program.<sup>30</sup> Before the Division makes a final determination to revoke a corporate applicant's conditional leniency, it will notify applicant's counsel in writing of staff's recommendation to revoke the leniency and provide counsel with an opportunity to meet with the staff and Office of

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<sup>29</sup> Model Corporate Conditional Leniency Letter, introductory paragraph; Model Individual Conditional Leniency Letter, introductory paragraph.

<sup>30</sup> Model Corporate Conditional Leniency Letter, paragraph #3; Model Individual Conditional Leniency Letter, paragraph #3.

Criminal Enforcement regarding the revocation.<sup>31</sup> During the time that a recommendation to revoke an applicant's leniency is under consideration, the Division will suspend the applicant's obligation to cooperate so that the applicant is not put in the position of continuing to provide evidence that could be used against it should the conditional leniency be revoked. In the history of the Division's leniency program, the Division has revoked only one conditional leniency letter out of the more than 100 conditional leniency letters entered.

**28. *When can an applicant or its employees judicially challenge a Division decision to revoke conditional leniency?***

Paragraph #3 of the model corporate and individual conditional leniency letters states that the applicant "understands that the Antitrust Division's Leniency Program is an exercise of the Division's prosecutorial discretion, and [it/he/she] agrees that [it/he/she] may not, and will not, seek judicial review of any Division decision to revoke [its/his/her] conditional leniency unless and until [it/he/she] has been charged by indictment or information for engaging in the anticompetitive activity being reported." Paragraph #4 of the model corporate conditional leniency letter also notes that "[j]udicial review of any Antitrust Division decision to revoke [an individual's] conditional non-prosecution protection granted [under the corporate conditional leniency letter] is not available unless and until the individual has been charged by indictment or information." The Division's leniency program is an exercise of prosecutorial discretion generally not subject to judicial review. Accordingly, the proper avenue to challenge a revocation of a leniency letter is to raise the letter as a defense post-indictment. Stolt-Nielsen, S.A. v. United States, 442 F.3d 177, 183-187 (3d Cir. 2006).

**29. *If a corporate conditional leniency letter is revoked, what will happen to the protection provided in the letter for the corporation's directors, officers, and employees?***

If the Division revokes a corporation's conditional acceptance into the leniency program, the conditional leniency letter it received "shall be void."<sup>32</sup> Thus, the protection provided to employees pursuant to the letter no longer exists. However, as a matter of prosecutorial discretion, even if the Division revokes a company's conditional leniency letter, the Division will elect not to prosecute individual employees, so long as they had fully cooperated with the Division prior to the revocation and, in the Division's view, were not responsible for the revocation.

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<sup>31</sup> Model Corporate Conditional Leniency Letter, paragraph #3. The individual conditional corporate leniency letter provides this notice will be given absent exigent circumstances, such as risk of flight. Model Individual Conditional Leniency Letter, paragraph #3.

<sup>32</sup> Model Corporate Conditional Leniency Letter, paragraph #3.

**30. Under what circumstances can the protection granted to an individual under a corporate conditional leniency letter be revoked?**

As noted in the model corporate conditional leniency letter, if an director, officer, or employee covered by the leniency letter fails to comply with his or her obligations under the letter, the Division may revoke any conditional leniency, immunity, or non-prosecution granted to the individual under the letter.<sup>33</sup> Also, the Division reserves the right to revoke the conditional non-prosecution protections of the corporate conditional leniency letter with respect to any director, officer, or employee who the Division determines caused the corporate applicant to be ineligible for leniency under paragraph #1 of the corporate conditional leniency letter, who continued to participate in the anticompetitive activity being reported after the corporation took action to terminate its participation in the activity and notified the individual to cease his or her participation in the activity,<sup>34</sup> or who obstructed or attempted to obstruct an investigation of the anticompetitive activity at any time, whether the obstruction occurred before or after the date of the corporate conditional leniency letter.<sup>35</sup>

**31. What notice or process will be given to an individual if the Division is contemplating revoking his or her conditional protections provided in a corporate conditional leniency letter?**

Absent exigent circumstances, such as risk of flight, before the Division makes a final determination to revoke an individual's conditional leniency, immunity, or non-prosecution provided under a corporate conditional leniency letter, it will notify in writing the individual's counsel and the corporate applicant's counsel of staff's recommendation to revoke the protections provided in the letter and provide counsel with an opportunity to meet with the staff and Office of Criminal Enforcement regarding the revocation.<sup>36</sup> During the time that a revocation recommendation is under consideration, the Division will suspend the individual's obligation to cooperate so that the individual is not put in the position of continuing to provide evidence that could be used against him or her should his or her conditional protections be revoked. If the Division revokes

<sup>33</sup> Model Corporate Conditional Leniency Letter, paragraph #4.

<sup>34</sup> Such notice ordinarily is part of the corporation's prompt and effective action to terminate its participation in the anticompetitive activity being reported. It need not be specific to the individual or the individual's particular conduct so long as it reasonably notifies the director, officer, or employee that he or she should not participate in the illegal activity. General instructions or guidance by the corporation not to engage in cartel or illegal conduct generally, made prior to the corporation's discovery of the anticompetitive activity being reported, do not constitute such notice for purposes of this provision.

<sup>35</sup> Model Corporate Conditional Leniency Letter, paragraph #4.

<sup>36</sup> *Id.*

conditional leniency, immunity, or non-prosecution granted to a director, officer, or employee of a corporate applicant, the Division may use against such individual any evidence provided at any time by the corporate applicant, the individual, or other directors, officers, or employees of the applicant.<sup>37</sup>

## **VI. Confidentiality**

### ***32. What confidentiality assurances are given to leniency applicants?***

The Division holds the identity of leniency applicants and the information they provide in strict confidence, much like the treatment afforded to confidential informants. Therefore, the Division does not publicly disclose the identity of a leniency applicant or information provided by the applicant, absent prior disclosure by, or agreement with, the applicant, unless required to do so by court order in connection with litigation.

### ***33. Will the Division disclose information from a leniency applicant to a foreign government?***

The leniency program has been the Division's most effective generator of international cartel prosecutions. Invariably, however, when a company is considering whether to report its involvement in international cartel activity, a concern is raised as to whether the Division will be free to disclose the information to any foreign governments in accordance with its obligations under bilateral antitrust cooperation agreements. As noted above, the Division's policy is to treat the identity of, and information provided by, leniency applicants as a confidential matter, much like the treatment afforded to confidential informants. Moreover, the Division has an interest in maximizing the incentives for companies to come forward and self-report antitrust offenses. In that vein, it would create a strong disincentive to self-report and cooperate if a company believed that its self-reporting would result in investigations in other countries and that its cooperation - in the form of admissions, documents, employee statements, and witness identities - would be provided to foreign authorities pursuant to antitrust cooperation agreements, and then possibly used against the company.

While the Division has been at the forefront in advocacy and actions to enhance international cartel enforcement, and the Division has received substantial assistance from foreign governments in obtaining foreign-located evidence in a number of cases, in the final analysis, the Division's overriding interest in protecting the viability of the leniency program has resulted in a policy of not disclosing to foreign antitrust agencies information obtained from a leniency applicant unless the leniency applicant agrees first to the disclosure. This aspect of the Division's leniency nondisclosure policy will not insulate the leniency applicant from proceedings in other countries. But it will ensure that cooperation provided by a leniency applicant will not be disclosed by the Division to its foreign counterparts pursuant to antitrust cooperation agreements without the prior

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<sup>37</sup> *Id.*

consent of the leniency applicant. The Division first announced this policy in 1999, and it is the Division's understanding that virtually every other jurisdiction that has considered the issue has adopted a similar policy.





# **Exhibit 12**

IN THE UNITED STATES DISTRICT COURT  
FOR THE DISTRICT OF NEW JERSEY  
NEWARK VICINAGE

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IN RE VEHICLE CARRIER  
SERVICES ANTITRUST LITIGATION

Master Docket No.: 13-cv-3306  
(MDL No. 2471)

*This document relates to  
All Direct Purchaser Actions*

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CONSOLIDATED BRIEF OF DEFENDANTS  
IN SUPPORT OF THEIR MOTION TO DISMISS  
THE DIRECT PURCHASERS' COMPLAINT

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**I. PRELIMINARY STATEMENT.**

Defendants Nippon Yusen Kabushiki Kaisha, NYK Line North America, Höegh Autoliners AS, Höegh Autoliners, Inc., Kawasaki Kisen Kaisha, Ltd., K Line America, Inc., Wallenius Wilhelmsen Logistics as, Wallenius Wilhelmsen Logistics America LLC, Compania Sud Americana De Vapores, S.A. CSAV Agency North America, LLC, Eukor Car Carriers, Inc., Mitsui O.S.K. Lines, Mitsui O.S.K. Bulk Shipping (U.S.A.), Inc., Nissan Motor Carrier Co., Ltd., and World Logistics Service (U.S.A.), Inc. (collectively, "defendants") respectfully submit this consolidated brief in support of their motion to dismiss the consolidated amended class action complaint filed by self-claimed direct purchaser plaintiffs Cargo Agents, Inc., International Transport Management, Corp., and Manaco International Forwarders, Inc. (collectively, the "DPPs").

**II. STATEMENT OF RELEVANT FACTS.**

Defendants are ocean shipping companies engaged in the transportation of large numbers of cars, trucks, and other vehicles including agricultural and construction equipment between foreign countries and the United States. Compl. ¶¶ 16-22. Defendants' vehicle carrier services are provided via Roll On/Roll Off ("RO/RO") or specialized car carrier vessels



specifically designed to carry motor vehicles, ranging from passenger cars to trucks. Compl. ¶¶ 26-27.

The DPPs allege they have directly purchased vehicle carrier services into the United States from defendants, and were directly injured as a result. Compl. ¶¶ 13-15, 91. The DPPs also allegedly "include companies that arrange for the international ocean transportation of vehicles." Compl. ¶ 30. The DPPs provide no further allegations concerning what it means to "arrange" such services, nor any supporting facts as to whether and how the DPPs themselves paid for shipping services as part of said arrangement.

The DPPs allege that the defendants entered into various collusive agreements to fix and increase the prices for vehicle carrier services to and from the United States. These include: (i) coordination of price increases, Compl. ¶¶ 62-63; (ii) agreements not to compete and allocation of customers and routes, Compl. ¶¶ 64-65; and (iii) agreements to restrict capacity by means of agreed upon fleet reductions. Compl. ¶¶ 55-61. The DPPs allege that those anticompetitive agreements inflated the prices paid by the DPPs to defendants for vehicle transportation. Compl. ¶¶ 75-82. They also allege that such anticompetitive agreements were not filed with the Federal Maritime Commission ("FMC"), Compl. ¶ 72, and that the FMC did

not approve, modify, or amend the related shipping rates.

Compl. ¶ 74.

The DPPs seek treble damages, under § 4 of the Clayton Act, 15 U.S.C. § 15, allegedly incurred as a result of violation of § 1 of the Sherman Act, 15 U.S.C. § 1, for entering into and engaging in a conspiracy in unreasonable restraint of trade. Compl. ¶¶ 98-107. They also seek injunctive relief under § 16 of the Clayton Act, 15 U.S.C. § 26, prohibiting future violations.

The DPPs' claims should be dismissed because: (1) the claims are expressly barred by the Federal Shipping Act of 1984, 46 U.S.C. § 40307(d) (the "Shipping Act"); (2) the DPPs lack standing to bring the claims; and (3) if the DPPs purchased vehicle carrier services at all, they did so under tariff rates - therefore their claims are barred by the filed rate doctrine.

### **III. ARGUMENT.**

#### **A. THE DPPS' CLAYTON ACT CLAIMS FOR DAMAGES AND INJUNCTIVE RELIEF ARE BARRED BY THE SHIPPING ACT AND MUST BE DISMISSED.**

The DPPs "may not recover damages under section 4 of the Clayton Act . . . or obtain injunctive relief under section 16 of that Act ... for conduct prohibited by" the Shipping Act. 46 U.S.C. § 40307(d). This provision "bars private antitrust lawsuits, providing instead for an administrative Complaint and

review process" before the FMC. A&E Pacific Construction Co. v. Saipan Stevedore Co., 888 F.2d 68, 71 (9th Cir. 1989). The Shipping Act also sets out the relief available to an injured party through the FMC administrative review process. Ibid. (stating that "while no private party may sue for damages or for injunctive relief under the antitrust laws for conduct" prohibited by Shipping Act, FMC is "empowered" to sanction prohibited conduct). In short, the DPPs' allegations arise from conduct prohibited by the Shipping Act. Thus, their antitrust claims for damages and injunctive relief under the Clayton Act must be dismissed for failure to state a claim upon which relief can be granted.

**1. The Shipping Act's bar on private antitrust actions mandates dismissal of the DPPs' claims.**

With the Shipping Act, "Congress removed the private right of action for antitrust violations based on conduct prohibited in the Act." Seawinds Ltd. v. Nedlloyd Lines, B.V., 80 B.R. 181, 184 (N.D. Cal. 1987), aff'd, 846 F.2d 586 (9th Cir. 1988). In doing so, Congress intended to prevent common carriers, such as defendants, from being subject to "remedies and sanctions for the same conduct made unlawful by both the Shipping Act and the antitrust laws." Am. Ass'n of Cruise Passengers, Inc. v. Carnival Cruise Lines, Inc., 911 F.2d 786, 792 (D.C.Cir. 1990) (citing Report of the House Committee on

Merchant Marine and Fisheries, H.R. Rep. No. 98-53, pt. 1, at 12 (1983), reprinted in 1984 U.S.C.C.A.N. 167, 177 (hereinafter, "House Report")). Congress thus designed the Shipping Act to provide the exclusive civil remedy for conduct that violates the Shipping Act. Ibid. (citing House Report at 12, 177); see also House Report at 33, 198 ("[The Shipping Act] also makes a major change in existing law by prohibiting recovery for damages and injunctive relief under the Clayton Act for any conduct prohibited by this Shipping Act."). Under the Shipping Act, antitrust exposure for "secret" unfiled agreements "is limited to injunctive and criminal prosecution by the Attorney General, and does not carry with it any private right of action otherwise available under the antitrust laws." House Report at 12, 177.

In an apparent effort to sidestep the express antitrust immunity conferred by the Shipping Act, the DPPs allege that defendants' agreements were not filed with the FMC and were not in effect during the Class Period. Compl. ¶¶ 72-74.<sup>1</sup> These allegations simply are beside the point. Even

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<sup>1</sup> These allegations are relevant only to the question of whether defendants are entitled to immunity from DOJ prosecution, an issue not presented here. If defendants' alleged agreements were filed and in effect with the FMC or if defendants had a "reasonable basis to conclude" that the alleged conduct was authorized by agreements filed and in effect with the FMC, then the conduct would be entitled to the full antitrust exemption, including immunity from DOJ prosecution. See 46 U.S.C. § 40307(a) (outlining statutory requirements for full antitrust exemption). Defendants reserve the right to

*Continued on Next Page*

accepting the DPPs assertions as true, at most the allegations are relevant only to whether the conduct at issue is permitted or prohibited by the Shipping Act. That distinction may be relevant for outright antitrust immunity under 46 U.S.C.

§ 40307(a) (i.e., immunity from all claims, criminal or civil) - - which defendants are not asserting here -- it is irrelevant to the application of 46 U.S.C. § 40307(d), which expressly precludes private rights of action for conduct "prohibited by" the Shipping Act. Indeed, the DPPs' allegations that defendants' agreements were not filed with the FMC acknowledges the insurmountable obstacle DPPs confront: DPPs allege conduct prohibited by the Shipping Act and, hence, they are barred from seeking relief under the Clayton Act.

Although the plain language of the statute governs, it also is consistent with the legislative history, which makes clear that the statutory bar against private antitrust actions applies with equal force to both filed and unfiled agreements.

46 U.S.C. § 40307(d); House Report at 12, 177.<sup>2</sup> Thus,

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dispute the truth of DPPs' allegations, including in respect of whether defendants were operating under tariffs that were publicly available or service contracts "filed" with the FMC, and reserve all rights concerning any actions asserting violations of the Shipping Act.

<sup>2</sup> "If parties who could avail themselves of antitrust immunity by submitting to regulation under the terms of the Shipping Act of 1983 fail to do so, then their knowing conduct, undertaken without the benefit of an agreement being filed and

*Continued on Next Page*

irrespective of whether defendants' allegedly anticompetitive agreements were public, filed, and effective, to the extent those alleged agreements constitute conduct prohibited by the Shipping Act, the DPPs' claims for damages and injunctive relief under the Clayton Act are barred. Am. Ass'n of Cruise Passengers, supra, 911 F.2d at 792 (dismissing antitrust claims based on alleged concerted refusal to deal, holding that alleged boycott agreement was subject to "the prohibitions and procedures of the Shipping Act, rather than to those of the Clayton Act").

In bringing their claims, the DPPs contravene the language and purpose of the Shipping Act, Am. Ass'n of Cruise Passengers, supra, 911 F.2d at 792 (citing House Report at 12, 177),<sup>3</sup> which exempts defendants from private antitrust actions for the alleged conduct at issue here.

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in effect, will subject them to limited antitrust exposure. The antitrust exposure for these so-called 'secret' agreements is limited to injunctive and criminal prosecution by the Attorney General, and does not carry with it any private right of action otherwise available under the antitrust laws." House Report at 12, 177.

<sup>3</sup> See also Seawinds, supra, 80 B.R. at 184-85 ("It thus appears that Congress intended to clarify shippers' potential liability for conduct previously covered by the antitrust laws, to restrict remedies and sanctions therefor to those enumerated in the 1984 Act.... By removing the courts from this regulatory process, Congress removed the potential for continuing regulatory uncertainty.") (citing House Report).

**2. The DPPs allege conduct prohibited by the Shipping Act.**

Federal courts consistently have dismissed antitrust claims where the alleged conduct is prohibited by the Shipping Act. In Am. Ass'n of Cruise Passengers, supra, the D.C. Circuit addressed a travel agency's claim that a group of cruise lines and trade associations violated federal antitrust laws by engaging in a concerted refusal to deal. 911 F.2d at 787. The court held that the alleged boycott agreement was subject to "the prohibitions and procedures of the Shipping Act, rather than to those of the Clayton Act." Id. at 792. Applying the D.C. Circuit's holding on remand, the district court dismissed all of the plaintiff's antitrust claims regarding defendants' common carriage activities. Am. Ass'n of Cruise Passengers v. Carnival Cruise Lines, Inc., CIV. A. 86-0571 NHJ, 1995 WL 125842, at \*3-4 (D.D.C. Mar. 10, 1995); see also A&E Pacific Construction Co., 888 F.2d at 72 (affirming dismissal of federal antitrust claims where alleged conduct was subject to Shipping Act).

The DPPs' allegations, if true, describe conduct prohibited by the Shipping Act.<sup>4</sup> The DPPs allege that defendants "conspired to allocate customers and markets, to rig bids, to

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<sup>4</sup> Defendants make no admissions regarding the truth of the DPPs allegations and reserve all rights in respect of any actions asserting violations of the Shipping Act.

restrict supply, and otherwise to raise, fix, stabilize, or maintain prices for Vehicle Carrier Services" through several agreements. Compl. ¶¶ 1, 52. These agreements allegedly "restrained, suppressed, or eliminated" competition. Id. at ¶ 79. The DPPs allege that defendants' "anticompetitive agreements . . . were not filed with the Federal Maritime Commission." Id. at ¶ 72. According to the DPPs, defendants' implementation of these alleged unfiled agreements would be in violation of the Shipping Act, which mandates that "an agreement between or among ocean common carriers" to "discuss, fix, or regulate transportation rates" or "control, regulate, or prevent competition in international ocean transportation," 46 U.S.C. § 40301(a), "shall be filed with the Federal Maritime Commission." 46 U.S.C. § 40302(a) (emphasis supplied). Indeed, § 10 of the Shipping Act, titled "Prohibited Acts," prohibits a common carrier from "operat[ing] under" or implementing an agreement to fix transportation rates or prevent competition if the agreement has not been filed with the FMC. 46 U.S.C. § 41102(b) ("A person may not operate under an agreement required to be filed under section 40302 ... if ... the agreement has not become effective[.]").

The DPPs also allege that defendants engaged in bid rigging and customer allocation (Compl. ¶¶ 1, 64), which is conduct prohibited under § 10(c) of the Shipping Act. 46 U.S.C.



§ 41105(6) (prohibiting group of two or more common carriers from, among other things, "allocat[ing] shippers among specific carriers that are parties to the agreement or prohibit[ing] a carrier that is a party to the agreement from soliciting cargo from a particular shipper"). Finally, the DPPs allege that defendants discussed vehicle shipping routes and rates to the detriment of purchasers, who allegedly were forced to pay inflated, supra-competitive prices for vehicle carrier services. Compl. ¶¶ 78, 79(b), 79(d). Section 10(b) of the Shipping Act prohibits such discussions. 46 U.S.C. §§ 41103(a), 41104(10) (prohibiting common carrier from "knowingly disclos[ing], offer[ing], solicit[ing], or receiv[ing] any information concerning the nature" of shipment if information may be used to detriment of shipper and from "unreasonably refus[ing] to deal or negotiate").

Because the conduct the DPPs allege is prohibited by the Shipping Act, that act provides the exclusive set of remedies for the alleged wrongdoing, and commits jurisdiction over remedies to the FMC. The FMC already has exercised its regulatory authority under the Shipping Act to settle alleged violations of the Shipping Act with certain of the defendants, and has collected civil penalties for alleged violations of the Shipping Act, including violations of § 10(a) that took place

over a period of several years.<sup>5</sup> Specifically, the FMC has the authority to hear private complaints and redress "actual injury" through reparations and injunctive relief. 46 U.S.C. §§ 41305, 41306, 41309. Permitting the DPPs to proceed with their claims creates precisely the sort of duplicative actions that Congress sought to avoid. See Am. Ass'n of Cruise Passengers, supra, 911 F.2d at 792 (citing House Report at 12, 177).

Because defendants' alleged conduct -- including operating under unfiled agreements to fix transportation rates and prevent competition in the market for vehicle carrier services -- is prohibited by the Shipping Act, the DPPs' claims for damages and injunctive relief under the federal antitrust laws are barred and must be dismissed.

**B. THE DPPs LACK STANDING.**

**1. The DPPs fail to allege facts establishing standing.**

To have standing to maintain a Sherman Act claim, a plaintiff must allege facts establishing both standing-in-fact - that is, constitutional standing under Article III of the United States Constitution -- and antitrust standing -- under §4 of the Clayton Act. 15 U.S.C. § 15(a). Ethypharm S.A. France

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<sup>5</sup> In 2013 and 2014, the FMC entered into Compromise Agreements with defendants "K" Line, CSAV, NYK and MOL that encompass the conduct at issue in the complaint. See FMC press releases, which are attached hereto as **Exhibit "A"** and are made a part hereof by reference.

v. Abbott Laboratories, 707 F.3d 223, 232-33 (3d Cir. 2013).

Because federal jurisdiction extends only to actual cases and controversies, U.S. Const. art. III, § 2, "a plaintiff must have suffered an 'injury in fact' that is 'distinct and palpable'; the injury must be fairly traceable to the challenged action; and the injury must be likely redressable by a favorable decision." Ross v. Bank of America, 524 F.3d 217, 222 (2d Cir. 2008); see also Lujan v. Defenders of Wildlife, 504 U.S. 555, 560-61, 112 S. Ct. 2130, 2136, 119 L. Ed. 2d 351, 364 (1992). In addition, to establish standing in a class action, "named plaintiffs who represent a class 'must allege and show that they personally have been injured, not that injury has been suffered by other, unidentified members of the class to which they belong and which they purport to represent.'" Simon v. E. Ky. Welfare Rights Org., 426 U.S. 26, 40 n.20, 96 S. Ct. 1917, 1925 n.20, 48 L. Ed. 2d 450, 462 n.20 (1976) (quoting Warth v. Seldin, 422 U.S. 490, 502, 95 S. Ct. 2197, 2207, 45 L. Ed. 2d 343, 357 (1975)).

The DPPs fall far short of meeting their burden to establish standing. They offer only conclusory allegations: that they purchased vehicle carrier services "directly" from one or more defendants, and that they were "directly injured as a result." Compl. ¶¶ 13-15. However, "'naked assertion[s]' devoid of 'further factual enhancement'" do[] not plausibly

establish entitlement to relief[.]” Ashcroft v. Iqbal, 556 U.S. 662, 678, 129 S. Ct. 1937, 1949, 173 L. Ed. 2d 868, 884 (2009) (quoting Bell Atl. Corp. v. Twombly, 550 U.S. 544, 555, 557, 127 S. Ct. 1955, 1965-66, 167 L. Ed. 2d 929, 940-41 (2007)). The paucity of the DPPs’ allegations regarding their purchases and injury is underscored by their admission that they are merely freight forwarders who “arrange[d] for the ocean transportation of vehicles.” Compl. ¶ 30.

In Twombly, supra, the Supreme Court stated that Rule 8 pleading requirements have particular significance in antitrust cases because of the extraordinary costs of discovery and the concomitant concern that the threat of discovery abuses and expenses would cause cost-conscious defendants to settle even anemic and largely groundless cases in the absence of Rule 8’s safeguards. Twombly, supra, 550 U.S. at 557-59, 127 S. Ct. at 1966-67, 167 L. Ed. 2d at 941-43. Denying defendants’ motion to dismiss would subject defendants to unwarranted and expensive antitrust discovery from the DPPs Plaintiffs that lack standing and, in any event, have failed to properly allege it.

**2. The DPPs do not plausibly allege that they purchased vehicle carrier services.**

At a minimum, the DPPs lack standing to bring their damage claims. As the DPPs must recognize, only direct purchasers have standing to bring damages claims under the

federal antitrust laws. Illinois Brick Co. v. Illinois, 431 U.S. 720, 734-35, 97 S. Ct. 2061, 2069-70, 52 L. Ed. 2d 707, 718-19 (1977); see also Warren Gen. Hosp. v. Amgen, Inc., 643 F.3d 77, 96 (3d Cir. 2011) (affirming dismissal of indirect purchaser claim). Although the DPPs offer the conclusory allegation that they "directly purchased Vehicle Carrier Services from one or more defendants," Compl. ¶¶ 13-15, their own contrary admissions and federal law show that the DPPs were not purchasers at all.

The DPPs do not allege that they are cargo owners that shipped their own vehicles; they acknowledge that they merely "arrange for the ocean transportation of vehicles." Compl. ¶ 30. To understand the legal significance of this admission, and why it is fatal to the DPPs standing, it is necessary to understand the three relevant categories of entities involved in the ocean transportation industry. **First**, there are "carriers" -- such as defendants - which operate ships to provide transport services for cargo. 46 U.S.C. §§ 40102(6) and 40102(17). **Then** there are "shippers" - cargo owners that engage the services of carriers to transport their cargo. 46 U.S.C. § 40102(22). **Finally**, there are "ocean transportation intermediaries," which are divided into two-subcategories: non-vessel operating common carriers ("NVOCCs"), which act as carriers even though they do

not operate vessels,<sup>6</sup> and freight forwarders, which dispatch shipments and arrange for space for such shipments on behalf of shippers. 46 U.S.C. §§40102(19), 40102(16), and 40102(18). By admitting that they arrange for transport, the DPPs also perforce have admitted that they are merely agents of the shippers who actually make the purchases, and are not themselves purchasers of vehicle transportation services at all.

No doubt aware of this fatal flaw, the DPPs make no allegations about the nature of their purported purchases or how they paid for them. Indeed, they make no allegation that they acted as anything other than agents for shippers to which defendants issued bills of lading. Tellingly, the DPPs do not allege that they -- as opposed to their clients -- actually paid for the vehicle transportation they "arranged."

Freight forwarders are not purchasers of ocean transportation services. Instead, as explained above and as well-recognized by our courts, freight forwarders serve solely as intermediaries. See, e.g., Prima U.S. Inc. v. Panalpina, Inc., 223 F.3d 126, 129 (2d Cir. 2000) (defining freight forwarder as "travel agent" for cargo); Limited Brands, Inc. v. F.C. (Flying Cargo) Int'l Transp. Ltd., 545 F. Supp. 2d 692, 698 (S.D. Ohio 2008) (holding that entity that acts as agent of shipper in procuring transport by carrier and handling details

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<sup>6</sup> None of the the DPPs claims NVOCC status.

of shipment for fees which shipper paid in addition to freight charges of the carrier is a freight forwarder). . As a matter of federal law, freight forwarders are prohibited from owning any interest in the cargo shipped. 46 C.F.R. §515.42(c). As an intermediary, the freight forwarder is paid a fee for arranging a shipment, but the cargo owner for which the freight forwarder arranges the transport remains the purchaser of the transport services.

The fact that freight forwarders are merely intermediaries, not the actual purchasers of ocean transportation, has long been recognized by our courts, which consistently have held that the shipper -- again, the cargo owner on behalf of which the forwarder arranges the transportation -- is directly liable to the ocean carrier for payment of freight charges regardless of whether the transportation was arranged by a freight forwarder. For example, when a freight forwarder fails to remit to the carrier monies it has received from its shipper for the purpose of paying freight charges, the shipper nevertheless remains liable to the ocean carrier, and must pay the ocean carrier for the transportation services it agreed to purchase. See, e.g., Oak Harbor Freight Lines, Inc. v. Sears Roebuck, & Co., 513 F.3d 949, 959-60 (9th Cir. 2008); Hawkspere Shipping Co., Ltd. v. Intamex, S.A., 330 F.3d 225, 236-37 (4th Cir. 2003); Nat'l

Shipping Co. of Saudi Arabia v. Omni Lines, Inc., 106 F.3d 1544, 1546 (11th Cir. 1997).<sup>7</sup> As one court succinctly noted, "[c]arriers must expect payment will come from the shipper, although it may pass through the forwarder's hands." Strachan Shipping Co. v. Dresser Indus., Inc., 701 F.2d 483, 490 (5th Cir. 1983) (concluding that fact that carrier billed forwarder did not relieve shipper of liability).

The applicable legal paradigm is clear: (a) the ocean carrier is the provider of the ocean transportation services, (b) the shipper is the purchaser of those services with attendant exposure to liability for failure to pay the ocean carrier, and (c) a shipper's decision to employ a freight forwarder does not in any way alter the carrier-shipper relationship. The freight forwarder is nothing more than a mere intermediary between the two principals. Thus, in conceding the obvious -- that they are only arrangers of transportation, that is, freight forwarders -- the DPPs have admitted they are not

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<sup>7</sup> Under a variety of theories, other courts have held that the ocean carrier, rather than the shipper, bears the risk of loss when the freight forwarder fails to remit to the carrier freight monies the forwarder has received from the shipper. See, e.g., Farrell Lines Inc. v. Titan Indus. Corp., 306 F. Supp. 1348, 1351 (S.D.N.Y.), aff'd, 419 F.2d 835 (2d Cir. 1969) (holding that carrier is estopped from seeking payment from shipper based on default by freight forwarder or other third party when bill of lading is marked "prepaid"). The salient point is that, no matter where the default in payment for shipping services occurs, the freight forwarder is not held liable to the carrier, demonstrating plainly that a freight forwarder is not a purchaser of ocean transportation services.



direct purchasers, indirect purchasers or, for that matter, purchasers of any kind, thereby fatally undermining their standing in this case.

**3.   The DPPs have failed to allege that they were  
     harmed by the alleged conspiracy.**

Even if the DPPs did purchase vehicle transportation from one or more defendants -- and, as shown, they have not alleged that they did -- the DPPs nevertheless also fail to plead sufficient facts to link their claimed purchases with the anticompetitive conduct alleged in the complaint. Compl. ¶ 30. There is no allegation in the complaint that the DPPs arranged for the shipment of any vehicles that were the subject of the alleged price fixing, customer allocation or route allocation, much less that any of the alleged anticompetitive acts affected vehicles for which the DPPs arranged shipment or paid for vehicle transportation. Compl. ¶¶ 62-65.

Notably, the allegations of anticompetitive conduct in the complaint refer largely if not entirely to the transportation of original equipment manufacturer or "OEM" vehicles, i.e., newly manufactured vehicles shipped by manufacturers such as Ford, General Motors, Chrysler, Honda, Toyota, etc. Compl. ¶¶ 62-64. These manufacturers ship large volumes of cargo and have considerable expertise in transportation issues. Accordingly, they deal directly with the

ocean carrier(s) of their choosing. Freight forwarders in the RO/Ro or specialized car carrier industry usually arrange for the transportation of commodities shipped in smaller volumes by smaller customers, such as used or privately owned autos, or used high and heavy cargo such as front-end loaders. The DPPs have consciously avoided alleging (1) whether the companies for which they arranged shipping were OEMs; (2) whether the vehicles they arranged to ship were new or used; or (3) on what routes the shipping they allegedly arranged took place. The absence of those core allegations underscores the DPPs' failure to adequately allege that they have standing.

In Precision Associates, Inc. v. Panalpina World Transport (Holding) Ltd., No. 08-CV-42, 2011 WL 7053807 (E.D.N.Y. Jan. 4, 2011), adopted, 2012 WL 3307486 (E.D.N.Y. Aug. 13, 2012), shippers of goods alleged that freight forwarders colluded in fixing the amount of surcharges assessed on "United States Freight Forwarding Services" on routes to and from and within the United States. The complaint alleged that the plaintiffs had purchased United States Freight Forwarding Services from one or more of the defendants and had been injured by reason of the antitrust violations by paying inflated prices for such services.

The complaint failed to allege, however, that the plaintiffs purchased United States Freight Forwarding Services

from the defendants on the routes to which the surcharges pertained, or that the plaintiffs actually paid any of the collusively fixed surcharges. The court dismissed the plaintiffs' claims for lack of standing, reasoning that:

The basis for the plaintiffs' claim of injury to their "business and property" in all of their claims, ... is not that they paid the fixed surcharges, but that the imposition of those surcharges on some air cargo routes somehow resulted in inflated prices for all "U.S. Freight Forwarding Services." .... The Complaint, however, includes no allegations to support or lead to the conclusion that the imposition of surcharges on specific routes had such a dramatic effect on the broad and diverse market for U.S. Freight Forwarding Services. Even if harm to the United States market generally could be the kind of injury the antitrust laws were intended to address, the plaintiffs' failure to "specifically articulate any of the links in this causal chain" is fatal to their standing argument.

Precision Associates, 2011 WL 7053807 at \*13. See also Arista Records, LLC v. Lime Group LLC, 532 F. Supp. 2d 556, 567-71 (S.D.N.Y. 2007); de Atucha v. Commodity Exch., Inc., 608 F. Supp. 510, 516 (S.D.N.Y. 1985).

Precision Associates is on "all fours" with this case. As in Precision Associates, the DPPs here do not allege that they purchased vehicle carrier services on routes that were the subject of the collusive agreements alleged in the complaint, or that the DPPs were among the customers to which the collusive agreements pertained, or that the DPPs arranged to ship the

vehicles which were the subject of the alleged collusive conduct. Instead, repeating the flaw deemed fatal in Precision Associates, the complaint alleges only that defendants allocated customers and routes and fixed prices. Compl. ¶¶ 62-65. Absent some plausible, specific allegation of a link between defendants' alleged conduct and the DPPs' purported injury, the complaint fails for lack of standing.

**C.     THE DPPs' CLAIMS MUST BE DISMISSED PURSUANT TO  
THE FILED RATE DOCTRINE.**

As set forth above, the Shipping Act prohibits the DPPs from maintaining this private federal antitrust action for damages and injunctive relief. On this ground alone, the DPPs' complaint must be dismissed. Even assuming, contrary to law, that the Shipping Act does not bar this action, then the filed rate doctrine bars the DPPs' action because the filed rate doctrine bars private antitrust actions from being maintained to overturn or otherwise challenge, filed rates within the purview of a regulatory agency, even if those rates resulted from alleged collusive agreements.

The gravamen of the DPPs' claims is that they paid a conspiratorially inflated price as alleged direct purchasers of vehicle carrier services. Compl. ¶ 11. Even assuming arguendo that the DPPs have sufficiently pled they purchased ocean shipping services -- those "purchases" were at published tariff

rates, and the DPPs claims are barred by the filed rate doctrine. Keogh v. Chicago & N.W. Ry. Co., 260 U.S. 156, 43 S. Ct. 47, 67 L. Ed. 183 (1922).<sup>8</sup>

In Keogh, the plaintiff/shipper alleged that the railroad defendants formed an unlawful price-fixing conspiracy in filing railway tariff rates with the Interstate Commerce Commission ("ICC").<sup>9</sup> The Supreme Court held that no antitrust remedy could be imposed against a carrier who charged its filed rates, even if those rates were arrived at via an illegal price-fixing conspiracy. Keogh, 260 U.S. at 163.

The Third Circuit recently recognized that the filed rate doctrine applies whenever tariffs have been filed and has endorsed the First Circuit's holding that "the filed rate doctrine only requires rates to be filed, not affirmatively approved or scrutinized. See Town of Norwood v. New Eng. Power Co., 202 F.3d 408, 419 (1st Cir. 2000)." McCray v. Fid. Nat'l Title Ins. Co., 682 F.3d 229, 238-39 (3d Cir. 2012). The Third

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<sup>8</sup> In addition to published tariff rates, the Shipping Act authorizes individual rates in service contracts and unpublished tariffs for exempt cargo. This motion does not address the applicability of the filed rate doctrine to these other types of rates because it is believed that the three named DPPs could only have purchased vehicle carrier services pursuant to published tariff rates.

<sup>9</sup> The Shipping Act was modeled after the Interstate Commerce Act, and courts have given the two acts "like interpretation, application and effect." U.S. Navigation Co. v. Cunard S.S. Co., 284 U.S. 474, 481, 52 S. Ct. 247, 249, 76 L. Ed. 408, 412 (1932).

Circuit has also made clear that the application of the filed rate doctrine applies broadly to filed rates within an agency's regulatory purview and does not require that the agency engage in a meaningful review or approval of the rates. McCray, supra, 682 F.2d at 238; accord In re New Jersey Title Ins. Litigation, 683 F.3d 451, 459 (3d Cir. 2012). See also IA AREEDA & HOVENKAMP, ANTITRUST LAW ¶ 247a, at 443 (4th ed. 2013) ("[The rate] need not have been actively reviewed for accuracy or public interest considerations - indeed, it need not have been reviewed at all in any meaningful sense.").

As ocean common carriers subject to the Shipping Act, defendants are required since the 1998 Ocean Shipping Reform Act ("OSRA") to publish their tariffs electronically, and to adhere to the terms of those tariffs; and the FMC retains the same regulatory and enforcement authority over the published tariffs. 144 Cong. Rec. S11297-03, 1998 WL 673033 (indicating that OSRA will "retain common carrier tariff publication and enforcement while eliminating the requirement to file tariffs with the government"); 46 U.S.C. § 41104(2)(A). In an analogous case G. & T. Terminal Packaging Co. v. Consolidated Rail Corp., 830 F.2d 1230, 1234, 1235 (3d Cir. 1987), the Third Circuit rejected the argument that an exemption from filing deprived the rates established by railroads of their efficacy and opened the rates to be challenged or set aside on common law, constitutional, or

other grounds. Id. at 1234-35. Numerous precedent have applied the filed rate doctrine to unfiled rates. See, e.g., Texas Commercial Energy v. TXU Energy, Inc., 413 F.3d 503, 509-10 (5th Cir. 2005) (barring claims where rates were not technically "filed," because "FERC had waived many [rate-filing] requirements" over rates in question); Utilimax.com, Inc. v. PPL Energy Plus, LLC, 378 F.3d 303, 306 (3d Cir. 2004) (affirming application of filed rate doctrine to utility without strict rate filing requirement).<sup>10</sup>

Moreover, although the Third Circuit does not require meaningful agency regulation of rates for the filed rate doctrine to apply, the FMC in fact does exercise meaningful regulation of published tariff rates. The statutory tariff provisions direct the FMC to enforce and regulate published tariffs, including: prohibitions against charging less than the tariff rate (§ 41104(1)); prohibitions against providing service not in accordance with the rates, charges, rules, and practices contained in the tariffs (§§ 41104(2)(a)); prohibitions on anticompetitive actions, including service which is "unfair or unjustly discriminatory" or otherwise "unreasonable" for service pursuant to a tariff (§§ 41104(4,8)); and FMC review of

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<sup>10</sup> The DPPs make no allegations that the Defendants failed to publish their tariffs as required by the Shipping Act. Instead, the DPPs allege that allegedly collusive agreements were not filed with the FMC which allegations are irrelevant to the applicability of the filed rate doctrine [Compl. ¶¶ 72-74].

published tariffs and the contents thereof (§ 40501(a)(b)). The FMC has the authority, upon its own initiative, to investigate violations, receive complaints, direct the payment of reparations, and assess civil penalties (§§ 41301(a), 41302, 41305, 41109), and may suspend tariffs (§ 41108).

In re Ocean Shipping Antitrust Litigation, 500 F. Supp. 1235 (S.D.N.Y. 1980), a 1980 case applying the Southern District's then view of the filed rate doctrine, erroneously treats the filed rate doctrine as part of antitrust immunity, and holds that the filing of tariff rates under the Shipping Act did not create antitrust immunity for the tariff rates. As the Supreme Court explained in its subsequent Square D decision:

We disagree, however, with petitioners' view that the issue in *Keogh* and in this case is properly characterized as an "immunity" question. The alleged collective activities of the defendants in both cases were subject to scrutiny under the antitrust laws by the Government and to possible criminal sanctions or equitable relief. *Keogh* simply held that an award of treble damages is not an available remedy for a private shipper claiming that the rate submitted to, and approved by, the ICC was the product of an antitrust violation. Such a holding is far different from the creation of an antitrust immunity, and makes the challenge to *Keogh's* role in the settled law of this area still more doubtful.

Square D Co. v. Niagara Frontier Tariff Bureau, Inc., 476 U.S. 409, 422, 106 S.Ct. 1922, 1929-30, 90 L.Ed.2d 413, 425 (1986).



In any event, Ocean Shipping's apparent requirement of aggressive agency exercise of review power conflicts with the filed rate doctrine established in more recent Third Circuit decisions under which meaningful agency review is not required. See McCray, supra; In re New Jersey Title Ins. Litig., supra. Additionally, Ocean Shipping recognized that the FMC exerts some authority over tariffs, which clearly meets the requirements for application of the filed rate doctrine in the Third Circuit. Ibid.

The filed rate doctrine bars the DPPs' claims arising from purchases of vehicle carrier services under published tariff rates. Because the DPPs did not and could not purchase any vehicle carrier services other than through published tariffs -- which then triggers the filed rate doctrine -- the complaint should be dismissed.

#### IV. CONCLUSION.

For the aforementioned reasons, the complaint should be dismissed.

Dated: October 13, 2014

Respectfully submitted,

/s/ John R. Fornaciari

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# **EXHIBIT "A"**



# FEDERAL MARITIME COMMISSION

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the benefit of exporters, importers, and the American consumer.

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## The Federal Maritime Commission Newsroom

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### Two Car Carriers Pay \$2.3 Million in Penalties

December 23, 2013

NR 13-19

Contact: Karen V. Gregory, Secretary (202) 523-5725 

The Federal Maritime Commission announced compromise agreements reached with two common carriers operating pure car carriers (PCCs) and roll on/roll off (RO/RO) vessels in U.S. inbound and outbound trades. Under these separate agreements, Kawasaki Kisen Kaisha Ltd. (K Line), paid \$1,100,000 in civil penalties and Nippon Yusen Kaisha (NYK Line), paid \$1,225,000 in penalties. Both carriers are headquartered in Tokyo, Japan, and operate diverse fleets trading in the U.S.-foreign trades and globally.

The compromise agreements resolved allegations that K Line and NYK Line violated provisions of the Shipping Act, including section 10(a) of the Shipping Act, 46 U.S.C. § 41102(b), by acting in concert with other ocean common carriers with respect to the shipment of automobiles and other motorized vehicles by RO/RO or specialized car carrier vessels, where such agreement(s) had not been filed with the Commission or become effective under the Shipping Act. The compromise agreements also addressed related activities and violations. Commission staff alleged that these practices persisted over a period of several years and involved numerous U.S. trade lanes, including from and/or to the Far East, Europe, the Middle East and South America.

Chairman Mario Cordero stated: "These penalties underscore the seriousness with which the Commission views the carriers' obligation to file with the Commission any agreement with other carriers affecting working relationships in the U.S. trades, both for import and export traffic. The shipping public has a right to know the subject matter and scope of any such agreement, and the Commission is charged by Congress to oversee the parties' operations and conduct under such agreements. Investigations by our Bureau of Enforcement as to additional carriers implicated in similar agreement activities are continuing at this time."

In concluding the compromise agreements, K Line and NYK Line agreed to provide ongoing cooperation with other Commission investigations or enforcement actions with respect to these types of activities. The carriers did not admit to violations of the Act or the Commission's regulations. Staff attorneys with the Commission's Bureau of Enforcement negotiated the compromise agreements.

*The Federal Maritime Commission (FMC) is the independent federal agency responsible for regulating the nation's international ocean transportation for the benefit of exporters, importers, and the American consumer. The FMC's mission is to foster a fair, efficient, and reliable international ocean transportation system while protecting the public from unfair and deceptive practices.*

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# FEDERAL MARITIME COMMISSION

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## The Federal Maritime Commission Newsroom

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### Mitsui O.S.K. Lines and Affiliate Pay \$1.275 Million Penalty

February 12, 2014

NR 14-01

Contact: Karen V. Gregory, Secretary (202) 523-5725

The Federal Maritime Commission announced a compromise agreement reached with Mitsui O.S.K. Lines Ltd. (MOL) and its corporate affiliate, Nissan Motor Car Carrier Co. (NMCC). Mitsui O.S.K. Lines Ltd., is a vessel-operating common carrier based in Japan. As a separate line of commerce, MOL and NMCC operate pure car carriers (PCCs) and roll on/roll off (RO/RO) vessels in U.S. inbound and outbound trades. Under the agreement, MOL agreed to pay \$1,275,000 in penalties.

The compromise agreement resolved allegations that MOL and NMCC violated section 10(a) of the Shipping Act, 46 U.S.C. § 41102(b), by acting in concert with other ocean common carriers with respect to the shipment of automobiles and other motorized vehicles by RO/RO or specialized car carrier vessels, where such agreement(s) had not been filed with the Commission or become effective under the Shipping Act. The compromise also addressed related activities and violations arising under such carrier agreements. Commission staff alleged that these practices persisted over a period of several years and involved numerous U.S. trade lanes.

Federal Maritime Commission Chairman Mario Cordero stated: "This is the second public announcement in recent months of Commission enforcement action against parties who fail to file carrier agreements. We take seriously our statutory responsibility under the Shipping Act to protect the shipping public and to ensure that agreements affecting carrier working relationships in the U.S. trades are properly filed and reviewed by the Commission."

In concluding the compromise, MOL and NMCC agreed to provide ongoing cooperation with other Commission investigations or enforcement actions with respect to these activities. The carriers did not admit to violations of the Shipping Act. Staff attorneys with the Commission's Bureau of Enforcement negotiated the compromise agreement.

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# FEDERAL MARITIME COMMISSION

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## The Federal Maritime Commission Newsroom

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### CSAV Pays \$625,000 Civil Penalty

March 5, 2014

NR 14-02

Contact: Karen V. Gregory, Secretary (202-523-5725) 

The Federal Maritime Commission announced a compromise agreement reached with Compania Sud Americana de Vapores S.A. (CSAV). CSAV is a vessel-operating common carrier based in Valparaiso, Chile. As a separate line of business, CSAV operates roll on/roll off (RO/RO) vessels in U.S. inbound and outbound trades.

Under the compromise agreement, CSAV agreed to pay a \$625,000 civil penalty to resolve allegations that it violated the Shipping Act by acting in concert with other ocean common carriers under unfiled agreements involving shipments of automobiles and other motorized vehicles on RO/RO or specialized car carrier vessels in various U.S. import and export trades. These agreements had not been filed with the Commission or become effective under the Shipping Act in violation of Section 10(a) of the Shipping Act, 46 U.S.C. § 41102(b). The compromise also addressed related activities and violations arising under such carrier agreements. Commission staff alleged that these practices persisted over a period of several years and involved numerous U.S. trade lanes.

In concluding the compromise, CSAV agreed to provide ongoing cooperation with other Commission investigations or enforcement actions with respect to these activities. CSAV did not admit to violations of the Shipping Act.

Federal Maritime Commission Chairman Mario Cordero stated: "The Shipping Act mandates that the Commission take responsible actions to protect the shipping public. Carriers who fail to properly file with the Commission their agreements affecting carrier working relationships in the U.S. trades are made liable for significant civil penalties, no matter the size of the trade or the market share of the carrier involved."

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**CERTIFICATE OF SERVICE**

I hereby certify that on October 13, 2014, the foregoing Defendants' Notice of Motion to Dismiss Direct Purchaser Consolidated Amended Class Action Complaint, accompanying Brief in Support and Proposed Order was served by electronic mail upon the Direct Purchaser Interim Co-Lead Counsel:

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/s/ *John R. Fornaciari*  
\_\_\_\_\_  
John R. Fornaciari

# **Exhibit 13**

## **COMPROMISE AGREEMENT**

FMC File No. 17098

This Agreement is entered into between:

- (1) The Federal Maritime Commission, hereinafter referred to as Commission, and
- (2) Kawasaki Kisen Kaisha, Ltd., hereinafter referred to as Respondent or "K" Line.

WHEREAS, the Commission is considering the initiation of an assessment proceeding against Respondent for the recovery of civil penalties for alleged violations of section 10(a) of the Shipping Act of 1984 ("Shipping Act"), 46 U.S.C. § 41102(b); section 10(b)(10) of the Shipping Act, 46 U.S.C. § 41104(10); section 10(b)(13) of the Shipping Act, 46 U.S.C. § 41103(a); and section 10(c) of the Shipping Act, 46 U.S.C. § 41105; and

WHEREAS, such a proceeding would be based on the Commission's position that Respondent, acting individually or through its agent "K" Line America, Inc., engaged in certain practices in violation of the Shipping Act, to wit:

Between at least August 30, 2008 and September 6, 2012, "K" Line knowingly and willfully violated section 10(a) of the Shipping Act, 46 U.S.C. § 41102(b), by acting in concert with other ocean common carriers to operate under an agreement(s) with respect to the shipment of automobiles and other motorized vehicles by RO/RO or specialized car carrier vessels in various U.S. import and export trades, where such agreement(s) have not been filed with the Commission or become effective under the Shipping Act and in certain respects in violation of sections 10(b)(10), 10(b)(13), and 10(c) of the Act (46 U.S.C. § 41104(10), 46 U.S.C. § 41103(a), and 46 U.S.C. § 41105, respectively).

WHEREAS, the Commission is authorized under section 13(c) of the Shipping Act, 46 U.S.C. § 41109(a), and Subpart W of the Commission's Rules of Practice and Procedure, 46 C.F.R. § 502.604, et seq. to compromise and collect civil penalties arising for the alleged

violations set forth and described above; and

WHEREAS, Respondent has terminated the practices which are the basis of the alleged violations set forth herein, and has instituted and commits to maintaining measures designed to eliminate such practices in the future; and

WHEREAS, Respondent has cooperated and disclosed to the Commission information and factual details relevant to its transportation activities and practices with respect to the shipment of automobiles and motorized vehicles by RO/RO or specialized car carrier vessels in certain inbound trades to the United States, and in certain outbound trades from United States ports to foreign ports and points; and

WHEREAS, Respondent has agreed to cooperate with respect to investigative activity or enforcement action conducted by the Commission regarding the transportation activities identified by the Commission or disclosed by Respondent giving rise to the alleged violations herein.

NOW THEREFORE, in consideration of the premises herein, and in compromise of all civil penalties arising from the alleged violations set forth and described herein, Respondent and the Commission hereby agree upon the following terms of settlement:

1. Respondent shall make payment to the Commission by wire transfer or cashier's check in the total amount of \$1,100,000.00 on or before August 29, 2013.
2. This instrument shall forever bar the commencement or institution of any assessment proceeding or other claim for recovery of civil penalties from Respondent, its officers, directors, employees, or agents (including its subsidiary "K" Line America, Inc.) arising from the alleged violations set forth above that occurred between at least August 30, 2008 and September 6, 2012.

3. "K" Line agrees to cooperate in good faith with the further efforts of the Commission to investigate and prosecute other carriers operating RO/RO or specialized car carrier vessels in U.S. import and export trades for violations of the Shipping Act described above, as follows:
- a) "K" Line counsel agree to meet in person with Bureau of Enforcement ("BOE") attorneys upon reasonable notice and provide at that meeting a reasonably detailed description (or update if previously furnished) of the principal facts furnished to the U.S. Department of Justice in response to subpoenas or otherwise that are relevant to the conduct at issue, including the times, places and participants with respect to any communications or meetings relevant to such conduct. To the extent BOE has follow-up questions to this meeting, "K" Line counsel shall endeavor to answer such questions. In addition, "K" Line counsel will meet or confer with BOE upon request as necessary to support BOE's prosecution against other carriers relating to the conduct at issue herein.
  - b) Subject to paragraph d) below, at BOE's request, "K" Line shall make available at "K" Line's expense, at a location on which the parties shall agree and upon reasonable notice, for depositions, or interviews if appropriate: (i) any current directors, officers and employees of "K" Line who have been interviewed by the U.S. Department of Justice, the European Commission or the Japan Fair Trade Commission relating to the conduct at issue herein, and (ii) any additional current employees who BOE, acting in consultation with "K" Line counsel, reasonably believes to have knowledge relating to the conduct at issue herein.
  - c) Subject to paragraph d) below, at BOE's request, "K" Line shall make available at "K" Line's expense and upon reasonable notice, for testimony at a hearing before the

Commission: (i) any current directors, officers and employees of “K” Line who have been interviewed by the U.S. Department of Justice, the European Commission or the Japan Fair Trade Commission relating to the conduct at issue herein, and (ii) any additional current employees who BOE, acting in consultation with “K” Line counsel, reasonably believes to have knowledge relating to the conduct at issue herein.

d) With regard to any current directors, officers and employees of “K” Line who have retained counsel or confirmed an intention to assert any rights against self-incrimination, “K” Line agrees to use its best efforts to obtain the cooperation of such individuals, but in no event shall “K” Line be obligated to make such individuals available to BOE for interviews, declarations, depositions or at trial. Any such failure or inability shall not be deemed a breach of “K” Line’s agreement to cooperate with BOE.

e) At BOE’s request, “K” Line shall, to the extent not previously furnished under this Agreement, produce to BOE: (i) copies of documents furnished to the U.S. Department of Justice relating to the conduct at issue herein, produced in the same format as furnished to the U.S. Department of Justice; (ii) copies of any other documents in the possession of “K” Line counsel that are responsive to reasonable and specific requests made by BOE regarding any other matter relevant to the conduct at issue herein. “K” Line may withhold production of any document(s) otherwise subject to production pursuant to this subparagraph if the production would prejudice “K” Line’s interests in connection with any investigation conducted by the U.S. Department of Justice or antitrust or competition regulators in any other jurisdiction, provided, however, that “K” Line shall produce any such relevant withheld document within 60 days of completing such investigation conducted by the U.S. Department of Justice or regulators in any other jurisdiction. If

any documents were kept any time in an electronically searchable format, they shall be produced to BOE in such format. Counsel for the parties shall agree to reasonable custodial and search-term limitations on the document-production obligations enumerated in this subparagraph.

f) Subject to paragraph d) above, at BOE's request, "K" Line shall produce at trial or deposition, up to three representatives of "K" Line's choice qualified to establish for admission into evidence any of those documents produced pursuant to this Agreement. "K" Line agrees to produce at trial or deposition, or through affidavits or declarations, additional representatives of "K" Line's choice for the purposes described in this subparagraph, provided such additional representatives are reasonably necessary to BOE's prosecution of the conduct at issue herein.

g) All disclosures, cooperation and documents provided to BOE under this Agreement:

- (i) shall be used only in connection with BOE's prosecution of other carriers operating RO/RO or specialized car carrier vessels in U.S. import and export trades for violations of the Shipping Act;
- (ii) shall not be used directly or indirectly for any other purpose; and
- (iii) subject to subparagraph (i) above, may not be disclosed by BOE to any third parties, except pursuant to valid legal order issued by a tribunal with appropriate jurisdiction to issue and enforce such order. In the event discovery of such disclosures, cooperation and documents provided to BOE is sought in any jurisdiction, BOE agrees to use its best efforts to assist "K" Line in opposing the disclosure by BOE of such materials, including but not limited to assisting in pleadings, providing affidavits or declarations, and court appearances.

4. Respondent's obligations to cooperate under this Agreement are ongoing and shall

continue until the later of the expiration of the statute of limitations for the Shipping Act violations described herein, or the issuance of a non-appealable final judgment in an enforcement action by the Commission against an ocean carrier based on information disclosed to the Commission by "K" Line.

5. It is expressly understood that this Agreement is not itself, and is not to be construed as, an admission by Respondent to the alleged violations set forth above.
6. Nothing in this agreement shall be construed to grant immunity pursuant to 46 U.S.C. § 40307(a) with respect to violations of the antitrust laws of the United States or any foreign nation, nor to address any carrier agreements or disclosure obligations with respect to trades not originating or discharging cargo at a U.S. port.
7. Where written notice to "K" Line counsel is required in this Agreement, such notice shall be provided to John P. Meade, Esq., 6009 Bethlehem Road, Preston, MD 21655, or such other counsel as "K" Line shall designate in writing to the Commission.
8. This agreement is subject to approval by the Commission's Managing Director in accordance with 46 C.F.R. § 502.604.

**Kawasaki Kisen Kaisha, Ltd.**

Signature: 

Printed Name: Takashi Saeki

Title: Vice President and Representative Director

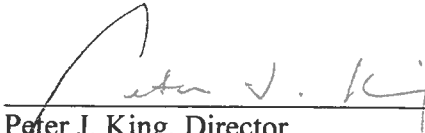
Date: Aug 17 / 2013



**APPROVAL AND ACCEPTANCE**

The above Terms and Conditions and Amount of Consideration are hereby approved and accepted:

By the Federal Maritime Commission:

  
Peter J. King, Director (Date) 8/13/2013  
Bureau of Enforcement

  
Vern W. Hill (Date) 8/13/13  
Managing Director

# **Exhibit 14**

**COMPROMISE AGREEMENT**  
FMC File No. 17098(1)

This Agreement is entered into between:

- (1) The Federal Maritime Commission, hereinafter referred to as Commission, and
- (2) Nippon Yusen Kaisha, (also known as Nippon Yusen Kabushiki Kaisha) hereinafter referred to as Respondent or NYK Line.

WHEREAS, the Commission is considering the initiation of an assessment proceeding against Respondent for the recovery of civil penalties for alleged violations of section 10(a) of the Shipping Act of 1984 ("Shipping Act"), 46 U.S.C. § 41102(b); section 10(b)(10) of the Shipping Act, 46 U.S.C. § 41104(10); section 10(b)(13) of the Shipping Act, 46 U.S.C. § 41103(a); and section 10(c) of the Shipping Act, 46 U.S.C. § 41105; and

WHEREAS, such a proceeding would be based on the Commission's position that Respondent, acting individually or through its agent, NYK Line (North America) Inc., engaged in certain practices in violation of the Shipping Act, to wit:

Between at least August 30, 2008 and September 6, 2012, NYK Line knowingly and willfully violated section 10(a) of the Shipping Act, 46 U.S.C. § 41102(b), by acting in concert with other ocean common carriers to operate under an agreement(s) with respect to the shipment of automobiles and other motorized vehicles by RO/RO or specialized car carrier vessels in various U.S. import and export trades, where such agreement(s) have not been filed with the Commission or become effective under the Shipping Act and in certain respects in violation of sections 10(b)(10), 10(b)(13), and 10(c) of the Act (46 U.S.C. § 41104(10), 46 U.S.C. § 41103(a), and 46 U.S.C. § 41105, respectively).

WHEREAS, NYK Line does not admit that it has violated the Shipping Act; and

WHEREAS, the Commission is authorized under section 13(c) of the Shipping Act, 46 U.S.C. § 41109(a), and Subpart W of the Commission's Rules of Practice and Procedure, 46

C.F.R. § 502.604, et seq. to compromise and collect civil penalties arising for the alleged violations set forth and described above; and

WHEREAS, Respondent has terminated the practices which are the basis of the alleged violations set forth herein, and has instituted and commits to maintaining measures designed to eliminate such practices in the future; and

WHEREAS, Respondent has cooperated and disclosed to the Commission information and factual details relevant to its transportation activities and practices with respect to the shipment of automobiles and motorized vehicles by RO/RO or specialized car carrier vessels in the inbound trades to the United States, and in the outbound trades from the United States ports to, foreign ports and points; and

WHEREAS, Respondent has agreed to cooperate with respect to investigative activity or enforcement action conducted by the Commission regarding the transportation activities identified by the Commission or disclosed by Respondent giving rise to the alleged violations herein.

NOW THEREFORE, in consideration of the premises herein, and in compromise of all civil penalties arising from the alleged violations set forth and described herein, Respondent and the Commission hereby agree upon the following terms of settlement:

1. Respondent shall make payment to the Commission by wire transfer or cashier's check in the total amount of One Million Two Hundred Twenty Five Thousand U.S. Dollars (\$1,225,000.00 USD) on or before September 30, 2013.
2. This instrument shall forever bar the commencement or institution by the Commission of any assessment proceeding or other claim for recovery of civil penalties from Respondent, its officers, directors, employees, or agents (including its subsidiary NYK

Line (North America) Inc.) for any conduct giving rise to the alleged violations set forth above, that occurred between at least August 30, 2008 and September 6, 2012.

3. NYK Line agrees to cooperate in good faith with the further efforts of the Commission to investigate and prosecute other carriers operating RO/RO or specialized car carrier vessels in U.S. import and export trades for the alleged violations of the Shipping Act described above, as follows:

- a) NYK Line agrees to direct and authorize its legal counsel to meet in person with Bureau of Enforcement ("BOE") attorneys upon reasonable notice and to provide at that meeting a reasonably detailed description (or update if previously furnished) of the principal facts furnished to the U.S. Department of Justice in response to subpoenas or otherwise that are relevant to the conduct at issue, including the times, places and participants with respect to any communications or meetings relevant to such conduct. To the extent BOE has follow-up questions to this meeting, NYK Line, through its legal counsel, shall endeavor to answer such questions. In addition, NYK Line, through its legal counsel, will meet or confer with BOE upon request as necessary to support BOE's prosecution against other carriers relating to the conduct at issue herein.

- b) Subject to paragraph d) below, at BOE's request, NYK Line shall make available at NYK Line's expense, at a location and time upon which the parties shall agree and upon reasonable notice, for depositions, or interviews if appropriate: (i) any current directors, officers and employees of NYK Line who have been interviewed by the U.S. Department of Justice, the European Commission or the Japan Fair Trade Commission relating to the conduct at issue herein, and (ii) any additional current employees who BOE, acting in consultation with NYK Line counsel, reasonably believes to have knowledge relating to

the conduct at issue herein.

c) Subject to paragraph d) below, at BOE's request, NYK Line shall make available at NYK Line's expense and upon reasonable notice, for testimony at a hearing before the Commission: (i) any current directors, officers and employees of NYK Line who have been interviewed by the U.S. Department of Justice, the European Commission or the Japan Fair Trade Commission relating to the conduct at issue herein, and (ii) any additional current employees who BOE, acting in consultation with NYK Line's counsel, reasonably believes to have knowledge relating to the conduct at issue herein.

d) With regard to any current directors, officers and employees of NYK Line who have retained counsel or confirmed an intention to assert any rights against self-incrimination, NYK Line agrees to use its best efforts to obtain the cooperation of such individuals, but in no event shall NYK Line be obligated to make such individuals available to BOE for interviews, declarations, depositions or at trial. Any such failure or inability shall not be deemed a breach of NYK Line's agreement to cooperate with BOE. The payment of any attorneys fees for any such current directors, officers and employees pursuant to any pre-existing indemnity agreement or law shall not be deemed a breach of NYK Line's obligations under this paragraph.

e) At BOE's request, NYK Line shall, to the extent not previously furnished pursuant to this Agreement, produce to BOE: (i) copies of documents furnished to the U.S. Department of Justice relating to the conduct at issue herein, produced in the same format as furnished to the U.S. Department of Justice; (ii) copies of any other documents in the possession of NYK Line or its counsel that are not privileged, and are otherwise subject to discovery in a civil proceeding, that are responsive to reasonable and specific requests

made by BOE regarding any other matter relevant to the conduct at issue herein. NYK Line may withhold production of any document(s) otherwise subject to production pursuant to this subparagraph if the production would prejudice NYK Line's interests in connection with any investigation conducted by the U.S. Department of Justice or antitrust or competition regulators in any other jurisdiction, (or if otherwise prohibited by an order of a U.S. court of competent jurisdiction) provided, however, that NYK Line shall produce any such relevant, non-privileged withheld documents within 60 days after any such investigation conducted by the U.S. Department of Justice or regulators in any other jurisdiction is completed. Any documents kept at any time in an electronically searchable format, shall be produced to BOE in such format. Where BOE requests documents that are stored in an electronic data base, counsel for the parties shall agree to reasonable custodial and search-term limitations on the document-production obligations enumerated in this subparagraph.

f) Subject to paragraph d) above, at BOE's request, NYK Line shall produce at trial or deposition, up to three representatives of NYK Line's choice qualified to establish for admission into evidence any of those documents produced pursuant to this Agreement. NYK Line agrees to produce at trial or deposition, or through affidavits or declarations, additional representatives of NYK Line's choice for the purposes described in this subparagraph, provided such additional representatives are reasonably necessary to BOE's prosecution of the conduct at issue herein.

g) All disclosures, cooperation and documents provided to BOE under this Agreement:

(i) shall be used only in connection with BOE's prosecution of other carriers operating RO/RO or specialized car carrier vessels in U.S. import and export trades for violations



of the Shipping Act; (ii) shall not be used directly or indirectly for any other purpose; and (iii) subject to subparagraph (i) above, shall not be disclosed by BOE to any third parties, except pursuant to valid legal order issued by a tribunal with appropriate jurisdiction to issue and enforce such order. In the event discovery of such disclosures, cooperation and documents provided to BOE is sought by any person in any jurisdiction, BOE agrees to use its best efforts to assist NYK Line in opposing the disclosure by BOE of such materials, including but not limited to assisting in pleadings, providing affidavits or declarations, and court appearances. Documents, information and materials produced to BOE pursuant to this Agreement (whether provided orally or in writing) are deemed by NYK to be confidential commercial, financial, and proprietary business information exempt from Freedom of Information Act disclosure pursuant to 5 U.S.C. §552(b)(4).

4. Respondent's obligations to cooperate under this Agreement are ongoing and shall continue until the later of the expiration of the statute of limitations for the Shipping Act violations described herein, or the issuance of a non-appealable final judgment in an enforcement action by the Commission against an ocean carrier based on information disclosed to the Commission by NYK Line pursuant to this Agreement.
5. It is expressly understood that this Agreement is not itself, and is not to be construed as, an admission by Respondent to the alleged violations set forth above.
6. Nothing in this Agreement shall be construed to grant immunity pursuant to 46 U.S.C. § 40307(a) with respect to violations of the antitrust laws of the United States or any foreign nation, nor to address any carrier agreements or disclosure obligations, with respect to trades not originating or discharging cargo at a U.S. port.
7. Where written notice to NYK Line is required by this Agreement, such notice shall be



provided to: John Fornaciari, Esq., 1050 Connecticut Ave. NW, Suite 1100, Washington D.C., 20036 or such other counsel as NYK Line shall designate in writing to the Commission.

8. This Agreement is subject to approval by the Commission's Managing Director in accordance with 46 C.F.R. § 502.604.

**Nippon Yusen Kaisha ("NYK Line")**

Signature: Takaaki Hashimoto

Printed Name: Takaaki Hashimoto

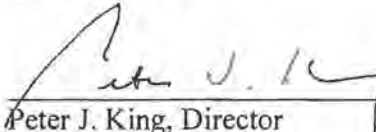
Title: Manager

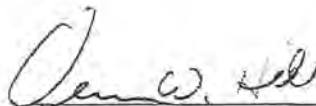
Date: September 26, 2013

**APPROVAL AND ACCEPTANCE**

The above Terms and Conditions and Amount of Consideration are hereby approved and accepted:

By the Federal Maritime Commission:

 9-26-2013  
Peter J. King, Director (Date)  
Bureau of Enforcement

 9-26-13  
Vern W. Hill (Date)  
Managing Director

# **Exhibit 15**

**COMPROMISE AGREEMENT**  
FMC File No. [170486]

This Agreement is entered into between:

- (1) The Federal Maritime Commission, hereinafter referred to as Commission, and
- (2) Mitsui O.S.K. Lines, Ltd. and Nissan Motor Car Carrier Co., Ltd., hereinafter collectively referred to as Respondents.

WHEREAS, the Commission is considering the initiation of an assessment proceeding against Respondents for the recovery of civil penalties for alleged violations of section 10(a) of the Shipping Act of 1984 ("Shipping Act"), 46 U.S.C. § 41102(b); section 10(b) of the Shipping Act, 46 U.S.C. § 41104; section 10(b)(13) of the Shipping Act, 46 U.S.C. § 41103(a); and section 10(c) of the Shipping Act, 46 U.S.C. § 41105; and

WHEREAS, such a proceeding would be based on the Commission's position that Respondents, acting individually or through their agents, engaged in certain practices in violation of the Shipping Act, to wit:

Between at least August 30, 2008 and September 6, 2012, Respondents knowingly and willfully violated section 10(a) of the Shipping Act, 46 U.S.C. § 41102(b), by acting in concert with other ocean common carriers to operate under an agreement(s) with respect to the shipment of automobiles, other motorized vehicles, and occasional cargo including containers by RO/RO or specialized car carrier vessels in various U.S. import and export trades, where such agreement(s) have not been filed with the Commission or become effective under the Shipping Act and in certain respects in violation of sections 10(b), 10(b)(13), and 10(c) of the Act (46 U.S.C. § 41104, 46 U.S.C. § 41103(a), and 46 U.S.C. § 41105, respectively).

WHEREAS, Respondents do not admit any violation of the Shipping Act or other law, and the Commission is authorized under section 13(c) of the Shipping Act, 46 U.S.C. § 41109(a), and Subpart W of the Commission's Rules of Practice and Procedure, 46 C.F.R. § 502.604, et

seq. to compromise and collect civil penalties arising for the alleged violations set forth and described above; and

WHEREAS, Respondents have terminated the practices which are the basis of the alleged violations set forth herein, and have instituted and commit to maintaining measures designed to eliminate such practices in the future; and

WHEREAS, Respondents have cooperated and disclosed to the Commission information and factual details relevant to its transportation activities and practices with respect to the shipment of automobiles, motorized vehicles and other occasional cargo by RO/RO or specialized car carrier vessels in certain inbound trades to the United States, and in certain outbound trades from United States ports to foreign ports and points; and

WHEREAS, Respondents have agreed to cooperate with respect to investigative activity or enforcement action conducted by the Commission regarding the transportation activities identified by the Commission or disclosed by Respondents giving rise to the alleged violations herein.

NOW THEREFORE, in consideration of the premises herein, and in compromise of all civil penalties arising from the alleged violations set forth and described herein, Respondents and the Commission hereby agree upon the following terms of settlement:

1. Respondents shall make payment to the Commission by wire transfer or cashier's check in the total amount of \$1,275,000.00 on or before January 15, 2014.
2. This instrument shall forever bar the commencement or institution by the Commission of any assessment proceeding or other claim for recovery of civil penalties from Respondents, their respective subsidiaries, including but not limited to Mitsui O.S.K. Bulk Shipping (U.S.A.) Inc., World Logistics Service (U.S.A.), Inc., and Mitsui O.S.K.

Bulk Shipping (Europe) Ltd., and their respective officers, directors, employees, or agents arising from the alleged violations set forth above that occurred or may have occurred between at least August 30, 2008 and September 6, 2012, inclusive of any effects continuing thereafter.

3. Respondents agree to cooperate in good faith with the further efforts of the Commission to investigate and prosecute other carriers operating RO/RO or specialized car carrier vessels in U.S. import and export trades for violations of the Shipping Act described above, as follows:

- a) Respondents agree to authorize and direct their counsel to meet in person with Bureau of Enforcement ("BOE") attorneys upon reasonable notice and provide at that meeting a reasonably detailed description (or update if previously furnished) of the principal facts furnished to the U.S. Department of Justice in response to subpoenas or otherwise that are relevant to the conduct at issue, including the times, places and participants with respect to any communications or meetings relevant to such conduct. To the extent BOE has follow-up questions to this meeting, Respondents' counsel shall endeavor to answer such questions. In addition, Respondents' counsel will meet or confer with BOE upon request as necessary to support BOE's prosecution against other carriers relating to the conduct at issue herein.

- b) Subject to paragraph d) below, at BOE's request, Respondents shall make available at Respondents' expense, at a time and a location on which the parties shall agree and upon reasonable notice, for depositions, or interviews if appropriate: (i) any current directors, officers and employees of Respondents who have been interviewed by the U.S. Department of Justice, the European Commission or the Japan Fair Trade Commission

relating to the conduct at issue herein, and (ii) any additional current employees who BOE, acting in consultation with Respondents' counsel, reasonably believes to have knowledge relating to the conduct at issue herein.

c) Subject to paragraph d) below, at BOE's request, Respondents shall make available at Respondents' expense and upon reasonable notice, for testimony at a hearing before the Commission: (i) any current directors, officers and employees of Respondents who have been interviewed by the U.S. Department of Justice, the European Commission or the Japan Fair Trade Commission relating to the conduct at issue herein, and (ii) any additional current employees who BOE, acting in consultation with Respondents' counsel, reasonably believes to have knowledge relating to the conduct at issue herein.

d) With regard to any current directors, officers and employees of Respondents who have retained counsel or confirmed an intention to assert any rights against self-incrimination, Respondents agree to use their best efforts to obtain the cooperation of such individuals, but in no event shall Respondents be obligated to make such individuals available to BOE for interviews, declarations, depositions or at trial. Any such failure or inability shall not be deemed a breach of Respondents' agreement to cooperate with BOE.

e) At BOE's request, Respondents shall, to the extent not previously furnished under this Agreement, produce to BOE: (i) copies of documents furnished to the U.S. Department of Justice relating to the conduct at issue herein, produced in the same format as furnished to the U.S. Department of Justice; (ii) copies of any other non-privileged documents in the possession of Respondents' counsel that are responsive to reasonable and specific requests made by BOE regarding any other matter relevant to the conduct at issue herein.



Respondents may withhold production of any document(s) otherwise subject to production pursuant to this subparagraph if the production would prejudice Respondents' interests in connection with any investigation conducted by the U.S. Department of Justice or antitrust or competition regulators in any other jurisdiction, provided, however, that Respondents shall produce any such relevant, non-privileged, withheld document within 60 days of completing such investigation conducted by the U.S. Department of Justice or regulators in any other jurisdiction. If any documents were kept any time in an electronically searchable format, they shall be produced to BOE in such format. Counsel for the parties shall agree to reasonable custodial and search-term limitations on the document-production obligations enumerated in this subparagraph.

f) Subject to paragraph d) above, at BOE's request, Respondents shall produce at trial or deposition, up to three representatives of Respondents' choice qualified to establish for admission into evidence any of those documents produced pursuant to this Agreement. Respondents agree to produce at trial or deposition, or through affidavits or declarations, additional representatives of Respondents' choice for the purposes described in this subparagraph, provided such additional representatives are reasonably necessary to BOE's prosecution of the conduct at issue herein.

g) All disclosures, cooperation and documents provided to BOE under this Agreement:

(i) shall be used only in connection with BOE's prosecution of other carriers operating RO/RO or specialized car carrier vessels in U.S. import and export trades for violations of the Shipping Act; (ii) shall not be used directly or indirectly for any other purpose; and (iii) subject to subparagraph (i) above, may not be disclosed by BOE to any third parties, except pursuant to valid legal order issued by a tribunal with



appropriate jurisdiction to issue and enforce such order. In the event discovery of such disclosures, cooperation and documents provided to BOE is sought in any jurisdiction, BOE agrees to use its best efforts to assist Respondents in opposing the disclosure by BOE of such materials, including but not limited to assisting in pleadings, providing affidavits or declarations, and court appearances. Documents, information and materials produced to BOE pursuant to this Agreement (whether provided orally or in writing) are deemed by Respondents to be confidential commercial, financial and proprietary business information exempt from Freedom of Information Act disclosure pursuant to 5 U.S.C. 552 (b)(4). In addition, BOE deems documents, information and materials produced to BOE pursuant to this Agreement (whether provided orally or in writing) to be records or information compiled for law enforcement purposes exempt from Freedom of Information Act disclosure pursuant to 5 U.S.C. 552 (b)(7).

4. Respondents' obligations to cooperate under this Agreement are ongoing and shall continue until the later of the expiration of the statute of limitations for the Shipping Act violations described herein, or the issuance of a non-appealable final judgment in an enforcement action by the Commission against an ocean carrier based on information disclosed to the Commission by Respondents.
5. It is expressly understood that this Agreement is not itself, and is not to be construed as, an admission by Respondents of the violation of the Shipping Act or other law, including but not limited to the alleged violations set forth above.
6. Nothing in this agreement shall be construed to grant immunity pursuant to 46 U.S.C. § 40307(a) with respect to violations of the antitrust laws of the United States or any foreign nation, nor to address any carrier agreements or disclosure obligations with

respect to trades not originating or discharging cargo at a U.S. port.

7. Where written notice to Respondents' counsel is required in this Agreement, such notice shall be provided to Robert B. Yoshitomi, Nixon Peabody LLP, 555 West Fifth Street, 46<sup>th</sup> Floor, Los Angeles, CA 90013 and Gordon L. Lang, Nixon Peabody LLP, 401 9<sup>th</sup> Street, N.W., 9<sup>th</sup> Floor, Washington, DC 20004, or such other counsel as Respondents shall designate in writing to the Commission.
8. This agreement is subject to approval by the Commission's Managing Director in accordance with 46 C.F.R. § 502.604.
9. Within sixty (60) days from the date of this agreement, Respondents shall, as they deem necessary, file agreements, service contracts and tariff rates and rules for cargo on and operations by its PCC or specialized car carrier vessels.

**Respondent Mitsui O.S.K. Lines, Ltd.**

Signature: Robert B. Yoshitomi

Printed Name: Robert B. Yoshitomi

Title: Attorney-in-fact

Date: January 15, 2014

**Respondent Nissan Motor Car Carrier Co., Ltd.**

Signature: Robert B. Yoshitomi

Printed Name: Robert B. Yoshitomi

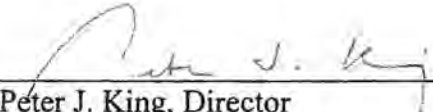
Title: Attorney-in-fact

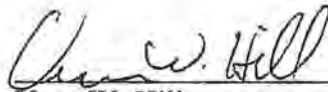
Date: January 15, 2014

**APPROVAL AND ACCEPTANCE**

The above Terms and Conditions and Amount of Consideration are hereby approved and accepted:

By the Federal Maritime Commission:

 1-15-2014  
Peter J. King, Director (Date)  
Bureau of Enforcement

 1-15-2014  
Vern W. Hill (Date)  
Managing Director

# **Exhibit 16**

**COMPROMISE AGREEMENT**  
FMC File No. 17098(3)

This Agreement is entered into between:

- (1) The Federal Maritime Commission, hereinafter referred to as Commission, and
- (2) Compañía Sud Americana de Vapores S.A., (referred to herein as "Respondent" or "CSAV").

WHEREAS, the Commission is considering the initiation of an assessment proceeding against Respondent for the recovery of civil penalties for alleged violations of section 10(a) of the Shipping Act of 1984 ("Shipping Act"), 46 U.S.C. § 41102(b); section 10(b)(10) of the Shipping Act, 46 U.S.C. § 41104(10); section 10(b)(13) of the Shipping Act, 46 U.S.C. § 41103(a); and section 10(c) of the Shipping Act, 46 U.S.C. § 41105; and

WHEREAS, such a proceeding would be based on the Commission's position that Respondent engaged in certain practices in violation of the Shipping Act, to wit:

Between at least January 1, 2009 and September 6, 2012, CSAV knowingly and willfully violated section 10(a) of the Shipping Act, 46 U.S.C. § 41102(b), by acting in concert with other ocean common carriers to operate under an agreement(s) with respect to the shipment of automobiles and other motorized vehicles by RO/RO or specialized car carrier vessels in various U.S. import and/or export trades, where such agreement(s) have not been filed with the Commission or become effective under the Shipping Act and in certain respects in violation of sections 10(b)(10), 10(b)(13), and 10(c) of the Act (46 U.S.C. § 41104(10), 46 U.S.C. § 41103(a), and 46 U.S.C. § 41105, respectively).

WHEREAS, CSAV does not admit that it has violated the Shipping Act; and

WHEREAS, the Commission is authorized under section 13(c) of the Shipping Act, 46 U.S.C. § 41109(a), and Subpart W of the Commission's Rules of Practice and Procedure, 46 C.F.R. § 502.604, et seq. to compromise and collect civil penalties arising for the alleged

violations set forth and described above; and

WHEREAS, Respondent has terminated the practices which are the basis of the alleged violations set forth herein, and has instituted and commits to maintaining measures designed to eliminate such practices in the future; and

WHEREAS, Respondent has cooperated and disclosed to the Commission information and factual details relevant to its transportation activities and practices with respect to the shipment of automobiles and motorized vehicles by RO/RO or specialized car carrier vessels in the inbound trades to the United States, and in the outbound trades from the United States ports to foreign ports and points; and

WHEREAS, Respondent has agreed to cooperate with respect to investigative activity or enforcement action conducted by the Commission regarding the transportation activities identified by the Commission or disclosed by Respondent giving rise to the alleged violations herein.

NOW THEREFORE, in consideration of the premises herein, and in compromise of all civil penalties arising from the alleged violations set forth and described herein, Respondent and the Commission hereby agree upon the following terms of settlement:

1. Respondent shall make payment to the Commission by wire transfer or cashier's check in the total amount of six hundred and twenty-five thousand U.S. dollars (\$625,000) on or before February 14, 2014.
2. This instrument shall forever bar the commencement or institution of any assessment proceeding or other claim for recovery of civil penalties from Respondent, its officers, directors, employees, or agents (including but not limited to CSAV Agency LLC) for any conduct giving rise to the alleged violations set forth above that occurred between at least

January 1, 2009 and September 6, 2012.

3. CSAV agrees to cooperate in good faith with the further efforts of the Commission to investigate and prosecute other carriers operating RO/RO or specialized car carrier vessels in U.S. import and export trades for the alleged violations of the Shipping Act described above, as follows:

- a) CSAV agrees to direct and authorize its legal counsel to meet in person with Bureau of Enforcement ("BOE") attorneys upon reasonable notice and to provide at that meeting a reasonably detailed description (or update if previously furnished) of the principal facts furnished to the U.S. Department of Justice in response to subpoenas or otherwise that are relevant to the conduct at issue, including the times, places and participants with respect to any communications or meetings relevant to such conduct. To the extent BOE has follow-up questions to this meeting, CSAV, through its legal counsel, shall endeavor to answer such questions. In addition, CSAV, through its legal counsel will meet or confer with BOE upon request as necessary to support BOE's prosecution against other carriers relating to the conduct at issue herein.

- b) Subject to paragraph d) below, at BOE's request, CSAV shall make available at CSAV's expense, at a location and time upon which the parties shall agree and upon reasonable notice, for depositions, or interviews if appropriate: (i) any current directors, officers and employees of CSAV who have been interviewed by the U.S. Department of Justice, the European Commission or the Japan Fair Trade Commission relating to the conduct at issue herein, and (ii) any additional current employees who BOE, acting in consultation with CSAV counsel, reasonably believes to have knowledge relating to the conduct at issue herein.



c) Subject to paragraph d) below, at BOE's request, CSAV shall make available at CSAV's expense and upon reasonable notice, for testimony at a hearing before the Commission: (i) any current directors, officers and employees of CSAV who have been interviewed by the U.S. Department of Justice, the European Commission or the Japan Fair Trade Commission relating to the conduct at issue herein, and (ii) any additional current employees who BOE, acting in consultation with CSAV's counsel, reasonably believes to have knowledge relating to the conduct at issue herein.

d) With regard to any current directors, officers and employees of CSAV who have retained counsel or confirmed an intention to assert any rights against self-incrimination, CSAV agrees to use its best efforts to obtain the cooperation of such individuals, but in no event shall CSAV be obligated to make such individuals available to BOE for interviews, declarations, depositions or at trial. Any such failure or inability shall not be deemed a breach of CSAV's agreement to cooperate with BOE. The payment of any attorneys fees for any such current directors, officers and employees shall not be deemed a breach of CSAV's obligations under this paragraph.

e) At BOE's request, CSAV shall, to the extent not previously furnished pursuant to this Agreement, produce to BOE: (i) copies of documents furnished to the U.S. Department of Justice relating to the conduct at issue herein, produced in the same format as furnished to the U.S. Department of Justice; (ii) copies of any other documents in the possession of CSAV or its counsel that are not privileged, and are otherwise subject to discovery in a civil proceeding, that are responsive to reasonable and specific requests made by BOE regarding any other matter relevant to the conduct at issue herein. CSAV may withhold production of any document(s) otherwise subject to production pursuant to this



subparagraph if the production would prejudice CSAV's interests in connection with any investigation conducted by the U.S. Department of Justice or antitrust or competition regulators in any other jurisdiction, (or if otherwise prohibited by an order of a U.S. court of competent jurisdiction) provided, however, that CSAV shall produce any such relevant, non-privileged withheld document within 60 days after any such investigation conducted by the U.S. Department of Justice or regulators in any other jurisdiction is completed. Any documents kept at any time in an electronically searchable format, shall be produced to BOE in such format. Where BOE requests documents that are stored in an electronic data base, counsel for the parties shall agree to reasonable custodial and search-term limitations on the document-production obligations enumerated in this subparagraph.

f) Subject to paragraph d) above, at BOE's request, CSAV shall produce at trial or deposition, up to three representatives of CSAV's choice qualified to establish for admission into evidence any of those documents produced pursuant to this Agreement. CSAV agrees to produce at trial or deposition, or through affidavits or declarations, additional representatives of CSAV's choice for the purposes described in this subparagraph, provided such additional representatives are reasonably necessary to BOE's prosecution of the conduct at issue herein.

g) All disclosures, cooperation and documents provided to BOE in connection with the BOE's investigation (whether before or after execution of this Agreement): (i) shall be used only in connection with BOE's prosecution of other carriers operating RO/RO or specialized car carrier vessels in U.S. import and export trades for violations of the Shipping Act; (ii) shall not be used directly or indirectly for any other purpose; and (iii)

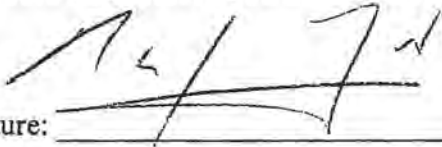
subject to subparagraph (i) above, may not be disclosed by BOE to any third parties, except pursuant to valid legal order issued by a tribunal with appropriate jurisdiction to issue and enforce such order. In the event discovery of such disclosures, cooperation and documents provided to BOE is sought by any person or entity in any jurisdiction, BOE agrees to use its best efforts to assist CSAV in opposing the disclosure by BOE of such materials, including but not limited to assisting in pleadings, providing affidavits or declarations, and court appearances. Documents, information and materials produced to BOE (whether provided orally or in writing) are deemed by CSAV to be confidential commercial, financial, and proprietary business information exempt from Freedom of Information Act disclosure pursuant to 5 U.S.C. §552(b)(4).

4. Respondent's obligations to cooperate under this Agreement are ongoing and shall continue until the later of the expiration of the statute of limitations for the alleged Shipping Act violations described herein, or the issuance of a non-appealable final judgment in an enforcement action by the Commission against an ocean carrier based on information disclosed to the Commission by CSAV.
5. It is expressly understood that this Agreement is not itself, and is not to be construed as, an admission by Respondent to the alleged violations set forth above.
6. Nothing in this Agreement shall be construed to grant immunity pursuant to 46 U.S.C. § 40307(a) with respect to violations of the antitrust laws of the United States or any foreign nation (nor to address any carrier agreements or disclosure obligations) with respect to trades not originating or discharging cargo at a U.S. port.
7. Where written notice to CSAV is required in this Agreement, such notice shall be provided to Steven F. Cherry, WilmerHale LLP, 1875 Pennsylvania Avenue, N.W.,

Washington, D.C., 20006, or such other counsel as CSAV shall designate in writing to the Commission.

8. This agreement is subject to approval by the Commission's Managing Director in accordance with 46 C.F.R. § 502.604.

**Compañía Sud Americana de Vapores S.A.**

Signature: 

Printed Name: PABLO BAUER

Title: GENERAL COUNSEL

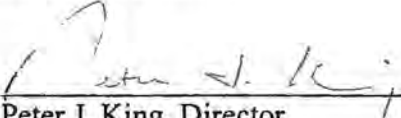
Date: FEBRUARY 7<sup>th</sup>, 2014



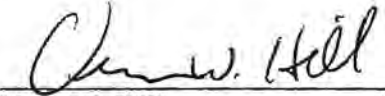
**APPROVAL AND ACCEPTANCE**

The above Terms and Conditions and Amount of Consideration are hereby approved and accepted:

By the Federal Maritime Commission:

  
Peter J. King, Director  
Bureau of Enforcement

2-14-2014  
(Date)

  
Vern W. Hill  
Managing Director

2-14-14  
(Date)

## CERTIFICATE OF SERVICE

I do hereby certify that I have delivered a true and correct copy of the foregoing document to the following addressees at the addresses stated by first class-mail, postage prepaid and/or via email transmission, this 16<sup>th</sup> day of February, 2016:

Roberto A. Rivera-Soto  
Stephen J. Kastenberg  
Jason A. Leckerman  
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